AUTHENTICATED
U.S. GOVERNMENT
INFORMATION
GPO

S. HRG. 119–494

OVERSIGHT OF THE FEDERAL ENERGY REGULATORY COMMISSION

HEARING

BEFORE THE

COMMITTEE ON ENERGY AND NATURAL RESOURCES UNITED STATES SENATE

ONE HUNDRED NINETEENTH CONGRESS

SECOND SESSION

JULY 22, 2026

Printed for the use of the
Committee on Energy and Natural Resources

Available via the World Wide Web: http://www.govinfo.gov

U.S. GOVERNMENT PUBLISHING OFFICE
64–322 WASHINGTON : 2026

COMMITTEE ON ENERGY AND NATURAL RESOURCES

MIKE LEE, Utah, *Chairman*

JOHN BARRASSO, Wyoming
JAMES E. RISCH, Idaho
STEVE DAINES, Montana
TOM COTTON, Arkansas
DAVID MCCORMICK, Pennsylvania
JAMES C. JUSTICE, West Virginia
BILL CASSIDY, Louisiana
CINDY HYDE-SMITH, Mississippi
LISA MURKOWSKI, Alaska
JOHN HOEVEN, North Dakota
MARTIN HEINRICH, New Mexico
RON WYDEN, Oregon
MARIA CANTWELL, Washington
MAZIE K. HIRONO, Hawaii
ANGUS S. KING, JR., Maine
CATHERINE CORTEZ MASTO, Nevada
JOHN W. HICKENLOOPER, Colorado
ALEX PADILLA, California
RUBEN GALLEGO, Arizona

WENDY BAIG, *Majority Staff Director*
CHRIS PRANDONI, *Majority Deputy Staff Director and Chief Counsel*
JAKE MCCURDY, *Majority Policy Director for Energy*
JASMINE HUNT, *Minority Staff Director*
SAM E. FOWLER, *Minority Chief Counsel*
ANAIS BORJA, *Minority Energy Policy Director*

CONTENTS

OPENING STATEMENTS

	Page
Lee, Hon. Mike, Chairman and a U.S. Senator from Utah	1
Heinrich, Hon. Martin, Ranking Member and a U.S. Senator from New Mexico	3

WITNESSES

Swett, Hon. Laura, Chairman, Federal Energy Regulatory Commission	4
Rosner, Hon. David, Commissioner, Federal Energy Regulatory Commission	9
See, Hon. Lindsay, Commissioner, Federal Energy Regulatory Commission	14
Chang, Hon. Judy, Commissioner, Federal Energy Regulatory Commission	18
LaCerte, Hon. David, Commissioner, Federal Energy Regulatory Commission	22

ALPHABETICAL LISTING AND APPENDIX MATERIAL SUBMITTED

Chang, Hon. Judy:	
Opening Statement	18
Written Testimony	20
Responses to Questions for the Record	103
Heinrich, Hon. Martin:	
Opening Statement	3
King, Jr., Hon. Angus S.:	
Photograph of a carbon fiber-based conductor next to a conventional high-tension conductor	62
LaCerte, Hon. David:	
Opening Statement	22
Written Testimony	24
Responses to Questions for the Record	109
Lee, Hon. Mike:	
Opening Statement	1
Rosner, Hon. David:	
Opening Statement	9
Written Testimony	11
Responses to Questions for the Record	89
See, Hon. Lindsay:	
Opening Statement	14
Written Testimony	16
Responses to Questions for the Record	97
Swett, Hon. Laura:	
Opening Statement	4
Written Testimony	7
Responses to Questions for the Record	83
Wyoming Department of Agriculture:	
Comments on the Seminoe Pumped Storage Project Draft Environmental Impact Statement	32
Wyoming Department of Environmental Quality:	
Comments on the Seminoe Pumped Storage Project Draft Environmental Impact Statement	35

Page

Wyoming Department of State Parks:
Comments on the Seminoe Pumped Storage Project Draft Environmental Impact Statement 42
Wyoming Game and Fish Department:
Letter for the Record 47
Comments on the Seminoe Pumped Storage Project Draft Environmental Impact Statement 50

OVERSIGHT OF THE FEDERAL ENERGY REGULATORY COMMISSION

WEDNESDAY, JULY 22, 2026

U.S. SENATE,
COMMITTEE ON ENERGY AND NATURAL RESOURCES,
Washington, DC.

The Committee met, pursuant to notice, at 9:33 a.m. in Room SD–366, Dirksen Senate Office Building, Hon. Mike Lee, Chairman of the Committee, presiding.

OPENING STATEMENT OF HON. MIKE LEE, U.S. SENATOR FROM UTAH

The CHAIRMAN. The Committee will come to order. I apologize for the late start time. I serve on the Foreign Relations Committee, along with a couple of our members, and as we often find ourselves in that position, we were in a markup, and had any of us left, they would have lost a quorum. So, we ran over here as quickly as we could.

Today, the Committee on Energy and Natural Resources holds a hearing to conduct oversight over the Federal Energy Regulatory Commission (FERC). Pursuant to the Federal Power Act and the Natural Gas Act, the Commission regulates the interstate transmission and wholesale market of electricity and natural gas, as well as oil and gas pipelines and hydroelectric power. It ensures that electricity rates are just and reasonable, and licenses facilities within its statutory jurisdiction. All of these things happen to be vital to America's energy dominance, ensuring both our security and prosperity at home and also our ability to advance the interests of the United States on the world stage by supplying the energy needs of others.

Today, we will be hearing from FERC's five Commissioners to report on their priorities and the Commission's operations. They are Chairman Laura Swett, and Commissioners David Rosner, Lindsay See, Judy Chang, and David LaCerte. Following my opening statement today and that of Ranking Member Heinrich, we will hear opening statements from each of the Commissioners, followed by questions from each of the Senators in attendance.

There was a time when the Federal Energy Regulatory Commission operated largely outside the public spotlight. Those days, of course, are now over. FERC now sits at the center of some of the most important questions facing our country—reliable electricity, affordable energy, data centers, manufacturing, and national security. Every one of these issues, in its own way, now runs directly through FERC. Some estimates suggest that the Commission regu-

lates activity representing roughly five percent of the American economy. This, of course, understates the matter because, in reality, the Commission's influence reaches much, much further than that. Energy is an input for basically everything we produce, everything we do. So, when energy becomes more expensive, or when it becomes less reliable, every American pays the price in far more ways than one.

That, of course, makes FERC's mission more important now than ever. The United States is experiencing the fastest growth in electricity demand in a generation. After years of relatively flat load growth, utilities across our country are now forecasting dramatic increases—increases driven by data centers, artificial intelligence, advanced manufacturing, electrification, and industrial development. It means America is building again. It means investment is returning, but none of it happens if we cannot produce and deliver enough reliable electricity.

That's why I was encouraged by the Commission's recent action under Section 206 of the Federal Power Act addressing how regional transmission organizations and independent system operators manage large-load interconnections. Rather than imposing a rigid one-size-fits-all federal mandate, the Commission directed six regional grid operators to reexamine how large data centers and other major new customers might connect to the grid, with particular attention to interconnection delays, who pays for the necessary upgrades, and what impact all these things might ultimately have on consumers.

These are extraordinarily difficult questions. No one suggests that they are easy. Large data centers create tremendous economic opportunity, but they also consume enormous amounts of electricity. Existing ratepayers should not be forced to subsidize costs that properly belong to new entrants. But we also cannot allow outdated processes to prevent new investment from connecting to the grid. Getting that balance right will of course be difficult, but I am confident that if you maintain your current trajectory, you, as our Commissioners, will be more than up to that great task.

I am also encouraged by FERC's recent efforts to improve the permitting process for natural gas infrastructure. FERC is modernizing environmental reviews, reducing unnecessary delays—those that don't provide any additional value added on the environmental front—and it's expanding the use of blanket certificates for routine upgrades. Every year that we happen to delay needed infrastructure is another year that Americans have to pay higher prices and face greater reliability risks.

More importantly, I hope today's discussion reinforces something that should unite all of us, regardless of political party. As this Committee continues its work on permitting reform, I hope we can build on the bipartisan momentum that has emerged around many of these issues. I look forward to getting perspectives from each one of you today on the challenges ahead and to working with each of you to ensure that we lower costs for consumers while simultaneously improving grid reliability.

Ranking Member Heinrich.

OPENING STATEMENT OF HON. MARTIN HEINRICH, U.S. SENATOR FROM NEW MEXICO

Senator HEINRICH. Thank you, Chairman Lee, and special thanks to all five of FERC's Commissioners for attending this hearing today. We very much appreciate having you here.

The Federal Energy Regulatory Commission has long been an important independent agency. It serves the public interest by regulating electricity, hydroelectric dams, natural gas, and oil in a manner that is both fair and impartial from the President and from Congress, as required by statute. Now, historically considered by some to be a bit of a sleepy agency, FERC faces a very pivotal time in our nation's history right now. Electricity prices are rising, and electricity supply has not been able to keep up with demand. According to a recent report, 75 percent of U.S. adults say that they have noticed their home energy costs increasing in recent years. Some of that blame can be squarely placed on our current President. I recently released a report on how this administration is waging a war on cheap, clean energy, and the impact of that is rising energy costs. The administration is slow-walking installing 73 gigawatts—think about that, *gigawatts*—of solar, 43 gigawatts of storage, 30 gigawatts of onshore wind, and 16 gigawatts of offshore wind. Constraining this buildout would increase economy-wide utility costs by approximately $11.6 billion per year. But that is not the only reason that costs are rising.

We are also seeing a rapid increase in electricity demand and are hampered by not getting enough power from generators to end-users and struggling to quickly add new needed generation sources. Luckily, we can take steps to improve our grid to help move electricity more efficiently and bring new power sources online. I recently launched an initiative called Grid for Growth, a plan to meet surging electricity demand without shifting the costs of that to consumers. This effort complements ongoing efforts to pass bipartisan permitting reform. And as part of the effort, last week, I introduced the Grid Connection and Congestion Management Act to create a faster path for generator interconnection. Modeled after ERCOT's connect-and-manage process, projects are rewarded for being flexible in their output by getting onto the grid faster.

Other bills will follow in the next few weeks and months, but our ability to meet the rising needs of the grid are based in large part on our ability to build more interregional transmission lines. That is why permitting reform is so important. Interregional transmission lines can be the best line of defense against extreme weather conditions, improving reliability, and reducing consumer costs. While FERC requires some interregional transmission planning under Orders 1000 and 1920, this coordination has not, unfortunately, produced a substantial number of interregional transmission projects in the last decade. We need to find a way to build more high-voltage transmission lines in the next decade. Our ability to grow our economy depends on it. And to FERC's credit, the agency has taken active steps to confront energy challenges. Last month, FERC issued six show cause orders, requiring grid operators and their transmission owners to justify or propose changes to their current tariffs with respect to large-load customers. These steps by FERC can help protect consumers and encourage grid op-

erators to integrate new advanced technologies when adding new large loads to the grid.

FERC choosing to address major electricity users, like data centers and manufacturers, is an important step in the right direction. Nevertheless, more action can and should be taken to ensure that consumers are protected from sky-high costs associated with data centers, manufacturers, and other large loads. I have been working on a bill intended to do just that and hope to speak more about that soon. However, all of these efforts that I mentioned will be meaningless if the independence of FERC is erased. The Supreme Court's recent decision has put the impartiality of independent agencies at risk. Now, more than ever, FERC's mission to ensure that utility rates remain just and reasonable and not unduly discriminatory or preferential is critical to making sure millions of Americans can keep their lights on. During this once-in-a-generation moment, I continue to believe that regulatory certainty and the freedom for commissioners of independent agencies like FERC to act in a way to provide that certainty will be critical in meeting the energy challenges of today. I hope to discuss these issues with each of you during this hearing and very much look forward to it.

Thank you, Mr. Chairman.

The CHAIRMAN. Thank you, Senator Heinrich. We will now turn to each of the Commissioners here today to give their opening statements, and of course, your written statements will be entered into the record in full. We will begin with the FERC Chairman, Laura Swett. The Senate confirmed Chairman Swett back in October of 2025. Prior to that, she served at FERC as a legal advisor to two Commissioners, including a former FERC Chairman, and she litigated Federal Power Act and Natural Gas Act matters for 15 years.

Chairman Swett, you are now recognized, and you may give your opening statement.

OPENING STATEMENT OF HON. LAURA SWETT, CHAIRMAN, FEDERAL ENERGY REGULATORY COMMISSION

Ms. SWETT. Good morning. Thank you, Chairman Lee, Ranking Member Heinrich, and members of the Committee for the opportunity to testify today. My testimony is rooted in the core principles that anchor my approach as FERC Chairman: affordability, efficiency, and legal durability.

For many households, higher utility bills are debilitating burdens with personal consequences. I understand this firsthand from my childhood. Monthly bills caused me deep anxiety when I was a child, and I carry the weight of that financial stress with me every day in the way that I lead this agency, and it informs my resolve to ensure that families across the country don't have that same burden in shouldering unnecessary costs. As electricity demand accelerates, the Commission is acting decisively to ensure that the grid remains reliable and affordable. For too long, this country has deferred critical decisions essential to maintaining the grid, and that era has ended. The responsibility to steer our country through the energy future is squarely upon me and my four colleagues. The Commission's actions under my leadership reflect an unwavering

commitment to our statutory obligations to ensure just and reasonable rates.

At no point in its history has FERC advanced a more comprehensive set of reforms designed to safeguard American consumers—nor been, I think, subject to leadership as consumed with honoring the law as I am.

From aggressively modernizing natural gas permitting to instituting far-reaching transparency requirements in our June orders, we are executing a disciplined strategy to reduce costs while reinforcing reliability and encouraging infrastructure investment, and that is a very tough needle to thread, and I am committed to doing it. At our June meeting, we took bold action to strengthen cost discipline and reliability. You have mentioned, both of you, that we ordered the six jurisdictional electric markets to produce the most detailed cost transparency measures the Commission has ever required. Those actions should equip our state counterparts, who are responsible for doling out household bills, with tools to assess the expenditures, defend ratepayers, and ensure that emerging load drivers, such as data centers, do not impose unjustified costs on households or small businesses. Additionally, we have established transparent, protective rules for integrating new loads quickly, without compromising reliability.

Still in the vein of affordability, one of the most effective ways to lower energy prices is to eliminate infrastructure constraints that artificially restrict supply. Recent extreme weather events show this clearly. The regions that don't have enough gas pipeline capacity experienced prices many times higher than those with sufficient infrastructure. These disparities translate directly into consumer hardship. In response, the Commission is implementing targeted reforms to streamline permitting and accelerate project development. Following the *Seven County* decision, and under my leadership, we are realigning our environmental review practices with the Commission's statutory role as an economic regulator, a fact that appears to have been lost on several of my predecessors.

Since I joined the Commission late last year, FERC has proposed significantly expanding blanket authorizations for routine pipeline activities and initiated parallel efforts for LNG and hydropower to ensure that these projects can move quickly, without burdensome, case-specific reviews, but based on FERC's decades of experience. These reforms and deliberate recalibration of our processes will reduce administrative friction while preserving full statutory compliance. More energy means lower bills. We are moving fast, but maintaining regulatory excellence so that those investing in and building infrastructure are less vulnerable to judicial review through excellent orders and the associated gridlock and wasted resources that come with orders that are not.

In closing, the work ahead demands clarity, urgency, and strong leadership. Our systems are changing faster than ever, and the choices we make now will determine whether the nation is prepared for the coming decades.

We have taken meaningful steps in the past nine months of my tenure, but the path forward requires sustained resolve, smarter tools, and dexterity, as new technology and pressures emerge. My family and I have made many sacrifices so that I could realize the

honor bestowed upon me by the President to guide our country through the next few years and to success on the other side. I take that commitment with grave resolve, and so long as I am in charge, I will push our country toward an energy system that is affordable, resilient, and built for the future, with focus and determination, and an unwavering commitment to the American ratepayers, who depend on us every single day.

Thank you.

[The prepared statement of Ms. Swett follows:]

Written Testimony of Laura V. Swett
Chairman, Federal Energy Regulatory Commission
Before the Committee on Energy & Natural Resources
United States Senate
July 22, 2026

Chairman Lee, Ranking Member Heinrich, and Members of the Committee, thank you for the opportunity to testify today. Families and businesses across the nation are confronting significant pressures from rising energy costs, and I am well aware that many Americans have growing concerns about reliability of the systems that power their daily lives. My testimony today is rooted in the core principles that anchor my approach as FERC's Chairman: affordability, efficiency, and legal durability.

For many households, higher utility bills are debilitating burdens with personal consequences. I understand this firsthand from living in a household whose monthly bills caused me deep anxiety as a child. The weight of that financial stress remains with me and informs my resolve to ensure that families across the country are not forced to shoulder unnecessary costs.

As electricity demand accelerates, the Commission is acting decisively to ensure that the nation's grid remains both reliable and affordable. For too long, the United States has deferred critical decisions essential to maintaining the grid. That era has ended and the responsibility to steer our country through the energy future is squarely upon me and my four colleagues sitting here today.

The Commission's actions under my leadership reflect an unwavering commitment to our statutory obligation to ensure just and reasonable rates. At no point in its history has FERC advanced a more comprehensive set of reforms designed to safeguard American consumers—nor been, I think, subject to leadership as consumed with honoring the law as I am. From aggressively modernizing natural gas permitting to instituting far-reaching transparency requirements in our recent show cause orders, this Commission is executing a disciplined strategy to reduce costs while reinforcing system reliability *and* encouraging infrastructure investment. It's a very tough needle to thread.

At our June meeting, we took unprecedented action to strengthen cost discipline and reliability. We issued show cause orders to six Regional Transmission Organizations and Independent System Operators, calling for the most detailed cost transparency measures the Commission has ever required. Those actions should equip our state counterparts, who are responsible for doling out household bills, with clearer tools to assess expenditures, defend ratepayers, and ensure that emerging load drivers such as data center interconnections do not impose unjustified costs on households or small businesses. Additionally, we've established transparent, protective rules for integrating new loads more efficiently without compromising reliability.

Still in the vein of affordability, one of the most effective ways to lower energy prices is to eliminate infrastructure constraints that artificially restrict supply. Recent extreme weather events demonstrated this clearly: regions lacking adequate natural gas pipeline capacity experienced prices many times higher than those with sufficient infrastructure. These disparities translate directly into consumer hardship. In response, the Commission is implementing targeted reforms to streamline permitting and accelerate critical project development.

Following the Supreme Court's unanimous *Seven County* decision and under my leadership, we are realigning our environmental review practices with the Commission's statutory role as an *economic* regulator—a fact that appears to have been lost on several of my predecessors. Since I joined the Commission late last year, FERC has proposed significantly expanding blanket authorizations for routine natural gas pipeline activities and initiated parallel streamlining efforts for LNG and hydropower facilities to ensure that maintenance, repairs, and upgrades can proceed without burdensome, case-specific reviews. These reforms, reinforced by targeted and deliberate recalibration of our NEPA processes and the adoption of new hydropower categorical exclusions, reduce administrative friction while preserving full statutory compliance.

Accelerating the safe development of interstate pipelines and energy facilities increases supply on the system, and increased supply translates directly into lower utility bills.

Some numbers for you. Since I became Chairman, the Commission has authorized:

- 13,424,330 Dth/d of pipeline capacity, including 6,661,940 Dth/d under Blanket Prior Notice provisions;
- 980,000 Dth/d of storage deliverability; and
- 690,000 Dth/d of LNG export capacity.

We are moving fast but maintaining regulatory excellence so that those investing in and building infrastructure are less vulnerable to judicial review and the associated gridlock and wasted resources.

Under my leadership, the Commission also imposed a historic civil penalty of $722 million against a company that launched a brazen, money-for-nothing scheme that siphoned hundreds of millions of dollars directly from electric utility ratepayers.

Collectively, these measures reflect a disciplined commitment to protecting consumers, improving affordability, and strengthening reliability.

In closing, the work ahead demands clarity, urgency, and strong leadership. Our energy systems are changing faster than ever, and the choices we make now will determine whether the nation is prepared for the coming decades.

We have taken meaningful steps in the past 9 months, but we are nowhere near finished. The path forward requires sustained resolve, smarter tools, and a willingness to adapt as new technologies and pressures emerge. I and my family have made many sacrifices so that I could realize the honor bestowed upon me by the President to guide our country through this critical period and to success on the other side. I take that commitment with grave resolve. So long as I am in charge, I will push our nation toward an energy system that is affordable, resilient, and built for the future, with focus, determination, and an unwavering commitment to the people who depend on it every day.

Thank you.

The CHAIRMAN. Thank you, Chairman Swett.

We will now hear from Commissioner David Rosner. He formerly served as an energy analyst at FERC. He was also someone who spent two years detailed to this Committee, in addition to prior service that he had at the U.S. Department of Energy. He has served on FERC as a Commissioner since 2024, including as Chairman for several months in 2025.

The Chair now recognizes Commissioner David Rosner.

OPENING STATEMENT OF HON. DAVID ROSNER, COMMISSIONER, FEDERAL ENERGY REGULATORY COMMISSION

Mr. ROSNER. Chairman Lee, Ranking Member Heinrich, and members of the Committee, it is an honor to appear before you alongside my colleagues to discuss FERC's work to deliver affordable and reliable energy for all Americans and our commitment to upholding Congress's vision for a bipartisan, independent, resource-neutral regulator. This mission entrusted to us, while simple to articulate, is increasingly complex to execute. Energy demand continues to grow at a pace that we have not seen in a generation, driven by growth in new industries, like artificial intelligence, reshoring manufacturing, and increased use of electricity in homes and businesses. And we face these challenges at a time when families and small businesses struggle with high prices, especially in their utility bills. So, while meeting this moment presents challenges, it also creates opportunities for us to modernize our nation's energy infrastructure. Upgrading our energy system is necessary to ensure that every American receives reliable and affordable power, and it is essential to our country's economic competitiveness and national security. With this in mind, I would like to highlight a few of the specific actions FERC has taken to confront the challenges and realize the opportunities before us.

First, we are accelerating the addition of new electric generation of all kinds. Building the energy resources needed to meet growing demand and reducing consumer costs is my top focus. We have implemented FERC's landmark Order No. 2023 generator interconnection reforms and fast-tracked more than 50 gigawatts of shovel-ready power plants. Looking forward, I am encouraging grid operators to deploy automation and artificial intelligence tools that have been shown to accelerate steps in the interconnection study process from years to weeks.

Second, we are establishing forward-looking grid planning, centered around reliability, affordability, and economic growth. This year, FERC will begin acting on transmission providers' proposals to implement Order No. 1920, which modernized long-term transmission planning. When I arrived as a Commissioner, this rule was divided along party lines. Today, thanks to extensive state engagement and collaborative problem-solving, I am very proud that it is bipartisan and unanimously supported.

Third, we are emphasizing predictability, speed, and legal durability for infrastructure permitting. Since January 2025, FERC has issued over 120 permits for hydropower and natural gas projects, moving from NEPA review to final permit more than 30 percent faster than was typical during the last decade. Critically, we have done this without compromising quality. FERC's permits have been

routinely upheld in court in recent years. And looking to the future, permitting efficiency will become only more essential as demand growth accelerates.

Fourth, we are embracing innovative pathways to power data centers and other large loads while protecting consumers. Over the last year, the Commission has acted to ensure that demand growth leads to a more reliable, affordable, and sustainable grid and that America can win the AI race without regular families paying for it. At FERC, this is another top priority. In December and January, the Commission implemented programs in the PJM and SPP regions to pair new large loads with new generation. This pairing reduces how much these projects lean on the grid, it minimizes the need to construct additional transmission upgrades, it promotes flexible operations, and it helps ensure that new loads pay their fair share. In parallel, more than 30 states have adopted special retail rate structures for large loads, an important complement to FERC action and a reminder of the cooperative federalism needed to protect regular consumers.

Finally, building upon the progress and the record developed in response to Secretary Wright's ANOPR, in June the Commission issued a show cause order to each regional grid operator, asking them to modernize their rules for interconnecting large loads. These orders are based upon four key pillars—protect consumers, enhance transparency, safeguard reliability, and foster innovation. Put simply, the goal is lowering costs, protecting grid reliability, and helping new customers and power plants get online faster.

Fifth, we continue to enhance grid security and reliability through modernization and flexibility. It is essential that we continue to deploy 21st-century reliability solutions, like advanced demand response, dynamic line ratings, predictive artificial intelligence, and emerging cybersecurity technologies. And FERC's work now includes the development of robust reliability standards for large loads.

Sixth, we are staying laser-focused on affordability. In addition to the examples I have already mentioned, over the last two years, FERC has approved expanded competitive electric markets in the West and in the Southeast, which will enable customers access to lower-cost power. And in PJM, we approved a temporary price cap that saved consumers more than $25 billion. It is my priority to deliver more examples like this in 2026.

Finally, I will conclude by highlighting the value of our current consensus-driven mindset. I am immensely proud that the vast majority of orders I have voted on have been bipartisan and unanimous, including every single energy project permit. This consensus ensures regulatory predictability, legal durability, and strong outcomes for all Americans, informed by five distinct perspectives among the Commissioners. I want to thank my colleagues for their collaboration, which I am confident will continue to deliver for our country. Thank you again for the opportunity to testify today, and I look forward to your questions.

[The prepared statement of Mr. Rosner follows:]

Written Testimony of David Rosner
Commissioner, Federal Energy Regulatory Commission
Before the Committee on Energy & Natural Resources
United States Senate
July 22, 2026

Chairman Lee, Ranking Member Heinrich and Members of the Committee:

I am honored to appear before you today alongside my colleagues to discuss FERC's work to deliver affordable and reliable energy for all Americans and our commitment to upholding Congress's vision for a bipartisan, independent, resource-neutral regulator. It is an honor to serve the country in this capacity.

This mission entrusted to us, while simple to articulate, is increasingly complex to execute. Energy demand continues to grow at a pace not seen in a generation, driven by growth in new industries, like artificial intelligence, by reshoring manufacturing, and by changing patterns of energy use in homes and businesses. Energy technologies are evolving, reshaping how energy infrastructure is planned, built, and used by all types of consumers. And we face these changes at a time when families and small businesses struggle with high prices for essential services—including in their utility bills.

While meeting this moment presents challenges, it also creates opportunities for us to modernize our nation's energy infrastructure. Upgrading our energy system is necessary to ensure every American receives the reliable and affordable power on which they depend, and it is also essential to our country's economic competitiveness and national security.

With this in mind, I would like to highlight a few of the specific actions FERC is taking to confront the challenges and realize the opportunities before us:

First, we are accelerating the addition of new electric generation of all kinds: Building the energy resources needed to meet growing demand and reduce consumer costs is my top focus. We implemented FERC's landmark Order No. 2023 generator interconnection reforms and fast-tracked more than 50 gigawatts of shovel-ready power plants. Looking forward, I am encouraging grid operators to deploy automation and artificial intelligence tools that have been shown to accelerate steps in the interconnection study process from years to weeks.

Second, we are establishing forward-looking grid planning, centered around reliability, affordability, and economic growth: This year, FERC will begin acting on electric transmission providers' proposals to implement Order No. 1920, which modernized long-term transmission planning. When I arrived as a Commissioner, this rule was divided along party lines. Today, thanks to extensive state engagement and collaborative problem-solving, I am proud it is bipartisan and unanimously supported.

Third, we are emphasizing predictability, speed, and legal durability for infrastructure permitting: Since January 2025, FERC has issued over 120 permits for hydropower and natural gas projects, moving from NEPA review to final permit faster than any other agency in the

federal government and more than 30% faster than was typical during the last decade. Critically, we have done this is without compromising quality—FERC's permits have been routinely upheld in court in recent years. Looking to the future, permitting efficiency will become only more essential as demand growth accelerates.

Fourth, we are embracing innovative pathways to power data centers and other large loads while protecting consumers: One of the most significant developments in energy is the rapid growth of large loads. Over the last year the Commission has acted to ensure that demand growth leads to a more reliable, affordable, and sustainable grid—and that America can win the AI race without regular families paying for it.

At FERC, this is a top priority. In December and January, the Commission implemented programs in the PJM and SPP regions to pair new large loads with new generation. This pairing reduces how much these projects lean on the grid, minimizes the need to construct additional transmission upgrades, promotes flexible operations, and helps ensure that new loads pay their fair share.

In parallel, more than 30 states have adopted special retail rate structures for large loads—an important complement to FERC action and a reminder of the cooperative federalism needed to protect regular consumers.

Finally, building upon the progress and the record developed in response to Secretary Wright's ANOPR, in June the Commission issued a show cause order to each regional grid operator asking them to modernize their rules for interconnecting large loads. The Commission's orders are based upon four key pillars: protecting consumers, enhancing transparency, safeguarding reliability, and fostering innovation. Put simply, the goal is lowering costs, protecting grid reliability, and helping new customers and power plants get online faster.

Fifth, we continue to enhance grid security and reliability through modernization and flexibility: It is essential that we continue to deploy 21st-century reliability solutions, including advanced demand response, dynamic line ratings, predictive artificial intelligence, and emerging cybersecurity technologies. Last year, for example, FERC and NERC implemented enhanced power plant performance standards for extreme cold weather that have already proved essential in keeping the lights on during winter storms. And FERC's work now includes robust reliability standards for large loads.

Sixth, we are staying laser-focused on energy affordability: In addition to the examples I have already mentioned, over the last two years, FERC has approved expanded competitive electric markets in the West and in the Southeast, which will enable customers to access lower-cost power. And in PJM we approved a temporary price cap that saved consumers more than $25 billion. It is my priority to deliver more examples like this in 2026.

Finally, I will conclude by highlighting the value of our current Commission's consensus-driven mindset. I am immensely proud that the vast majority of orders I have voted on have been bipartisan and unanimous, including every single energy project permit. This consensus ensures regulatory predictability, legal durability, and strong outcomes for all Americans,

informed by five distinct perspectives. I thank my colleagues for their collaboration, which I am confident will continue to deliver for our country.

Thank you again for the opportunity to testify today. I look forward to your questions.

The CHAIRMAN. Thanks so much, Commissioner Rosner. We will hear next from Commissioner Lindsay See. She became a member of the Federal Energy Regulatory Commission in 2024. Prior to that, she had served as the Solicitor General of the State of West Virginia. And in that position, she argued before the U.S. Supreme Court at least twice. Before that, she was a litigator in private practice, practicing the at the law firm of Gibson Dunn. Commissioner See, we now recognize you, and you may begin.

OPENING STATEMENT OF HON. LINDSAY SEE, COMMISSIONER, FEDERAL ENERGY REGULATORY COMMISSION

Ms. SEE. Chairman Lee, Ranking Member Heinrich, Committee Members, thank you for inviting me and my fellow Commissioners to appear before you today. While the five of us are at this table, please let me also recognize the hundreds of FERC employees whose expertise, integrity, and dedication make the Commission's work possible. I am honored to serve with public servants at their high caliber, and the country is better for their work.

The energy landscape has changed dramatically since the last time I and two of my colleagues appeared before this Committee in 2024. Some issues persist, but many new ones have risen with striking urgency. All of them are defined by the overarching reality that America needs more power. Demand growth from domestic manufacturing, AI and data centers, and other sectors is a great opportunity. A growing load and a growing grid are signs of a growing economy, but American competitiveness depends on our ability to deliver reliable and affordable power.

So, at FERC, we need decisive and flexible action within our legal authorities that let our regulatory framework keep pace with America's needs. That requires focus on three priorities—speed to power, keeping electricity affordable, and the kind of regulatory certainty that gets steel in the ground.

So, first on speed to power. We need processes that get new generation and large new loads connected to the grid quickly and pipelines and transmission that get power where and when it is needed. FERC has taken important steps to meet those challenges. We have talked about them already.

Last month, for instance, we issued a series of orders that require clear rules for how organized electricity markets study and integrate large new loads. These actions are designed to improve transparency, coordination, and speed when it comes to large-load interconnection. They also recognize that regional differences matter as part of a shared goal of connecting new demand safely and efficiently. We are also reforming permitting processes to speed infrastructure reviews. We have taken a close look at what NEPA does and does not require, as well as cut out unneeded construction delays after a review is done. Modernizing permitting can uphold our statutory duties while improving predictability and helping get needed projects built.

Second, we have to keep electricity affordable. Building the infrastructure to meet growing demand is expensive. But as we make investments across the electric system, we have to keep the consumers who ultimately pay for them at the center of our decisions. One path to cost responsibility is encouraging alternative trans-

mission technologies when they make engineering and economic sense. While not always the right fit, these technologies can get more out of the existing system, speed interconnection, and cut down on costly traditional upgrades that would otherwise show up in customers' bills.

We also have to keep a close watch to ensure well-functioning, competitive electricity markets. Over time, organized markets have delivered real value for consumers, but today's markets were not designed for the pace and scale of modern large-load growth. So, FERC is focused on reviewing novel solutions we are seeing from various market regions, and we are also keeping close attention on the regions that have more work ahead.

In these and other areas, our guiding tenet should be that those who drive costs or benefit from new infrastructure should pay their way. By keeping that focus, building needed infrastructure and protecting customers can be complementary goals and not competing ones.

Third, regulatory certainty drives infrastructure. As a lawyer, I never forget that if FERC orders don't hold up in court, infrastructure doesn't get built. States, utilities, and developers need confidence in our regulatory processes. That comes from applying the statutes Congress enacted to the specific records before us. It also means not hesitating to improve when experience shows we can move faster, and in a transparent and legally responsible way.

That drive to improve is animating our recent work in natural gas infrastructure. In May, we proposed expanding the blanket certificate program by upping cost thresholds and adding new categories of routine projects for streamlined review. The goal is to modernize permitting to reflect today's infrastructure and cost-responsibility needs, while preserving resources for more complex reviews.

One of my priorities has been expanding that approach to the liquefied natural gas infrastructure project category. I am proud that we are now several months into a process to design a more efficient and predictable program for the LNG space that fully meets our legal responsibilities. We are also focused on our hydropower-related reviews. Hydro brings critical reliability features to the grid, and I support the Commission's continued efforts to find opportunities to improve post-licensing processes in this important area, too.

Today's energy landscape reveals extraordinary opportunities, but also generational challenges to meet them. In these areas and the others we will be discussing today, I respect FERC's twin duties not to go beyond our statutory limits, but also not to hold back exercising the power we do have in a moment that requires decisive action.

Thank you again for the opportunity to testify today, and I am looking forward to the discussion and questions.

[The prepared statement of Ms. See follows:]

Written Testimony of Lindsay S. See
Commissioner, Federal Energy Regulatory Commission
Before the Committee on Energy & Natural Resources
United States Senate
July 22, 2026

Chairman Lee, Ranking Member Heinrich, Committee Members, thank you for inviting me and my fellow FERC Commissioners to appear before you today.

While the five of us are at this table, please let me also recognize the hundreds of FERC employees whose expertise, integrity, and dedication make the Commission's work possible. I'm honored to serve with public servants at their high caliber, and the nation is better for their work.

The energy landscape has changed dramatically since the last time I and two of my colleagues appeared before this Committee in 2024. Some issues persist, but many new ones have risen with striking urgency. All of them are defined by the overarching reality: America needs more power. Demand growth—from domestic manufacturing, artificial intelligence, data centers, and other strategic industries—is a great opportunity for our country. A growing load and a growing grid are signs of a growing economy, and American competitiveness depends on our ability to deliver reliable and affordable power.

For FERC in this dynamic time, we need decisive and flexible action within our legal authorities. We have to ensure our regulatory framework keeps pace with America's growing needs. That aim requires clear focus on three priorities: enabling speed to power, keeping electricity affordable, and delivering the kind of regulatory certainty that gets steel in the ground.

First, **reliability requires speed to power**. Ensuring reliable electricity isn't just about today's grid. It's about building tomorrow's infrastructure at the pace our growing energy needs require. We need regulatory processes that get new generation and large new loads connected to the grid quickly—and pipelines and transmission that get power where and when it's needed.

FERC has taken important steps to help meet those challenges. Last month, for instance, we issued a series of orders that require clear rules and structure for how organized electricity markets study and integrate large new loads. These actions are designed to improve transparency, coordination, and speed when it comes to large load interconnection. They also recognize that regional differences matter as part of a shared goal of connecting new demand safely and efficiently.

We're also reforming permitting processes to speed infrastructure reviews. We've taken a close look at what NEPA does and does not require, as well as cut out unneeded construction delays after our review is done. Modernizing permitting can uphold our statutory duties while improving predictability and helping get needed projects from planning stages to reality.

Second, **we have to keep electricity affordable**. Building the infrastructure to meet growing demand is expensive. But as we make investments across the electric system, we must keep consumers who ultimately pay for them at the center of our decisions.

One way to advance cost responsibility is to encourage alternative transmission technologies where they make engineering and economic sense. While not always the right fit, these

technologies can get more out of the existing system, speed interconnection, and cut down on costly traditional network upgrades that would otherwise show up in customers' bills.

We also have to keep a close watch to ensure well-functioning competitive electricity markets. Over time, organized markets have delivered real value for consumers by sharing resources across broader areas, dispatching lowest-cost generation, and strengthening grid reliability. But today's markets were not designed for the pace and scale of modern large-load growth. So FERC is focused on reviewing the novel solutions we're seeing from various market regions, as well as keeping attention on the regions that have more work ahead.

In these areas and others, our controlling tenet should be that those who drive costs or benefit from new infrastructure should pay their way. By keeping that focus, building needed infrastructure and protecting customers can be complementary goals—not competing ones.

Third, **regulatory certainty drives infrastructure**. As a lawyer, I never forget that if FERC orders don't hold up in court, infrastructure doesn't get built. States, utilities, and developers need confidence in our regulatory processes. It comes from applying the statutes Congress enacted to the specific records before us. It also means not hesitating to improve when experience shows we can move faster, and in a transparent and legally responsible way.

That drive to improve animates our recent work on natural gas infrastructure. In May, we proposed expanding the blanket certificate program by increasing cost thresholds and adding new categories of routine projects for streamlined review. The goal is to modernize permitting to reflect today's infrastructure and cost-responsibility needs, while preserving resources for more complex reviews.

One of my priorities has been expanding that approach to liquefied natural gas infrastructure reviews. Today, most changes to operating LNG terminals require project-specific authorizations, even for routine proposals that present little environmental or other risk. I'm proud that we're now several months into a process to design a more efficient and predictable program for the LNG space that fully meets our legal responsibilities.

We're also focused on our hydropower-related reviews. Hydropower brings critical reliability features to the grid, and in some regions it's consumers' primary source of electricity. I support the Commission's continued efforts to find opportunities to improve post-licensing processes in this important area, too.

Today's energy landscape reveals extraordinary opportunities, but also generational challenges to meet them. In these areas and the others we will discuss today, I respect FERC's twin duties not to go beyond our statutory limits and not to hold back exercising the power we do have in a moment that demands decisive action. I also appreciate the strong partnerships FERC shares across the federal government, with the States, and in the private sector as we take on the priorities that define today's and tomorrow's energy needs. Thank you again for the opportunity to testify. I look forward to your questions.

The CHAIRMAN. Thanks so much, Commissioner See. We are going to hear next from Commissioner Judy Chang. Commissioner Chang, along with Commissioners See and Rosner, has served on FERC since 2024. Prior to that, she served in Massachusetts state government as the Under Secretary of Energy and Climate Solutions and also taught at the Kennedy School at Harvard University.

The Chair now recognizes Commissioner Chang.

OPENING STATEMENT OF HON. JUDY CHANG, COMMISSIONER, FEDERAL ENERGY REGULATORY COMMISSION

Ms. CHANG. Thank you. Chairman Lee, Ranking Member Heinrich, and members of the Committee, thank you very much for inviting me and my fellow Commissioners to testify here today. Since I last appeared before the Committee two years ago, the country's energy sector has transformed at a pace that would have previously been unimaginable. From the position at the Commission, I am focused on setting the rules of the road that ensure that our energy system can keep up with the rapid change and continue to deliver affordable and reliable electricity to the American people.

I would like to highlight three priorities: set clear rules, upkeep efficient markets, and drive efficient planning and building of infrastructure.

First, our most pressing mandate is to set clear rules to enable the interconnection of new large loads and deliver the electricity needed to power them while protecting existing customers against reliability risks and unwarranted cost shifts. The Commission has been tasked with solving this problem, and over the last year, we have taken action based on the substantial record before us.

Last month, we reached an important milestone through the initiation of six regional proceedings, in which I highlighted a number of important issues. Given the increased cost of power in many regions of the country, affordability must continue to be top-of-mind. The Commission must ensure that creating new pathways for large loads does not lead to a major cost shift to existing customers. Though we are improving our understanding of the types of tools that can provide these protections, ultimately, the details will matter.

In addition, the sheer size of the large computational loads will have major reliability implications for the grid. I will continue to work closely with NERC to understand the risks and make sure they are addressed through appropriate Commission action. With ever-increasing importance, advanced transmission technologies will play a major role in getting the most out of our existing and expanding grid, which will in turn help ensure affordability and reliability. Overall, the Commission has an important responsibility as both the economic and reliability regulator to take actions that protect consumers.

Second, as we experience rapid growth, the Commission must work to ensure that our wholesale electricity markets continue to deliver efficiencies for customers. For decades, FERC has promoted the development of competition in the electricity and natural gas sectors, and I remain fundamentally supportive of those efforts. Our current market structures have been tailored over time to

meet each region's specific needs, but they must now adapt to the major changes underway. In the Eastern Interconnection, markets must find ways to keep pace with the growing demand—on the supply side, by modifying capacity, energy, and ancillary services markets to provide the right economic signals to incent new generation and preserve needed existing resources; and on the demand side, by enabling more savings through increased participation of demand-side resources. In the Western Interconnection, new markets are taking shape that may present more complex designs, seams, and dynamics to resolve than their eastern counterparts. One of my priorities is to work closely with the market operators and the western stakeholders to identify and address those challenges to optimize operations and prevent potential manipulation.

Third, the Commission must continue to set clear rules and regulations so that the infrastructure needed to support U.S. economic growth can be built. More focus is still needed on planning, particularly on the backbone transmission system through regional and interregional processes. Order No. 1920 set the appropriate approach for regions to reach agreement on the long-term trajectory of grid growth and cost allocation. I am looking forward to seeing that the compliance process has begun and working with my colleagues to implement those reforms.

The Commission also has a prominent role in siting hydroelectric and natural gas infrastructure, and we are looking for efficiencies that will facilitate the permitting of the next generation of energy projects. We can gain most efficiencies by ensuring that the roles and responsibilities are clear from the outset, and that our decisions are legally durable and account for people who live near the projects. Making the appropriate process changes can improve access to energy, which, in turn, improves energy affordability and reliability. I hope that the Commission can continue to be good partners to states and regional entities in this effort.

Again, thank you for the opportunity to testify, and I am happy to answer questions as we get to them. Thank you.

[The prepared statement of Ms. Chang follows:]

Written Testimony of Judy Chang
Commissioner, Federal Energy Regulatory Commission
Before the Committee on Energy & Natural Resources
United States Senate
July 22, 2026

Chairman Lee, Ranking Member Heinrich, and members of the Committee. Thank you for inviting me and my fellow Commissioners to testify today.

Since I last appeared before the Committee two years ago, the country's energy sector has transformed at a pace that would have previously been unimaginable. From my position at the Commission, I am focused on setting rules of the road that ensure that our energy system can keep up with rapid change and continue to deliver affordable and reliable electricity to the American people. I would like to highlight three priorities.

First, our most pressing mandate is to set clear rules to enable the interconnection of new large loads and deliver the electricity needed to power them while protecting existing customers against reliability risks and unwarranted cost shifts. The Commission has been tasked with solving this problem, and over the last year, we have taken action based on the substantial record before us. Last month, we reached an important milestone through the initiation of six regional proceedings, in which I highlighted a number of important issues.[1] Given the increased cost of power in many regions of the country, affordability must continue to be top of mind. The Commission must ensure that creating new pathways for large loads does not lead to major cost shifting to existing customers. Though we are improving our understanding of the types of tools that can provide these protections, ultimately, the details will matter. In addition, the sheer size of large computational loads will have major reliability implications for the grid.[2] I will continue to work closely with NERC to understand the risks and make sure they are addressed through appropriate Commission action. With ever increasing importance, advanced transmission technologies will play a major role in getting the most out of our existing and expanding grid, which will in turn help ensure affordability and reliability. Overall, the Commission has an important responsibility as both an economic and reliability regulator to take actions that protect consumers.

Second, as we experience rapid growth, the Commission must work to ensure that that our wholesale electricity markets continue to deliver efficiencies for customers. For decades, FERC has promoted the development of competition in the electricity and natural gas sectors, and I remain fundamentally supportive of those efforts. Our current market structures have been tailored over time to meet each region's specific needs, but they must now adapt to major changes underway in the industry. In the Eastern Interconnection, markets must find ways to keep pace with growing demand: on the supply side, by modifying capacity, energy, and ancillary services markets to provide the right economic signals to incent new generation and preserve needed existing resources; and on the demand side, by enabling more savings through

---

[1] *E.g.*, *PJM Interconnection, L.L.C.*, 195 FERC ¶ 61,211 (2026) (Comm'r Chang, *concurring*).
[2] *E.g.*, *Reliability Standard(s) Pertaining to Computational Load Integration*, 196 FERC ¶ 61,031 (2026).

increased participation of demand-side resources.[3] In the Western Interconnection, new markets are taking shape that may present more complex designs, seams, and dynamics to resolve than their eastern counterparts. One of my priorities is to work closely with the market operators and Western stakeholders to identify and address those challenges to optimize operations and prevent potential manipulation.

Third, the Commission must continue to set clear rules and regulations so that the infrastructure needed to support US economic growth can be built. More focus is still needed on planning out the backbone transmission system through regional and interregional processes. Order No. 1920 set the appropriate approach for regions to reach agreement on the long-term trajectory of grid growth and cost allocation. I am thrilled to see that the compliance process has begun and look forward to working with my colleagues to implement these reforms nationwide. The Commission also has a prominent role in siting hydroelectric and natural gas infrastructure, and we are looking for efficiencies that will facilitate the permitting of the next generation of energy projects. We can gain the most efficiencies by ensuring that roles and responsibilities are clear from the outset, and that our decisions are legally durable and account for the people who live near the projects. Making the appropriate process changes can improve access to energy, which should, in turn, improve energy affordability and reliability. I hope that the Commission can continue to be a good partner to states and regional entities in this effort.

Thank you for the opportunity to testify and I am happy to answer any questions.

[3] I recently highlighted the importance of ensuring available demand-side resources can participate in Commission-jurisdictional markets, particularly at this moment when supply is tight and prices are high. *Midcontinent Indep. Sys. Operator, Inc.*, 195 FERC ¶ 61,210 (2026) (Comm'r Chang, *dissenting*).

Senator MCCORMICK [presiding]. Thank you. And we will turn now to Mr. LaCerte, who comes to us with a distinguished career of 20 years in public service at both the state and federal level, and also from service in the Marine Corps.

So, Mr. LaCerte, your remarks, please.

OPENING STATEMENT OF HON. DAVID LACERTE, COMMISSIONER, FEDERAL ENERGY REGULATORY COMMISSION

Mr. LACERTE. Thank you, Senator. Chairman Lee, Ranking Member Heinrich, distinguished members of the Committee, it's good to be back before you again. I know it has been a few short months since I was last here. I was beginning to wonder whether you missed me or not. So, it's good to be back. It's my honor to serve the American people by implementing the Commission's statutory mandate to ensure just and reasonable rates for reliable electricity, to site natural gas pipeline infrastructure and liquefied natural gas facilities, and license non-federal hydropower facilities. I am also thankful that the Senate confirmed my appointment to serve on the Commission for a subsequent five-year term. I would like to speak on a few of our accomplishments since I joined the Commission and address my priorities going forward. I will also discuss where I believe Congress should effectuate important reforms so that the American public can benefit from the world-class infrastructure that they deserve.

I will repeat my Commissioners' sentiments on the June open meeting where the Commission took bold action when we issued six show cause orders, one to each of the RTOs and ISOs within the Commission's jurisdiction. The orders direct these groups, where the majority of Americans reside, to either show cause why their current tariffs do not need to be reformed or to file reforms to ensure that large loads, such as data centers, can connect to the transmission system in a swift manner. Importantly, the show cause orders direct the grid operators to ensure that such reforms insulate customers from undue costs stemming from the interconnection of data centers. As I have told this body numerous times, my pledge to the American people is to keep consumer costs top-of-mind, and I will do so as I continue to review the responses to the show cause orders.

This Commission also continues to permit projects and issue such authorizations in a timely and legally durable manner. At a time when energy demand is rising and reliability challenges are mounting, the Commission has acted with efficiency and urgency. Year-to-date, the Commission has already issued 15 percent more orders over he same time period in 2025. Since I have joined the Commission, we have voted in over 720 proceedings, and the Commission has authorized the addition of approximately 13.42 million dekatherms per day of natural gas transportation capacity, enough fuel to support the electricity needs of over 60 million American households.

But how much energy is that? It's enough to power every household in all states represented by the 20 Committee members on this body, plus an additional 20 million Americans. The Commission has also certificated roughly 980,000 dekatherms per day of storage deliverability, which provides a critical safety net for the

nation's natural gas supply that can help balance seasonal spikes, mitigate price volatility, and ensure reliability.

As Commissioner, I will continue my steadfast focus on removing distractions and extra-jurisdictional side quests in strict alignment with our statutory authorities granted us by Congress to ensure the Commission continues to expeditiously review all matters before us under the FPA and the NGA. One such example relates to how the Commission performs its statutory responsibilities under NEPA. Frankly, state and federal reviews have bogged down investments in infrastructure to the detriment of our nation, our economy, and our environment. We are looking at ways to streamline our internal processes to better align obligations under NEPA with the Supreme Court's decision in *Seven County*. As I said at last month's open meeting, we will begin implementing changes to the way we evaluate projects against their environmental backdrop, as appropriate, and in such a way as to ensure the analysis actually informs the Commission's evaluation of the project at hand rather than wading into the never-ending quicksand of inquiries about where to draw the NEPA line. We will fulfill the requirements under NEPA, but in a way that is consistent with NEPA's textual focus on the proposed action, as outlined by a unanimous Supreme Court in *Seven County*.

As you have heard me say before, affordability and reliability are my top commitments, and this load growth must not come at the expense of ordinary Americans who are already concerned about their energy bills. Although the Commission can take significant action to help ensure America's position to win the challenges of the century, we need help from Congress. And as I said before, permitting statutes must be designed to ensure responsible infrastructure development and not stymie it. I am of the opinion that durable permitting reform must be enacted in the 119th Congress. My view has been reinforced as a Commissioner, where I have witnessed firsthand how difficult it is for companies to invest in our infrastructure. I continue to approach the responsibility of Commissioner with diligence, independence, and a clear understanding of whom I serve—the American people. It is a profound honor to serve on this Commission.

Thank you, Chairman Lee, Ranking Member Heinrich, and the rest of the distinguished members of the Committee, for bringing us together today to discuss these important issues and oversight. The only way we win—the only way the American people win—is by coming together to craft solutions to these problems before us. I look forward to answering your questions.

[The prepared statement of Mr. LaCerte follows:]

Written Testimony of David LaCerte
Commissioner, Federal Energy Regulatory Commission
Before the Committee on Energy & Natural Resources
United States Senate
July 22, 2026

Chairman Lee, Ranking Member Heinrich, and distinguished members of the Committee.

I'm grateful for the opportunity to again appear before you today. It is my honor to serve the American people by implementing the Commission's statutory mandate to ensure just and reasonable rates for reliable electricity, site natural gas pipeline infrastructure and liquified natural gas (LNG) facilities, and license non-federal hydropower facilities. I am also thankful that the Senate confirmed my appointment to serve on the Commission for a subsequent five-year term.

I'd like to speak on a few of our accomplishments since I joined the Commission and address my priorities going forward. I also will discuss where I believe Congress could effectuate important reforms so that the American public can benefit from the world class infrastructure that they deserve.

At the June open meeting, the Commission took bold action when we issued six show cause orders, one to each of the Regional Transmission Organizations (RTOs) and Independent System Operators (ISOs) within the Commission's jurisdiction. The orders direct these groups, where the majority of Americans reside, to either show cause why their current tariffs do not need to be reformed or to file reforms to ensure that large loads, such as data centers, can connect to the transmission system in a swift manner. Importantly, the show cause orders direct the grid operators to ensure that such reforms insulate customers from undue costs stemming from the interconnection of data centers. As I have told this body numerous times, my pledge to the American people is to keep consumer costs top of mind, and I will do so as I review the responses to the show cause orders.

The Commission also continues to permit projects and issue such authorizations in a timely and legally durable manner. At a time when energy demand is rising and reliability challenges are mounting, the Commission has acted with efficiency and urgency. Year-to-date, the Commission has already issued 15% more orders over the same period in 2025. Since I've joined the Commission, we've voted in over 720 proceedings. And the Commission has authorized the addition of approximately 13.42 million dekatherms per day (Dth/d) of natural gas transportation capacity, enough fuel to support the electricity needs of over 60 million American households. The Commission has also certificated roughly 980,000 Dth/d of storage deliverability which provides a critical safety net for the nation's natural gas supply that can help balance seasonal spikes, mitigate price volatility, and ensure reliability. On LNG, the Commission has approved about 690,000 Dth/d export capacity at America's LNG export terminals, providing global partners with access to a reliable energy source that has mutual economic and energy security benefits. As Commissioner, I will continue my steadfast focus on removing distractions and extra-jurisdictional side quests, in strict alignment with our statutory authorities granted to us by

Congress, to ensure the Commission continues expeditiously reviewing all matters before us under the Federal Power Act (FPA) and the Natural Gas Act (NGA).

One such example relates to how the Commission performs its statutory responsibilities under the National Environmental Policy Act (NEPA). Frankly, state and federal reviews have bogged down investments in infrastructure to the detriment of our nation, our economy, and our environment. We are looking at ways to streamline our internal processes to better align our obligations under NEPA with the Supreme Court's decision in *Seven County Infrastructure Coalition v. Eagle County, Colorado,* (*Seven County*). Just last month, the Commission approved Eastern Gas's Appalachian Reliability Project – Docket No. CP25-528-000. In that order, we set aside the separate category of cumulative effects. As I said at last month's open meeting, we will begin implementing changes to the way we evaluate projects against their environmental backdrop, as appropriate, and in such a way as to ensure the analysis actually informs the Commission's evaluation of the project at hand rather than wading into the quicksand of never-ending inquiries about where to draw the NEPA line. The Commission will continue to evaluate information on other activities in the vicinity of a given project to help us contextualize and understand how that project will affect the environment. We will fulfill the requirements under NEPA, but in a way that is consistent with NEPA's textual focus on the proposed action, as outlined by a unanimous Supreme Court in *Seven County*.

We have also proposed significant modifications to the Commission's pipeline blanket certificate regulations to expand the scope and scale of projects that interstate natural gas pipelines may construct without a case-specific authorization order and to increase the cost limits for such projects, among other changes. The proposed modifications will accelerate pipeline and compressor station construction, increase capacity, improve access for power generators, and reduce consumer costs, all while preserving an appropriate level of environmental protection. These proposed modifications to the program will facilitate bringing additional capacity online quickly to ensure we are meeting the gas and power demands of today and tomorrow. I am committed to ensuring that outdated or burdensome regulations do not hinder innovation and progress. And I intend to leave no stone unturned in this endeavor. We can build things again in this country while also ensuring the protection of the environment, and that is our undivided aim at the Commission.

Finally, the Commission continues to ensure that its robust enforcement regime protects consumers from bad actors. In April, the Commission levied its largest financial penalty ever – $722 million in civil penalties and disgorgement of $410 million in unjust profits, plus interest, totaling over $1.1 billion – when a supposed energy efficiency provider collected hundreds of millions of dollars without providing as much as a single watt of energy savings – or any other benefit – to American ratepayers. We will continue to ensure that the American ratepayer is protected against future fraud and malfeasance.

As you've heard me say before, affordability and reliability are my priorities. As load growth accelerates, I have been unwavering in my commitment that this growth must not come at the expense of ordinary Americans who are already concerned about their energy bills. Although the Commission can take significant action to help ensure America is positioned to win the

challenges of this century, we need help from Congress. As I've said before, permitting statutes should be designed to ensure responsible infrastructure development, not stymie it.

I am of the opinion that durable permitting reforms must be enacted in the 119th Congress. My view has been reinforced as a Commissioner, where I have witnessed, firsthand, how difficult it is for companies to invest in infrastructure. For example, at the Commission's May open meeting, and again last week at our July meeting, I suggested that Congress modernize the Clean Water Act (CWA). Most importantly, I recommend clarifying the scope of a discharge under CWA section 401 (Section 401). The Supreme Court interpreted Section 401 in *PUD No. 1 of Jefferson County et. al. v. Washington Department of Ecology et. al.*, holding that states could condition a federal permit based on the activity as a whole. This holding has not stood the test of time and has allowed states to saddle a federal agency and licensee with conditions that extend far beyond water quality considerations. Additionally, states leverage Section 401 by denying certificates to unilaterally block federally authorized projects. If we want to build new or expand upon existing natural gas infrastructure, hydroelectric facilities, and interstate transmission lines, Congress needs to ensure that states are not using Section 401 to block infrastructure for political purposes.

Second, Congress should pick up where the Supreme Court left off in *Seven County* and continue to clarify the scope of NEPA. Similar to modifying the scope of Section 401, and regarding siting and building hydroelectric facilities, Congress should modify the scope and process by which mandatory conditions are prescribed in licensing proceedings. Further, I encourage Congress to reform judicial review procedures for NEPA challenges or authorizations under the NGA. Finally, in ensuring that permitting reform is done in a comprehensive manner, I encourage Congress to also modernize other statutes that affect the permitting process, such as the National Historic Preservation Act and Endangered Species Act. It's imperative that we do not trade one hurdle for another, and action on holistic reform is of paramount importance. The Commission stands ready to implement any and all reforms under our jurisdiction, and I thank each member for taking these issues seriously. Be bold; these reforms are long overdue. The best time to act was years ago, the second-best time to act is now.

I continue to approach the responsibility of Commissioner with diligence, independence, and a clear understanding of whom I serve: the American people. It is a profound honor to serve on this Commission. Thank you, Chairman Lee, Ranking Member Heinrich, and the rest of the distinguished members of this Committee, for bringing us together to discuss these important issues. The only way we win — the American people win -— is by coming together to craft solutions to the problems before us. I look forward to answering your questions.

The CHAIRMAN [presiding]. Thanks so much, Commissioner LaCerte.

I apologize, I had to step out briefly. When you first start to watch proceedings in the Senate, they can look chaotic, and then, when you watch them more, they can look even more chaotic. Sometimes we have multiple committees going on at once, multiple committees voting at the same time. Rigid quorum requirements can be unforgiving. So that's why we sometimes have to bounce in and out. We will now begin our five-minute rounds of questions, alternating between Republicans and Democrats, in order of seniority, subject to the early-bird rule, and I will begin.

Chairman Swett, I would like to begin with you, if that's okay. Last month, FERC took bold action to address issues related to interconnection of data centers to the grid. Now, your orders were designed to ensure that each region will be able to take its own approach to prevent data centers from raising costs to regular consumers. The orders also seek to modernize the electricity sector, which has operated under the same regulatory paradigm for many decades, even as technology has changed, even when population centers and electricity demand patterns have evolved significantly.

Can you explain how you intend to use these orders to help modernize electricity markets and usher in a new era of innovation in the electricity sector?

Ms. SWETT. Thank you for the question, Senator.

Modernizing and innovation were absolutely the goal of those orders. So, I am very pleased that that has come through. It's very clear to me, after my decade and a half of litigating FERC law, that utilities and markets do not want to change, with the exception of a few of them, and it requires aggressive instruction for them to innovate. And so, these June orders were the perfect vehicle for us to employ the market experts, the markets themselves, in order to push the grid into the future. We are accomplishing that through some main tenets here.

First, we have directed fast—on tight timeline—modernization of transmission services and also the study processes that our jurisdictional markets employ. This will save our consumers a lot of money, and with our instructions, they are now in the markets, forced to consider advanced transmission technologies in their study processes and also to study load that may appear near generation, which will reduce the amount of transmission built that is necessary to get the load online. These are all innovations that are not necessarily considered across the country. Some markets have proposed some type of them, but now we are really prompting them on a shot clock to do it.

The third component was that we are forcing more accountability to solve the generation issue. Now, you well know that FERC has no jurisdiction over generation, but because we have directed each market to come back to us with reporting on what they intend to do, how to handle this generation cliff that we are standing on as a nation, that is forcing thought and hopefully action, and together, these tight timelines and instructions should bring our grid to the future.

The CHAIRMAN. Great.

Based on the interconnectedness, so to speak, of the generation and transmission.

Ms. SWETT. Yes.

The CHAIRMAN. Yes, that makes sense.

Commissioner Chang, FERC Order 1000 was issued by the Commission back in 2011. Its goal was to usher in more competition in the electric power sector, particularly by identifying regional transmission upgrades that could be made and ensuring that those selected projects were awarded through a competitive process. A decade and a half later, FERC Order 1000 has not yet fully materialized.

What else do you think the Commission can do to bring more competitive pressure into the electricity sector in a way that is likely to improve conditions, including prices and reliability for consumers, and what action can Congress take to be helpful?

Ms. CHANG. Thank you, Chairman, for the question. I think I want to first highlight what you already said, which is that the intent of Order 1000 regarding competitive transmission really has not materialized. There are some regions that have definitely spent the last decade or so implementing competitive processes, but to actually bring efficiencies and cost savings to consumers, those processes are really just beginning to bring some benefits to the grid. And I do think that we should find additional efficiencies through competition where it is possible. And, as you probably heard from my opening statement, the backbone transmission system is extremely important in integrating the large loads that we are seeing and the large generation that we are adding to the system. And to bring down the cost to all consumers will require competition, and I hope that Order 1000 and the original goals of Order 1000 could be materialized in the future.

Thank you.

The CHAIRMAN. Thank you.

Commissioner LaCerte, I think it's fair to say that natural gas is a key element—some might say backbone, others might say cornerstone or keystone—of a reliable, affordable electric power grid. And this Commission has been moving quickly to help get needed infrastructure approved based on this understanding. Would you walk the Committee through FERC's recent accomplishments on natural gas, the certificates and the capacity you have approved, the steps you have taken to speed up reviews, and what that might mean for consumers, particularly as they get their energy bills?

Mr. LACERTE. Absolutely, Chairman.

So, first, you can take a look at how we survived the recent winter storms and the performance of natural gas compared to other energy sources. And it's really easy to see the way of the future—how we power the country through the future is with natural gas. And the economists at FERC have been consistent and clear that with additional supplies of plentiful and abundant natural gas, that will help drive prices lower. It's simple economics, you know, you are going to increase the supply, you are going to increase the opportunities for consumers to utilize it, and especially in the municipally owned utility space.

You know, some of these municipal governments are captive by one single pipeline which they get their rates from. If we can in-

crease competition for natural gas, especially amongst municipally owned utilities, I think you're going to see prices go down. I think you're going to see investments in our infrastructure, you're going to see re-onshoring of industry, you're going to see data centers grow, which is of vital importance to our country. But we are going to do it in a responsible way that protects the consumers. And we are doing that right now in a bipartisan way with all five Commissioners.

The CHAIRMAN. Thank you.

Senator Heinrich.

Senator HEINRICH. Thank you, Chairman.

I was pleased to hear Commissioner See, Commissioner Chang, and Chairman Swett all mention advanced transmission technologies. And we all know that there haven't always been the built-in economic incentives to put some of those things onto the grid, despite the fact that they can often have very outsized and efficient impacts on how we utilize the existing grid in a way that doesn't require enormous economic upgrades. So, I wanted to ask if you wanted to add anything to that conversation, and also, what would be helpful from Congress in terms of congressional action to reinforce a posture of incentivizing these technologies?

Commissioner See, do you want to jump on that first? You were the first to mention it, so.

Ms. SEE. Happy to, Senator Heinrich. I think when we look at our reliability and affordability challenges, it's certainly necessary that we need to build new infrastructure, and that's expensive. So, nobody is denying that, but there is also a really important moment for us to make the most out of the existing infrastructure, and that is when ATTs and GETs—these technologies can be incredibly helpful. They are not always the best solution, but they can give significant speed and cost savings to customers. So, I was really grateful that my colleagues and I were able to come together and include more language about that in the 206 orders we talked about to make sure that utilities take a hard look at these options when they are considering transmission upgrades.

In terms of what more can be done, you know, FERC has limited authorities in this area. So, we can encourage, we can incentivize, but if this is an issue Congress wants to take up and it gives FERC more clarity and authorities, I would love to see us be able to run in this direction because I think it can be so helpful for both reliability and affordability.

Senator HEINRICH. Very helpful.

Chairman.

Ms. SWETT. Thank you for the question, Senator. I fully agree with you and Commissioner See on this one. We are looking at GETs from every angle, and we recently had a software conference where I had a panel added to have panelists specifically who have experienced implementing GETs in their utilities, in their markets, to see how that is playing out, the economics associated with it, and I think it is getting a lot of traction. The biggest barrier, to answer your question on a finer point, is that the Federal Power Act prohibits FERC explicitly from mandating the building of any particular transmission facility, except for the backstop siting authority. And it is my personal opinion, as a lawyer, that GETs fall

under that category. So, until Congress changes that prohibition, FERC is not really able to instruct anything more aggressively.

Senator HEINRICH. But you can force the analysis——

Ms. SWETT. Correct.

Senator HEINRICH [continuing]. Which can then show the most efficient economic path.

Ms. SWETT. And we have required that type of analysis in our June orders.

Senator HEINRICH. Yes, I think that has been very helpful.

Commissioner Chang.

Ms. CHANG. Great, thank you very much, Senator, for that question.

I, too, support the use of advanced transmission technology—more than support, I think it's time that we take pilot projects, and the industry takes pilot projects and really implement the most advanced technologies to save consumers money. Again, if the U.S. wants to be a leader in technology, this is another set of technologies that we can lead in the industry.

Certainly, I think if Congress wants to work on this, we would be very happy to implement any particular changes. Under the current authority, when transmission owners and developers come to FERC and request for incentives, I think there is some room for FERC to ask the transmission owners and developers to demonstrate and illustrate, or to explain what technologies they are implementing and what else they have considered and why they are not adopting the best technologies available.

Senator HEINRICH. Great. I appreciate that. According to Lawrence Berkeley National Laboratory, at the end of 2025, there were more than 8,200 proposed power plants trying to connect to the grid. But only 13 percent of the capacity that has attempted to get on the grid between 2000 and 2020 has actually reached commercial operation. I recently introduced the Grid Connection Congestion Management Act, which would allow generators to interconnect even faster to the grid, but I want to ask you, Commissioner Rosner, what steps beyond Order 2023 should FERC take to further improve generator interconnection processes? And in particular, do you want to speak—you mentioned automation and AI tools, and I think that's a space that we are just beginning to see the potential of. And so, if you can touch on that, I would appreciate it.

Mr. ROSNER. Thank you for the question, Senator Heinrich, and yes, I think it's obvious to me that there is a huge opportunity to be smarter about how we run our interconnection processes. The Texas model is one example. Implementing automation on a recurrent queue cluster study process is another example. In the SPP region, we had a proposal from them that they brought to us with unanimous support from their states that reimagined how to do both generator interconnection and transmission planning together.

But, back on automation, there is a huge opportunity there. In MISO, their old way with pen and paper and engineers doing the power flow studies, it took them 686 days to process their 2021 cluster, over 100 gigawatts of generation. Using automation, the new way—less than ten days. And there is open public benchmarking on how well this worked. It was very, very close and

continues to get better. And from my perspective, you know, this is all about let's give applicants—we want to connect new power plants to the grid—let's give them the answer on whether it makes sense to connect to the grid in that location or not.

And also, I wouldn't be doing my job if I didn't already say, you know, I appreciate your leadership on transmission—regional, interregional. None of these interconnection queue reforms work if there isn't a grid to plug the power plant into. And we can talk more about some examples of how that hasn't worked so well recently, and it's a huge problem.

Senator HEINRICH. Thank you.

The CHAIRMAN. Senator Barrasso.

Senator BARRASSO. Thank you, Mr. Chairman. Madam Chairman, other members, what I want to talk about is the Seminoe Pumped Storage Project, which is in the State of Wyoming. On June 12th, FERC staff issued their recommended final environmental impact statement for the Seminoe Pumped Storage Project. This is a private project, and it would create water-pump storage infrastructure above Seminoe Reservoir, which is in Central Wyoming.

Functionally, the project works as a battery with capacity efficiency of about 70 percent. It uses power to pump water into storage and then it sells the power at a profit when the grid needs electricity. Wyoming constituents that I have heard from have concerns. They worry that the project harms the only disease-free bighorn sheep herd in the state and critical mule deer, pronghorn, and sage grouse habitat. They also worry that it harms one of the most legendary trout fisheries in Wyoming, and in the world. It's known as the Miracle Mile, but it's over five miles. It's a stretch of the North Platte River between the Seminoe Reservoir and the Pathfinder Reservoir. This is an area that must be protected.

The project received its water quality permit from the state. There are concerns about wildlife that haven't been resolved in the recommended environmental impact statement. The state submitted comments on the project, which I have here, and Mr. Chairman, I would like to enter these into the hearing record, without objection.

The CHAIRMAN. Without objection.

Senator BARRASSO. Thank you, Mr. Chairman.

[The comments referred to follow:]

Wyoming DEPARTMENT OF Agriculture

Mark Gordon, *Governor*
Doug Miyamoto, *Director*
2219 Carey Ave. • Cheyenne, WY 82002
Phone: (307) 777-7321 • Fax: (307) 777-6593
Web: agriculture.wy.gov • Email: wda1@wyo.gov

The Wyoming Department of Agriculture is dedicated to the promotion and enhancement of Wyoming's agriculture, natural resources and quality of life.

December 30, 2025

Debbie-Anne A. Reese
Secretary
Federal Energy Regulatory Commission
888 First Street NE - Room 1A,
Washington, DC 20426

To Whom It May Concern:

Following are the Wyoming Department of Agriculture (WDA) comments regarding the Draft Environmental Impact Statement (DEIS) for Hydropower License for the Seminoe Pumped Storage Project - FERC Project No. 14787-004 Wyoming (Project).

Our comments are specific to our mission: dedication to the promotion and enhancement of Wyoming's agriculture, natural resources and quality of life. As the proposed project could affect our industry, citizens, and natural resources it is important that you continue to inform us of proposed actions and decisions and continue to provide the opportunity to communicate pertinent issues and concerns.

The WDA did not comment during the scoping process, but we offer the following comments and concerns regarding the DEIS and potential negative impacts from the Project on the livestock grazing industry:

Incorporate Livestock Grazing Allotment Impacts

The Abstract and DEIS fail to clearly disclose how impacts are distributed across federal and private lands. Page iv indicates there are 1,025.94 acres of land managed by the Bureau of Land Management (BLM), 77 acres managed by the Bureau of Reclamation, and an additional 830 acres are privately owned. Furthermore, it states 284 acres of land will have permanent disturbance and an additional 328.7 acres with temporary disturbance. There are 1320 acres unaccounted for in the Project Abstract; how many of these acres overlap with federal livestock grazing allotments and how many are private? The aforementioned statement also fails to indicate how many total federal versus private acres of grazing are impacted by the temporary disturbances, as well as how long the temporary disturbances may impact the livestock grazing operations.

The DEIS on page 17 states: "Construction of the upper reservoir would permanently remove about 160 acres from grazing. This may cause a modification to grazing permits and the number of animal units that can be supported on remaining grazing allotments." The DEIS provides an oversimplified estimate of "160 acres" of loss without disclosing the specific grazing allotments affected or the corresponding loss of Animal Unit Months (AUM). Additionally, the DEIS fails to provide a full list of allotments impacted by name, number of acres, and number of AUM's.

The DEIS states on page 99: "the majority (99%) of the land within the project boundary is managed under BLM grazing allotments or private lands grazing." Furthermore, the DEIS states: "There are 12 grazing allotments that overlap with the project boundary. The majority of the proposed project facilities, including the upper reservoir, would be located

Equal Opportunity in Employment and Services
BOARD MEMBERS
Aaron Clark, *District 1* • James Rogers, *District 2* • Kim Bright, *District 3* • Amanda Hulet, *District 4* • Mike Riley, *District 5*
Jody Bagley, *District 6* • Larry Krause., *District 7*
YOUTH BOARD MEMBERS
Meredith Halweg, *Southeast* • Benjamin Anson, *Northwest* • Hadley Manning, *Southwest* • Lexi Bauder, *Northeast*

within the "Black Canyon" allotment. The proposed project boundary would occupy approximately 1.2% of the total acreage of the Black Canyon allotment. According to Black Canyon Hydro, LLC (BCH), the proposed project boundary would occupy less than 6% of any one grazing allotment..." WDA believes the DEIS analysis inadequately informs the public, or the public lands livestock grazing permittees of the true impacts of the project.

Page 103 to 104 of the DEIS states: "The Wyoming Farm Bureau Federation (WyFB) expressed concern regarding grazing and its potential for loss of acreage and potential collisions with construction, operation, and maintenance vehicles. WyFB states that the area of the upper reservoir is one of the most productive for forage within the allotment and that the introduction of non-native and invasive plant species can significantly affect forage quantity and quality. WyFB recommends that mitigation be based on forage production." BCH's response on page 104 states: "BCH does not propose any measures to specifically mitigate the changes in land use or grazing allotments. BCH does propose to develop a traffic management plan to help manage the increased level of project related traffic." The dismissive response to WyFB's comment is deeply concerning and reiterates WDA's overarching issues regarding the DEIS' inadequate analysis of the impacts to the livestock grazing industry. The WDA believes BCH should address livestock grazing impacts equally, with other resources.

While the project footprint may convey only a small percentage of the allotments affected, the lack of inclusion of allotment maps, location of fence lines, water wells, pipelines, or other range improvements, indicates there are many more negative impacts to the livestock grazing permittees than the DEIS conveys. WDA requests the inclusion to mitigate all range improvements affected by the Project's footprint. We urge the gathering of baseline water pressure on wells, fence line modifications and maintenance, or other modifications should fall under BCH, not on the permittees.

Address Livestock Grazing Impacts in the Traffic Management Plan

Throughout the DEIS, BCH has diligently worked to address many of the Wyoming Game and Fish Department's comments. In particular, the DEIS analyzes impacts such as loss or disturbance of habitat, habitat fragmentation, direct injury or mortality of individual animals, proposals for speed limits to reduce vehicle collisions with wildlife, etc. In most cases, wildlife and livestock mutually benefit from similar management actions, such as the reduced speed limit. However, the DEIS blatantly excludes addressing livestock grazing impacts.

The DEIS must equally analyze the impacts to the livestock grazing industry and allotments. The DEIS and tentative Traffic Management Plan does not account for the impact of high-volume construction traffic, blasting or general construction noise, or the potential for dust to degrade adjacent forage. The DEIS indicates there could be as many as 79 or more trucks traveling the road per day. These management practices will certainly affect livestock grazing. The WDA recommends the Project's traffic management plan address the full scope of livestock grazing impacts.

Comply with the 2008 Rawlins RMP

The WDA does not support the permanent loss of AUMs within BLM grazing allotments. The DEIS is currently deficient in its analysis of livestock grazing impacts and is noncompliant with the 2008 Rawlins Resource Management Plan (RMP). The permanent removal of forage for the upper reservoir, transmission lines, and added infrastructure causes a direct loss that violates the intent of the RMP.

Specifically, the Rawlins Record of Decision (ROD)/RMP states on page 2-19: "Mitigate direct, indirect, and cumulative livestock forage losses and impacts to livestock grazing... where opportunities exist." Furthermore, Appendix 18, page A18-7 of the ROD specifies these impacts "are typically addressed through onsite mitigation using direct reclamation or

rehabilitation techniques to re-establish the lost vegetation." To satisfy these RMP components, the Project's Final EIS must include mitigation for livestock grazing. This plan should outline specific management practices to reduce forage and range improvement impacts. Examples could include improving forage distribution using water developments, cross fencing, and invasive species treatment.

Page 17 of the DEIS indicates "the project as currently designed would not conform to the 2008 Rawlins RMP." WDA believes the DEIS inadequately explains the additional National Environmental Policy Act (NEPA) requirement for the Project to come to fruition. We urge BCH to provide a more thorough explanation of what a future Amendment would incorporate to conform with the 2008 Rawlins RMP.

The RMP proposed amendments in the DEIS are too narrow in scope. WDA recommends expanding the Amendment to incorporate hydroelectric energy and necessary modifications or grants to designated Right-of-Way (ROW) corridors. While the DEIS does not currently propose modifying the RMP's "Utility/Transportation Systems and Wind Energy Exclusion and Avoidance Areas," WDA believes these areas are warranted for analysis under a Plan Amendment.

Conclusion

The WDA insists the Project addresses the identified impacts to the livestock grazing industry and its non-compliance with the existing Rawlins RMP. To remedy these deficiencies, the FEIS for the Project must provide a comprehensive inventory of grazing allotments, including a detailed breakdown of acreage and AUM losses per allotment. Furthermore, the WDA insist a formal Livestock Forage Mitigation Plan is developed before proceedings or implementing the project. If you have questions, please contact Holly Siebert, Senior Policy Analyst at 307-777-7024.

Sincerely,

For Doug Miyamoto
Director

DM/hs

CC: Governor's Policy Office
Wyoming Board of Agriculture
Wyoming Stock Growers Association
Wyoming Wool Growers Association
Wyoming Farm Bureau Federation
Wyoming State Grazing Board
Wyoming Association of Conservation Districts
Wyoming Game and Fish Department
Wyoming County Commissioners Association
Public Lands Council

Department of Environmental Quality

To protect, conserve and enhance the quality of Wyoming's environment for the benefit of current and future generations.

Mark Gordon, Governor

Todd Parfitt, Director

January 2, 2026

Debbie-Anne A. Reese, Secretary
Federal Energy Regulatory Commission
888 First Street NE, Room 1A
Washington, DC 20426

RE: Wyoming Department of Environmental Quality Comments – Seminoe Pumped Storage Project Draft Environmental Impact Statement (FERC Project No. 14787-004)

Dear Ms. Reese,

The Wyoming Department of Environmental Quality (WDEQ) appreciates the opportunity to comment on the Seminoe Pumped Storage Project (Project) Draft Environmental Impact Statement (DEIS). As a backdrop for our comments, it is important to note that the WDEQ has been delegated regulatory and permitting primacy over multiple environmental programs by the federal government including for water, air, solid and hazardous waste, and mining activities. In addition, the Wyoming Environmental Quality Act requires certain industrial facilities to obtain an Industrial Siting Permit prior to construction. It is against this backdrop that WDEQ offers the following comments:

General Comments

- The EIS makes numerous references to road construction and materials transport; however, there is currently no analysis as to sourcing of those materials. The Final EIS should identify whether these materials will be sourced from the project itself, nearby, or will be sourced from existing or new mining operations.

Industrial Siting

- On November 7, 2022, WDEQ's Industrial Siting Division (ISD) determined that the Project is jurisdictional and will require a permit from the Industrial Siting Council. (Letter from ISD Administrator to Program Manager, Black Canyon Hydro, LLC). The WDEQ recommends that the Final EIS or FERC License note that prior to construction, Black Canyon Hydro (BCH) will be required to obtain a Wyoming Industrial Siting Permit for the Project.

Solid and Hazardous Waste

- The DEIS (pg 89) notes that during construction, fly ash will be delivered to the site. The use of fly ash may be considered a beneficial use and may need to be approved by WDEQ in accordance with its Solid Waste Rules, Ch. 1, Section 1(f)(xv). In order to make a determination, the WDEQ will need additional information such as where the fly ash is from, how it will be used onsite, and approximate quantities.

Land Quality

- **Executive Summary (Pages 7 and 9)**. This section mentions the project will use gravel similar to the adjacent dominant soil and vegetation colors and will use gravel to cover truck routes and exposed surfaces. The DEIS does not indicate if the project requires mining activity for the purposes of extracting gravel to be used for those purposes. If so, the project proponent will need to either submit the required information and documentation for a limited mining operation or obtain the appropriate mining permits from the WDEQ/LQD, whichever is applicable.

- **Executive Summary (Page 12) – Blasting.** The Executive Summary notes that project construction will require "extensive ground-disturbing activities, blasting, tunneling, and disposal of large quantities of spoil." Other sections of the EIS discuss "hard rock excavation" (pg 128). It is unclear whether BCH's activities encompass mining. To the extent that BCH's activities encompass mining, the WDEQ has blasting primacy. *See* W.S. § 35-11-402(d). Therefore, BCH will need to comply with WDEQ/LQD's blasting regulations in relation to any mining activities. To the extent that BCH's blasting relates to activities outside of the WDEQ/LQD's jurisdiction, BCH will need to comply with the requirements of other applicable entities. *For example, to name a few, see International Fire Code Ch. 56, Section 5607, and National Fire Protection Association Explosives Material Code 495, Ch. 10, Use of Explosive Material for Blasting, Bureau of Alcohol, Tobacco, Firearms and Explosives License/Permit/Storage requirements, Wyo. Dept. of Homeland Security, State and Local Emergency Response Commission, etc.*

Air Quality

- In accordance with Wyoming Air Quality Standards and Regulations (WAQSR) Chapter 6, Section 2, air quality permits may be required for some emission sources or activities occurring during the construction and or operation phases of the Project. Examples of some of those sources or activities include, but are not limited to concrete batch plants (pg 129), asphalt plants, generators and compressors (pg 129), storage tanks for diesel or other fuel (DEIS mentions use of on-site diesel equipment but does not mention use or potential emissions from any type of on-site fuel-storage tanks), blasting (pg 19), material stock-piles, soil piles (pg 134), spoil pile area (pg 114, spoil size of 50 acres at a height of up to 15 feet) and other emission sources or activities. As such, obtaining applicable WDEQ air quality permits should be discussed in the Final EIS and required by the FERC License.

- The DEIS recommends that the FERC License include an air pollution control plan with best management practices designed to minimize emissions and control construction dust (Page 145). WAQSR, Chapter 3, Section 2 (f) prescribes certain fugitive dust control measures for construction and material handling and transportation. Given WDEQ's air quality primacy, the WDEQ recommends that BCH be required to develop its air pollution control plan in consultation with the WDEQ.

- BCH's air pollution control plan with BMPs includes "applying water or dust reducing agents." (pg 145). However, the DEIS does not indicate where BCH will source its water, the number or size of any on-site water tanks, or the number of water trucks used for the Project. The WDEQ recommends that BCH indicate the source of the water that it will use, the number and size of on-site water tanks, and the number of water trucks it will use for the Project's dust suppression activities.

- Page 137 of the DEIS states that the Project "would be consistent with state and national goals for

reducing GHG [greenhouse gas] emissions." This statement is inaccurate. Neither Wyoming's Legislature nor the U.S. Congress have established a state or national GHG reduction goal.

Water Quality

- **Executive Summary (Page 4), Section 2.2 Applicant's Proposal (Page 32), Section 3.3 Proposed Action and Action Alternatives (Pages 63 and 66), Section 5.1 Comprehensive Development and Recommended Alternative (Page 140), and Appendix G (Page 252).** These sections describe the implementation of the Water Quality Adaptive Management Plan (AMP) developed by Black Canyon Hydro, LLC that was attached to its 401 water quality certification request to the WDEQ-WQD and filed with FERC on March 7, 2025. Since that filing, Black Canyon Hydro, LLC, in consultation with WDEQ-WQD, has substantially revised the AMP, with a final draft dated September 17, 2025, that was submitted to FERC on September 18, 2025. Once approved by the WDEQ-WQD, the AMP will be incorporated as an enforceable condition of the Section 401 water quality certification for the Project and will remain in effect for the duration of the associated FERC hydropower license.

  The AMP's objective is to manage Project operations to maintain existing water quality and prevent exceedances of Wyoming's coldwater aquatic life temperature criteria in the Miracle Mile segment of the North Platte River. It establishes operational restrictions on power generation flows to be implemented between July 1 and September 15 when Seminoe Reservoir levels fall below specific elevation triggers, which are evaluated biweekly. Real-time temperature monitoring at U.S. Geological Survey (USGS) gage 06636000 on the Miracle Mile will provide data used to determine whether further operational restrictions are necessary. If observed temperatures in the Miracle Mile exceed corresponding biweekly temperature thresholds based on historical data, additional operational restrictions will be implemented during the following biweekly period.

  The AMP also includes regular coordination with WDEQ-WQD, annual data analysis, and submission of an annual report to WDEQ-WQD by December 31 of each year. Together, these measures will guide implementation of operational restrictions and evaluate their effectiveness in preventing temperature criteria exceedances. Accordingly, WDEQ-WQD requests that the AMP description, its provisions and potential corrective actions in the DEIS be updated to reflect the latest (September 17, 2025) version to accurately represent the methods that will be used to ensure compliance with Wyoming Surface Water Quality Standards (Chapter 1, Wyoming Water Quality Rules).

- **Executive Summary (Page 10), Section 2.3 Staff Alternative (Page 38), and Section 5.1 Comprehensive Development and Recommended Alternative (Page 146).** In multiple locations, the DEIS describes a federal staff alternative under which the Project would be constructed and operated as proposed by Black Canyon Hydro, LLC, with certain modifications. One proposed modification is to "modify the Water Quality Adaptive Management Plan in consultation with Wyoming DEQ, Wyoming GFD, and BLM to include monitoring DO concentrations and turbidity in addition to water temperatures in Seminoe Reservoir, Kortes Reservoir, as well as the Miracle Mile to help determine if changes in these parameters in the Miracle Mile are related to project construction and operation." The WDEQ-WQD emphasizes that the Water Quality Adaptive Management Plan (AMP) was developed at WDEQ-WQD's request for inclusion as an enforceable condition for the Project's 401 water quality certification. Additionally, the AMP is designed to ensure its construction and operation activities comply with Wyoming Surface Water Quality Standards. The AMP is a requirement of the WDEQ-WQD's 401

water quality certification and although we acknowledge and support coordination with other federal and state agencies, any proposed modification to the AMP must be approved by the WDEQ-WQD. Under Section 401 of the federal Clean Water Act and 40 CFR 121.10, the state agency that issues a Section 401 water quality certification is the only entity with the legal authority to modify or amend the certification, provided the federal permitting or licensing agency agrees with the proposed modifications or amendments. This authority extends to conditions of the certification, such as the AMP. Accordingly, we request that the DEIS be revised to clearly reflect these requirements when referencing any potential modifications to the AMP.

- **Executive Summary (Page 13) and Section 3.3 Proposed Action and Action Alternatives (Page 65).** These sections describe that releases of water from the proposed upper reservoir during power generation would cause de-stratification in the portion of Seminoe Reservoir in proximity to the inlet/outlet location. However, this characterization does not align with Black Canyon Hydro, LLC's Seminoe Pumped Storage Water-Quality Model report (August 28, 2024, p. 27), which indicates that planned operations would have a variable effect on the duration of stratification (-5 to +9 days) and that the timing of stratification and turnover is similar to conditions without the Project. Only maximum operations were shown to reduce the duration of stratification in each simulated year. The WDEQ-WQD therefore requests that the DEIS language be revised to avoid implying that complete thermal de-stratification would occur in Seminoe Reservoir near the inlet/outlet location with Project operations.

- **Section 3.3 Proposed Action and Action Alternatives (Pages 53 and 69) and Appendix C (Tables 7 and 19).** The DEIS uses the outdated classification system (e.g., Class 2) for assigning designated uses to Wyoming surface waters, identifying the North Platte River immediately above Seminoe Reservoir as well as Seminoe and Kortes Reservoirs as Class 2AB, and the segment from Kortes Dam to Pathfinder Reservoir as Class 1. Please note that the WDEQ-WQD revised the Wyoming Surface Water Quality Standards in August 2025, replacing the previous classification system with a waterbody-specific designated use system. While the underlying designated uses remain the same, the DEIS should now list the specific designated uses assigned for each surface water rather than the previous classification. For the North Platte River segment immediately above Seminoe Reservoir and including Seminoe and Kortes Reservoirs, the designated uses assigned to these waters are coldwater aquatic life, drinking water, human consumption of fish, industry, irrigation, livestock, terrestrial wildlife, recreation, and scenic value. Furthermore, waters previously identified as Class 1, such as the North Platte River between Kortes Dam and Pathfinder Reservoir, are now referred to as Outstanding Resource Waters. Moreover, referenced water quality criteria in the DEIS should also include the specific designated uses for which they are meant to protect (e.g., numeric dissolved oxygen criteria for early and other life stages are protective of the cold-water aquatic life designated use). The updated Wyoming Surface Water Quality Standards and the full list of waterbody-specific designated uses are available on the WDEQ-WQD website at https://deq.wyoming.gov/water-quality/watershed-protection/surface-water-quality-standards/. WDEQ-WQD staff are available to assist with any questions about Wyoming's updated Surface Water Quality Standards.

- **Section 3.3 Proposed Action and Action Alternatives (Page 54).** The DEIS states that "While average DO levels upstream to downstream generally meet the 6 mg/L state criteria for aquatic life throughout the year, there are periods when DO concentrations fall below the 8 mg/L daily minimum for DO state criteria for early life stages including within the narrower canyon reach of Seminoe Reservoir where the

proposed inlet/outlet structure would be located." This statement incorrectly references a 6 mg/L dissolved oxygen criterion protective of coldwater aquatic life that the Wyoming Surface Water Quality Standards does not contain. Furthermore, the clause that dissolved oxygen concentrations fall below the 8 mg/L daily minimum for early life stages requires context based on the type of water (reservoir versus river). For clarification, numeric dissolved oxygen criteria protective of coldwater aquatic life contained within Wyoming Surface Water Quality Standards apply as follows:

a) Seminoe and Kortes Reservoirs (early life stages directly exposed to the water column): 7-day mean of 6.5 mg/L and instantaneous minimum of 5.0 mg/L;

b) North Platte River (early life stages indirectly exposed to the water column): 7-day mean of 9.5 mg/L and instantaneous minimum of 8.0 mg/L; and

c) Seminoe and Kortes Reservoirs and the North Platte River (other life stages): 30-day mean of 6.5 mg/L, 7-day mean minimum of 5.0 mg/L, and instantaneous minimum of 4.0 mg/L.

The WDEQ-WQD requests that these clarifications be included in the DEIS when describing existing dissolved oxygen conditions in comparison to Wyoming's dissolved oxygen criteria protective of coldwater aquatic life.

- **Section 3.3 Proposed Action and Action Alternatives (Pages 54 and 55).** The DEIS currently compares the existing water quality conditions of Seminoe Reservoir, Kortes Reservoir, and the North Platte River against applicable dissolved oxygen and pH criteria protective of coldwater aquatic life contained in Wyoming's Surface Water Quality Standards. However, comparisons of existing conditions to Wyoming's temperature criteria protective of coldwater aquatic life are absent and should be included for consistency and transparency.

- **Section 5.2 Unavoidable Adverse Impacts (Page 147).** The WDEQ-WQD requests the DEIS be updated to include the unavoidable loss of 1.48 acres of the "Dry Lake" wetland as a result of construction of the Project's upper reservoir in Section 5.2 - Unavoidable Adverse Impacts. Although the U.S. Army Corps of Engineers (Corps) determined "Dry Lake" (referenced as "Wetland W-2" in their October 10, 2025, jurisdictional determination NWO-2022-01415-RWY to Black Canyon Hydro, LLC) is not a water of the United States, it remains a surface water of Wyoming and is subject to WDEQ-WQD regulation. Therefore, the placement of dredged or fill material into "Dry Lake" and any potential mitigation requires WDEQ-WQD authorization. Including this unavoidable impact in the DEIS is necessary to ensure NEPA compliance and to inform the public and our agency of necessary permitting and mitigation that may be required under Wyoming Water Quality Rules.

- **Appendix A Statutory and Regulatory Requirements (Page 151)**. We understand that Appendix A of the DEIS is intended to list all applicable federal and state laws, regulations, permits and certifications that may be required for the Project. This appendix correctly identifies primary federal laws and many associated federal permits, including the need for a 401 water quality certification from the WDEQ-WQD. However, it omits other necessary permits issued by the WDEQ-WQD under our delegated Clean Water Act and state authorities. Considering information in the DEIS and reiterating our November 4, 2024, scoping comments, the WDEQ-WQD requests that the following information be added to

Appendix A of the DEIS to ensure compliance with Wyoming's Water Quality Rules.

- *WDEQ-Water Quality Division (WQD) Authorities* - In accordance with Title 35, Chapter 11 of the Wyoming Statutes (Wyoming Environmental Quality Act) and Wyoming's Water Quality Rules, the Wyoming Department of Environmental Quality – Water Quality Division (WDEQ-WQD) is responsible for the protection and restoration of the quality of waters of the state. The WDEQ-WQD also implements portions of the federal Clean Water Act, including development of surface water quality standards, identification of impaired waters, and development of total maximum daily loads for impaired waters under Section 303; inventorying water quality under Section 305; discharge permitting under Section 402; water quality certifications under Section 401; and addressing nonpoint sources of pollution under Section 319. Under these regulatory authorities, the WDEQ-WQD must ensure the Project protects water quality and designated uses of surface waters of the state consistent with Sections 301, 302, 303, 306, 307, 401, and 402 of the federal Clean Water Act; Wyoming Surface Water Quality Standards (Chapter 1, Wyoming Water Quality Rules); Wyoming Permit Regulations for Discharges to Wyoming Surface Waters (Chapter 2, Wyoming Water Quality Rules); and other applicable state laws and regulations.

- *Large Construction Stormwater General Permit* - For Project construction activities that will clear, grade, or otherwise disturb a cumulative five or more acres, coverage under a Wyoming Pollutant Discharge Elimination System (WYPDES) Large Construction Stormwater General Permit (LCGP) is required. Disturbance includes construction of the Project and associated access roads, construction of mitigation sites, borrow and stockpile areas, and equipment staging and maintenance areas. For coverage under the LCGP, a Notice of Intent and a complete Stormwater Pollution Prevention Plan (SWPPP) must be submitted prior to beginning construction activities. Additionally, if the Project boundary falls within a Greater Sage-Grouse Core Area or a Mule Deer and Antelope Migration Corridor, the owner or operator must coordinate with the Wyoming Game and Fish Department to ensure that the Project is consistent with the Governor's Executive Orders 2019-3 and 2020-1, respectively. A map of sage-grouse core areas in Wyoming is available at https://wgfd.wyo.gov/Habitat/Sage-Grouse-Management/Sage-Grouse-Data. A map of mule deer and antelope migration corridors can be found at https://wgfd.wyo.gov/wyoming-wildlife/movement-matters/big-game-migration. Additional information is available at https://deq.wyoming.gov/water-quality/wypdes/discharge-monitoring-reports/storm-water-permitting/.

- *Temporary Discharges Involving Construction Activities General Permit* – Project activities that involve the temporary discharge of pollution associated with, but not limited to, construction dewatering, disinfection of potable water lines, well pump testing, or pipeline hydrostatic testing into a surface water of the state, require coverage under the WYPDES General Permit for Temporary Discharges Involving Construction Activities. Additional information is available at https://deq.wyoming.gov/water-quality/wypdes/discharge-permitting/.

- *General Permit for Discharges of Dredged or Fill Material* - Project activities that involve the discharge of dredged or fill material into any surface water of the state (including wetlands), as defined in Wyoming Statutes 35-11-103(c)(vi), that do not meet the federal definition of waters of the United States (WOTUS) at 33 CFR Part 328 and 40 CFR Part 120, require coverage under

the WYPDES General Permit for Discharges of Dredged or Fill Material. Under this permit, discharges of dredged or fill material that temporarily or permanently impact a cumulative 1 acre or less of wetland or a cumulative 500 linear feet or less of stream channel or shoreline length (i.e., small discharges), are automatically covered and will not require submittal of a Notice of Intent (NOI) provided the applicant complies with all conditions of the general permit. Large discharges of dredged or fill material are those that temporarily or permanently impact greater than 1 cumulative acre of wetland or a cumulative stream channel or shoreline length greater than 500 linear feet. Large discharges will require submission of an NOI and verification of coverage prior to beginning activities. If large discharges of dredged or fill material result in the permanent loss of more than 1 cumulative acre of (a) naturally occurring wetland or (b) human-made wetlands used to mitigate the loss of naturally occurring wetlands, wetland mitigation will also be required. For additional information on the General Permit for Discharges of Dredged or Fill Material, please call 307-777-7093 for more information.

- *Short-Term Sediment Disturbances* - Project activities that involve construction, repair, or maintenance in and along a surface water of the state that will result in a short-term exceedance of narrative turbidity criteria, a waiver is recommended. In accordance with Chapter 2, Section 2(b)(viii), the administrator of the WQD may authorize temporary increases in turbidity above the criteria in Chapter 1, without a permit, upon review of plans for the activity in and along the waterway. A workplan must be submitted by the operator, and a waiver approved by the administrator before work begins. This process generally takes about 15 - 30 days. Please call 307-777-7093 for more information.

If you have any questions or need additional information, please feel free to contact Ross Breedlove at 307-777-3785 or ross.breedlove1@wyo.gov.

Sincerely,

Todd Parfitt
Director
Wyoming Department of Environmental Quality

Cc: Nancy Vehr – Deputy Director, WDEQ
Jennifer Zygmunt – Administrator, Water Quality Division
Amber Potts, Administrator, Air Quality Division
Jenny Staeben, Administrator, Industrial Siting Division
Brandi O'Brien, Administrator, Land Quality Division
Suzanne Engles, Administrator, Solid and Hazardous Waste Division
Keith Guille – Outreach Program Manager
Ross Breedlove – Policy/NEPA Coordinator
Nolan Rap – Natural Resource Policy Advisor, Governor's Office

January 2, 2026, VIA Electronic Filing

Division of Hydropower Licensing
c/o Debbie-Anne Reese, Acting Secretary
Federal Energy Regulatory Commission
888 First Street NE, Room 1A
Washington, DC 20426

Re: Project No. 14787-004 Wyoming, Seminoe Pumped Storage Project - Comments on DRAFT ENVIRONMENTAL STATEMENT FOR HYDROPOWER LICENSE

To Whom It May Concern:
The Wyoming Department of State Parks and Cultural Resources, Division of State Parks, Historic Sites, and Trails, submits the following comments on the Draft Environmental Impact Statement for Hydropower License for the Seminoe Pumped Storage Project, FERC Project No. 14787-004.

Wyoming State Parks and Cultural Resources has filed a Motion to Intervene on this project.

Please contact me with any questions.
Sincerely,

Carly-Ann Carruthers

Carly-Ann Carruthers
Planning Manager
State of Wyoming, Department of State Parks and Cultural Resources
Division of State Parks, Historic Sites, and Trails
2301 Central Avenue, Cheyenne, WY 82002
307-777-6968, CarlyAnn.Carruthers@wyo.gov

Enc: Draft EIS_WY SPCR Comments_Jan 2, 2026

Cc: Michael Tust, Federal Energy Regulatory Commission

January 2, 2026, VIA Electronic Filing

Division of Hydropower Licensing
c/o Debbie-Anne Reese, Acting Secretary
Federal Energy Regulatory Commission
888 First Street NE, Room 1A
Washington, DC 20426

Re: Project No. 14787-004 Wyoming, Seminoe Pumped Storage Project - Comments on DRAFT ENVIRONMENTAL STATEMENT FOR HYDROPOWER LICENSE

The Wyoming Department of State Parks and Cultural Resources (SPCR), Division of State Parks, Historic Sites, and Trails, offers the following comments on the Draft Environmental Impact Statement, dated September 2025, for the Seminoe Pumped Storage Project, P-14787-004. These comments reflect many of the same challenges and concerns we presented in Scoping letters in November 2024 and March 2025.

Statutorily, SPCR is charged with the management and protection of Wyoming's state parks, public recreation grounds, and historic sites.[1] Therefore, comments on the Draft Environmental Impact Statement revolve around issues of recreation and cultural resource protection on both the State Park, the proposed project area, and the surrounding lands. In Wyoming, recreation and cultural resource protection are directly linked to habitat and wildlife health and the tourism industry, a backbone of the state's economy.

Seminoe State Park has hosted an average of 45,156 visitors annually over the past five years. The Park is operated by Wyoming SPCR through a Management Agreement with the Bureau of Reclamation.[2] The agreement outlines conditions for the management, development, operation, and maintenance of recreation, recreation improvements, and recreation facilities at Seminoe Reservoir. This arrangement should be clarified on page 111 of the DEIS, which also fails to mention the North Red Hills campground.

[1] Wyoming Statutes Annotated, Section 36-4-108(b)(i). Available online: Wyoming Statutes Annotated.
[2] Management Agreement No. 15-LM-60-2363, effective through May 2042, is available upon request.

Mark Gordon | Governor
Dave Glenn | Director
Nick Neylon | Deputy Director
Chris Floyd | Deputy Director

ARTS. PARKS. HISTORY.

2301 Central Avenue • Barrett Building, 4th Floor • Cheyenne, WY 82002 • 307.777.6323 • wyoparks.org

Hunting and fishing are the third most popular outdoor activities in the state, behind only water sports and trails, paths, and mountain recreation.[3] Wetlands, crucial habitats, and the recreation they support are hugely important to the state.[4] The project area is adjacent to popular recreation areas that hinge on wildlife and fisheries resources that are major economic drivers for their communities.

Wildlife and habitat are key drivers of recreation and infrastructure related to the Seminoe Pumped Storage Project will result in direct, indirect, and cumulative impacts to fisheries and wildlife and their respective habitats. The Draft Environmental Impact Statement needs to do more to address avoiding and mitigating adverse impacts. SPCR agrees with the recommendations of the Wyoming Game and Fish Department, including implementing monitoring through the life of the project and adhering to time-limiting stipulations for big game crucial winter and parturition ranges. We wish to see Wyoming's Game and Fish recommendations better incorporated into the final EIS.

The Seminoe Pumped Storage Project is surrounded by public lands, and public lands access is another key concern. Disrupted access to these areas is not deeply addressed in the DEIS, other than to say that a traffic management plan will be implemented and that hunters will be guided to the Bennett Mountain WSA if they have sheep licenses. These actions are important, but limited in their scope and ability to mitigate impacts this project will have on broader public access.

Analysis of the Recreation Resources section assumes no reduction in services to the State Park; SPCR requests further details on what access the project will require to Seminoe Reservoir from the west, both during construction and operations. We are not satisfied with an explanation of how construction or permanent equipment may be deployed along the shoreline. If boat ramps or other infrastructure will be used during the construction or maintenance phases, consideration must be given to Land and Water Conservation Funds (LWCF), which have been deployed at this park and which require that resources may be used only for outdoor recreation into perpetuity. Any changes require pre-approval by SPCR and the National Park Service. Permits can be issued for temporary disruption of facilities, and conversions of equal land for perpetual outdoor recreation use are required for any permanent disruptions.[5] If the Seminoe Pumped Storage Project will impact any recreation facilities, including boat ramps or access points, those details should be conveyed to Wyoming SPCR to avoid any potential issues.

The large spoils pile being sited directly across from the State Park's busiest access point and most popular campground remains a chief concern, as does dust mitigation as it has the potential to disrupt customer experience at the State Park.

---

[3] 2024-2028 Wyoming Statewide Comprehensive Outdoor Recreation Plan, page 42. Available online at Wyoming State Parks, Historic Sites, and Trails' website.
[4] See pages 18-20 of the 2024-2028 Wyoming Statewide Comprehensive Outdoor Recreation Plan.
[5] The Land and Water Conservation Funds Handbook for the State of Wyoming can be accessed from the State Parks, Historic Sites, and Trails website.

Lower speed limits, appropriate signage, dust management, and road maintenance are essential considerations but do little to reduce the traffic that the county road routes will expect to see. The potential for user conflicts is high and road improvements will be required.

Visual resources are important to the setting in the project area and the need for changes to the BLM RMP are minimized in the DEIS. The two proposed BLM RMP amendments, while originating with another federal agency, are a key component of the Seminoe Pumped Storage Plan. The amendments have major implications for the region and have not been adequately analyzed. Though technically out of scope by having originated with another federal agency, it is prudent to review all project components together.

Wyoming's outdoor recreation economy is substantial and growing, and increased to $2.2 billion in 2024 (4.1% of the state's gross domestic product, or GDP), a growth rate of 26.1% that trails only Hawaii, Montana, and Vermont.[6] Outdoor recreation in its many forms and the business that it generates contributes substantially to the quality of life in Wyoming. The estimated loss of $2.2 million in lost tourism revenue through a reduction of over 100,000 regional visits is substantial and, according to our tourism partners, may not adequately capture the potential adverse impact. This analysis should be reconsidered, taking care to explore a larger regional area centered upon the Miracle Mile and visitors drawn to the larger Platte River system.

SPCR reiterates the following considerations, as were mentioned in our Scoping Comments:

- SPCR must be involved with developing and monitoring response and incident plans, including the fire prevention and protection plan, hazardous spill prevention and cleanup plan, aquatic invasive species plan, cyanobacterial monitoring, and noxious/invasive weed management plans. SPCR handles implementation of these plans on property managed as the State Park. SPCR is responsible for fresh water permits within the State Park and wants to ensure water is clean and that invasive species are curtailed.

- SPCR requests for a point of contact to be notified immediately of any contamination or necessary mitigation and kept in the loop for all project communication.

- Per the recreation management agreement with Reclamation, SPHST is responsible for engaging with the Section 106 process for the State Park and requests to be party to this effort to ensure adequate cultural resource mitigation. The Wyoming SHPO is housed in SPCR, but planning staff for State Parks operate separately from the SHPO.

[6] Bureau of Economic Analysis. 2023. Outdoor Recreation Satellite Account U.S. and States, 2022. Available at: https://www.bea.gov/data/special-topics/outdoor-recreation.

- SPCR is exploring completing a Resource Management Plan in conjunction with Reclamation sometime in the next 5 years which will require, at minimum, an Environmental Assessment.

- SPCR is exploring expansion of Seminoe State Park, including adding new management areas, enrolling motorized trails to the Wyoming State Trails Program, and building infrastructure. These expansions aim to better connect the Park, to address increasing visitation, and to facilitate natural and cultural resource protection in areas that are being degraded due to unmonitored use. The timeline for those changes is fluid, but we will be transparent with any proposals.

Key Park staff were not available in mid-to-late December to adequately review the Traffic Management Report and the Stormwater Pollution Prevention Plan; these plans play a major role in addressing avoidance and mitigation of key issues and we will plan to submit comments separately on this and any other major project adjustments.

SPCR will be glad to provide any additional information needed. Please contact me with any questions.

Sincerely,

Carly-Ann Carruthers

Carly-Ann Carruthers
Planning Manager
State of Wyoming, Department of State Parks and Cultural Resources
Division of State Parks, Historic Sites, and Trails
2301 Central Avenue, Cheyenne, WY 82002
307-777-6968, CarlyAnn.Carruthers@wyo.gov

Enc: Draft EIS_SPCR Comments_Jan 2, 2026

Cc: Michael Tust, Federal Energy Regulatory Commission

Wyoming Game and Fish Department
Conserving Wildlife, Serving People
Governor Mark Gordon • Director Angi Bruce

Commissioners
Ashlee Lundvall, President
Mark Jolovich, Vice President
Rusty Bell
Bill Mai
Carlisle "Fonzy" Haskell
John Masterson
Kenneth D. Roberts

December 31, 2025

WER12249.25
Federal Energy Regulatory Commission
Black Canyon Hydro, LLC
rPlus Hydro, LLLP
DEIS Seminoe Pumped Storage Project
Project No. 14787-004
Carbon County

Secretary Debbie-Anne Reese
Federal Energy Regulatory Commission
Office of Energy Projects
Division of Hydropower Licensing
888 First Street NE, Room 1A
Washington, D.C. 20426

Dear Secretary Reese,

The Wyoming Game and Fish Department (Department) has reviewed the Draft Environmental Impact Statement (DEIS) for the Seminoe Pumped Storage Project (Project). The Department is statutorily charged with managing and protecting all Wyoming wildlife (W.S. 23-1-103). Pursuant to our mission, we offer the following comments for your consideration.

The Department continues to have serious concerns with the proposed Project due to the potential and predicted impact to a fishery of national importance and the direct and indirect loss of bighorn sheep, mule deer, antelope, and sage-grouse habitat functionality. We have articulated our concerns to the Project proponent and Federal Energy Regulatory Commission (Commission) through numerous exchanges and yet our most significant concerns, direct and in-direct impacts to the Ferris-Seminoe bighorn sheep herd and the fisheries of Seminoe Reservoir, Kortes Reservoir and the Miracle Mile segment of the North Platte River continue to be inadequately addressed or disregarded in the DEIS.

The Ferris-Seminoe bighorn sheep herd is a population of great importance to the State of Wyoming due to its clean health status. This is currently the only herd we would consider as a source population if future reintroduction or supplemental transplants were to be completed. Bighorn sheep are extremely susceptible to environmental and anthropogenic stressors, which can culminate in herd level, stress-induced, mortality events. Given the Project's intense level of proposed construction activities and the duration of these activities, we do not support the Commission's granting of a variance to our recommended timing stipulations for the crucial winter and parturition ranges. Furthermore, bighorn sheep have very specific habitat requirements which

the minimization and mitigation measures proposed in the DEIS will not be able to adequately compensate. Bighorn sheep habitat is irreplaceable.

Seminoe Reservoir, Kortes Reservoir, and the Miracle Mile are important fisheries to the State of Wyoming. Although stocked annually, much of the trout and walleye populations are naturally maintained through yearly spawning. Changes to water quality, including temperature, dissolved oxygen, turbidity, and water levels resulting from the operation of the project, pose a potentially serious risk to both the long-term health of the fisheries, as well as, the sustainability of fishing-based recreation. The Project's Water Quality Adaptive Management Plan (AMP) does not include specific procedures and control measures for immediate action if a threshold is met. Given that assurances have not been provided within the AMP, the fish residence study was limited in scope, and the Project's potential negative impacts to the Miracle Mile's Blue-Ribbon Fishery and the wild walleye population in Seminoe Reservoir, the proponent's minimization and mitigation measures proposed in the DEIS are not adequate.

Finally, The Project proponent's Alternative D has created new concerns for the Department. Alternative D was submitted to the Commission well into the DEIS public review process on December 15, 2025. The newly submitted and revised materials include changes to both the Project configuration and implementation. These changes to the Project may have different impacts to fish, wildlife, and their habitats that have not been fully evaluated by the Commission, or included in the analysis, findings, or conclusions presented in the current DEIS. The late submission of the materials does not allow adequate time for the Department to fully review and provide informed comments, and furthermore, even understand how the Commission will consider or incorporate Alternative D into the current DEIS. The Department respectfully requests the Commission provide an additional public comment period if the Commission decides to incorporate Alternative D and revised materials into their analysis for this Project.

Thank you for the opportunity to comment. If you have any questions or concerns, please contact Will Schultz, Habitat Protection Program Supervisor, at 307-777-4587.

Sincerely,

Angi Bruce
Director
Wyoming Game and Fish Department

AB/ws/ac

cc: U.S. Fish and Wildlife Service
Chris Wichmann, Wyoming Department of Agriculture

Wyoming Game and Fish Department
Conserving Wildlife, Serving People
Governor Mark Gordon • Director Angi Bruce

Commissioners
Ashlee Lundvall, President
Mark Jolovich, Vice President
Rusty Bell
Bill Mai
Carlisle "Fonzy" Haskell
John Masterson
Kenneth D. Roberts

December 31, 2025

WER12249.25
Federal Energy Regulatory Commission
Black Canyon Hydro, LLC
rPlus Hydro, LLLP
DEIS Seminoe Pumped Storage Project
Project No. 14787-004
Carbon County

Secretary Debbie-Anne Reese
Federal Energy Regulatory Commission
Office of Energy Projects
Division of Hydropower Licensing
888 First Street NE, Room 1A
Washington, D.C. 20426

Dear Secretary Reese,

The Wyoming Game and Fish Department (Department) has reviewed the Draft Environmental Impact Statement (DEIS) for the Seminoe Pumped Storage Project (Project). The Department is statutorily charged with managing and protecting all Wyoming wildlife (W.S. 23-1-103). Pursuant to our mission, we offer the following comments for your consideration.

This Project is proposed to be located in an area of Wyoming that contains multiple vital habitats. Project-related impacts to fish, wildlife, and their habitats are expected to result from both the construction and operation. Due to the large scope of the Project, each sub-area and stage of development and operation presents unique risks and impacts. The DEIS contains proposed actions which may potentially minimize overall impacts to segments of the Project. We appreciate the Federal Energy Regulatory Commission's (Commission) attention to addressing several of the Department's concerns provided during the Scoping and Notice of Intent comment periods and incorporating our recommendations in the DEIS. However, the Department is still seriously concerned that the DEIS lacks sufficient avoidance, minimization, and mitigation measures to negate potential and predicted adverse effects to fish, wildlife, and their habitats. As such, we provide the following comments and recommendations.

- *P.g. 38 - Modify the Water Quality Adaptive Management Plan in consultation with Wyoming DEQ, Wyoming GFD, and BLM to include monitoring DO concentrations and turbidity in addition to water temperatures in Seminoe Reservoir, Kortes Reservoir, as well as in the Miracle Mile to help determine if changes in these parameters in the Miracle Mile are related to project construction and operation.*

  - The Department appreciates and agrees with the Commission to include monitoring DO concentrations and turbidity in addition to water temperatures in Seminoe Reservoir and Miracle Mile in the Water Quality Adaptive Management Plan. We recommend this monitoring occur for the life of the project.
  - Additionally, the Water Quality Adaptive Management Plan should identify operational measures that will be implemented immediately upon findings of exceeding water quality thresholds to rectify any adverse effects to aquatic habitat and fishes in each of the affected water bodies, for the life of the project.

- *P.g. 56 - Most of the fish species found in Seminoe Reservoir (e.g., rainbow trout, walleye, suckers, bass and sunfishes) spawn from April through July.*

  - The Department has not identified bass or sunfish within Seminoe Reservoir.

- *P.g. 56-57 -The results show that the larger game species and suckers were dominant in the lower areas of the reservoirs (i.e., Areas 1 and 2) while smaller individuals of all species and minnow species were dominant in the upper sections of the reservoir survey area (i.e., Areas 4 and 5). Specifically for Area 1 (which includes the proposed inlet/outlet structure and Seminoe Dam), the late spring/early summer survey collected generally larger fish including all three trout species, walleye, and white sucker, with no young-of-year or juvenile fish collected. The late summer/early fall survey in Area 1 collected similar numbers of trout and walleye with lower numbers of white suckers and some emerald shiners. Most of the fish collected in Area 1 were collected within the upper 8-10 feet of the water column.*

  - Methods used in the fish resident survey were used to sample larger size fish and are not efficient in sampling small fish in deep water, including young of the year and juvenile fish. Electrofishing and seining can only sample at depths of a few feet. While experimental gillnet can sample at deeper depths, the gillnets are poor at catching small fish. The mesh panels of the gillnets can be too large to effectively catch and retain small fish, while the small panels are highly visible and the stiffness of the monofilament lead to poor capturing of small fish. Due to sampling methods used, most of the fish that were collected in Area 1 were in the upper 8-10 feet of the water column and may not represent young-of-the year or juvenile fish that may be at a deeper water column depth. We recommend the survey's limitations and potential bias be considered and acknowledged.

- *P.g. 60 - Even with BCH's proposed BMPs to minimize erosion, there would still be some short-term increases in turbidity expected during project construction.*

- The Department recommends limiting in-water construction activities that have the potential to cause an increase in turbidity to occur outside the spawning time limiting stipulation periods for rainbow, cutthroat, and brown trout.
  - Rainbow and Cutthroat Trout - March 15 through May 15.
  - Brown Trout - October 15 through December 15.

- *P.g. 62 - Developing a comprehensive project-specific aquatic invasive species control plan in consultation with Wyoming GFD that includes specific procedures for monitoring for invasive species during construction, operation, and maintenance within the proposed project boundary, educating personnel on what to look for and how to control species, and how BCH would adapt to new species entering the project would ensure that aquatic invasive species are controlled and aquatic habitats maintained for the benefit of fish and wildlife.*

  - The Department concurs with the Commission that an aquatic invasive species control plan needs to be developed and implemented during construction, operation and maintenance for the life of the project. The plan should include specific procedures for monitoring and control measures.

- *P.g. 63 - To address the potential for project operation to affect water temperatures in the Miracle Mile downstream due to project operation, BCH proposes to implement a Water Quality Adaptive Management Plan, filed on March 7, 2025, which includes provisions for: (1) monitoring hourly water temperatures at the USGS river gage in the Miracle Mile reach of the North Platte River from July 1 through September 30 for at least the first 5 years of project operation; (2) comparing monitoring results to specific temperature thresholds established from historical temperature data at the gage site; (3) conducting evaluations to determine if project operation is responsible for exceeding temperature thresholds and, if so, developing corrective measures in consultation with Wyoming DEQ; and (4) filing an annual report with Wyoming DEQ by March 31 that contains monitoring results, evaluations, and any corrective measures proposed.*

  - The Department recommends monitoring efforts should continue for the life of the Project. If temperature exceeds thresholds, then operational actions which adequately address exceedances are recommended to be implemented immediately. The Department recommends monitoring efforts be extended to include Seminoe Reservoir. Additionally, the Department recommends that pre-construction, during construction, and post-construction monitoring occur.

- *P.g. 70 - Daily surface water fluctuation predicted during proposed pumping and generation activities would lead to small, gradual changes in reservoir elevations (i.e., less than a 2 inch per hour increase or decrease and a total intraday change between 6.4-20.88 inches depending on Seminoe Reservoir operating levels). Hunter (1992) found that water stage changes of 2 inches or less are common in unregulated rivers; therefore, these fluctuation rates are*

expected to be within those typically experienced by fish and other aquatic biota in the North Platte River and are not expected to cause any widespread fish stranding along reservoir margins.

- The Department is concerned that walleye spawning habitat may be impacted with the changes in reservoir elevations during pumping and generation activities. Walleye select shallow (<5 meters), nearshore (<3 meters) gravel deposits for spawning (Raabe and Bozek 2012). Reservoir elevation fluctuations of up to 20.88 inches may lead to reductions in walleye spawning success due to the desiccation of newly deposited eggs.

- *P.g. 87 - In areas where variances or waivers to seasonal and spatial mitigation measures are granted for big game habitats, BCH would use on-site biological monitors to monitor the affected area daily during peak or optimal periods of big game activity and during authorized construction activities that may affect behavior or survival of big game at the location. If monitoring detects an impact on big game behavior or habitat conditions change and are no longer compatible with adaptive management, the biological monitor would immediately notify the appropriate federal agency and the construction contractor so the impacts may be avoided, eliminated, or mitigated.*

  - **We continue to request the Commission recognize and support the Department's recommendations for time limiting stipulations for big game crucial winter and parturition ranges.**
  - The DEIS proposed action currently assumes variances or waivers to seasonal and spatial mitigation measures are acceptable, warranted, and will be granted by the Commission. This proposed action is in direct conflict with the recommendations the Department has provided to the Commission during the Scoping and Notice of Intent comment periods for this Project. It also inappropriately assumes that other federal, state, and local permitting authorities will also ignore the Department's recommendations.
  - Impacts to big game from construction activity may not be physically symptomatic for a biological monitor to detect. Stress induced myopathy can occur a few hours to a few weeks after a stressful event.
  - Spraker, T. R., C. P. Hibler, G. G. Schoonveld , and W. S. Adney. 1984. Pathologic changes and microorganisms found in bighorn sheep during a stress-related die-off. Journal of Wildlife Diseases. 20: 319-327.
    - The pathogenesis of this all-age die-off appears to be a complex of factors that resulted in death of 75 to 85% of the population and the significant mortality of lambs born the following three springs. Sheep in Waterton Canyon had been unduly stressed over a relatively short period of time (1 yr). Stress factors for sheep of Waterton Canyon were related to increased disturbance due to construction of a high-level dam within the Canyon. Other added stress factors included: 1) increased human activity; 2) extreme

car and truck traffic (one vehicle every 3 min) which caused high levels of dust within the canyon atmosphere; 3) increased noise-blasting, trucks etc.; and 4) the increased traffic may have discouraged sheep from using the river for water needs.

- *P.g. 88 - To reduce the impacts of increased construction-related traffic to bighorn sheep and mule deer along the 3.7 mile stretch of Seminoe Road, BCH proposes to: (1) fence a 1.3-mile segment of the haul route along Seminoe Road where visibility is reduced, to reduce the potential for collisions of bighorn sheep and mule. deer; (2) post and strictly enforce a 25 mph speed limit; (3) install sensor triggered wildlife warning signs at known crossing areas; (4) use animal detection systems including cameras, continuous radio dispatch, and human monitoring (traffic control flaggers during high wildlife use periods and pausing traffic when ungulate wildlife are present) to identify when sheep and deer maybe present and at risk; (5) install animal deterrents to lead them away from the road and/or alert them to approaching traffic (use of wildlife reflectors, mirrors and repellents); (6) increase the attractiveness of areas away from the road by restoring salt licks or water holes; and (7) evaluate ways to improve riparian areas off-site within the Ferris-Seminoe Bighorn Sheep Herd Unit.*

    - The Department does not support or recommend fencing the haul route along Seminoe Road as it will restrict wildlife movement to resources and creates opportunity for wildlife entrapment, entanglement, and mortality.
    - The Department does not recommend implementing animal deterrents. In addition to increased big game use in the Project area during vital times of the year, big game and other wildlife inhabit the Project area year-long. There should be no attempt due to this Project's construction or operations to deter wildlife from any portion of the Project area.

- *P.g. 92 - Pre-construction, during construction, and post-construction monitoring to document changes in bighorn sheep herd population, herd health, and use of crucial winter range and parturition habitat within areas disturbed during project construction would provide metrics needed to assess the full extent of project related impacts to the herd. If herd population is reduced (through direct loss or health) or change in availability or use of habitat is determined to threaten the future viability/health of the herd and its habitat, additional mitigation measures may be needed to address project effects. This could include transplanting and relocation of bighorn sheep to boost population numbers or additional habitat improvements to increase the carrying capacity of the remaining.*

    - The Ferris-Seminoe bighorn sheep herd is a robust herd, and based on disease surveillance data, the healthiest bighorn sheep herd in Wyoming (Appendix A).
    - This herd is currently the Departments only viable source population for the consideration of future transplants and herd augmentations. Any reduction in herd size and health will negatively impact the Departments ability to reintroduce

bighorn sheep populations and augment herds that have shown declines in population. This population is derived from bighorn sheep that were specifically selected decades ago due to the characteristics of being non-migratory and persisting at relatively lower elevations. These characteristics are important due to the potential risk of encountering domestic sheep and goats outside the herd unit and the relatively low elevation of the Ferris-Seminoe herd unit.
  - The Department does not recommend transplanting or relocation of bighorn sheep into this population because there is currently no viable source population for this action due to disease concerns.
  - The Department is unable to identify mitigation options that will adequately compensate for the direct and indirect impacts from the Project's proposed disturbance levels and loss of habitat for these bighorn sheep as they display a high fidelity for the Project site.

- *P.g. 94 – A portion of the project transmission line and one transmission line access road would be located within the 0.6-mile lek NSO buffer for occupied greater sage-grouse leks. However, because the transmission line would be constructed within 0.5 mile of an existing WAPA transmission line, it may be considered consistent with Wyoming EO 2019-3. Because BCH proposes to construct within the allowed construction time window for occupied leks, and estimated noise levels for construction and traffic are anticipated to remain below the 10 dBA threshold, the potential for adverse impacts of noise on greater sage-grouse at occupied leks are expected to be negligible.*

  - Per Appendix E of the Executive Order 2019-3 Greater Sage-Grouse Core Area Protection (SGEO) "Within 0.6 miles of the perimeter of occupied Greater sage-grouse leks there will be no surface occupancy (NSO). NSO, as used in these recommendations, means no permanent surface facilities, including roads, shall be placed within the NSO area. Other activities may be authorized with the application of appropriate seasonal stipulations, provided the resources protected by the NSO are not adversely affected." As proposed the project is not compliant with the SGEO.
  - To ensure compliance with the SGEO, the Department recommends locating both the transmission line and the road outside of the 0.6-mile NSO, adhering to the seasonal use stipulations, and submitting the finalized Project to the Density Disturbance Calculation Tool for review of compliance with the provisions of SGEO.

- *P.g 255 - Improving habitat conditions within the remaining crucial winter range and parturition habitats within the Ferris-Seminoe Bighorn Sheep Herd Unit prior to beginning construction could increase the carrying capacity of these lands to support displaced sheep and other wildlife during construction and beyond. Measures could include invasive species management and hand-clearing to create openings for winter range, and food plots.*

Therefore, Commission staff recommends that BCH revise the draft Wildlife Restrictions Plan, in consultation with BLM and Wyoming GFD, to :

- The Department does not agree that revising the proponent's Wildlife Restriction Plan to include the Commission's mitigation measures will result in adequate mitigation for the potential adverse effects to the bighorn sheep herd.
  - The Ferris-Seminoe bighorn sheep exhibit a high fidelity to the Project area due to outstanding habitat characteristics it possesses: water, food, shelter, space, and the proximity of these primary habitat characteristics to each other.

(1) develop and implement pre-construction bighorn sheep habitat improvement measures;

- Enhancing and improving the remaining crucial winter and parturition range through habitat projects will take decades. For example, invasive species management takes years of persistent and intensive repeated treatments to deplete seed banks in the soils. Native seed plantings for desired grasses, forbs and shrubs can take several years or decades to grow to the desired age classes, and success is highly dependent on precipitation and often need to be seeded multiple times.
- The Project location overlaps with much of the crucial winter and parturition range habitat which is delineated from the monitoring of actual use by the bighorn sheep within the herd unit.
- Consideration of habitat improvement projects elsewhere in the herd unit may ultimately not result in any meaningful acceptance and use by bighorn sheep given their demonstrated preference for the Project area. It also may introduce an increased risk for bighorn sheep to become exposed to other environmental risks such as increased predation, competition for habitat resources with other ungulates or domestic livestock, and disease vectors.
- The Department does not recommend food plots as mitigation because of the risks associated with artificially congregating wildlife such as increased transmission of communicable diseases and parasites.
- This type of mitigation would be logistically challenging due to extreme slope and the rocky, rugged terrain. Additionally, it would increase the risk of establishing invasive plant species in naïve habitat.

(2) conduct pre-construction, during construction, and post-construction monitoring to document changes in bighorn sheep herd population, herd health, and use of habitat;

- The Department has been extensively monitoring this population of bighorn sheep using geospatial positioning collars since 2009.
- The Department's monitoring data indicates that the vital ranges are accurately mapped. Bighorn sheep show a high fidelity to these areas because of the habitat

characteristics they possess: water, food, shelter, space, and their proximity to each other.

and (3) file monitoring reports with the Commission along with recommendations for additional mitigation measures, if needed, to address project effects to the Ferris-Seminoe Bighorn Sheep Herd Unit population and its habitat. Commission staff estimate this measure would have a levelized annual cost of $26,183, and find the benefits to be worth the cost.

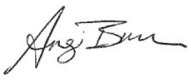
- The filing of monitoring reports will not address immediately detectable, or long-term and potentially irreversible adverse effects to the Ferris-Seminoe bighorn sheep herd from Project construction and operations.
- Furthermore, if there were additional measures which could mitigate potential adverse effects from the Project's construction or operation, we recommend these are identified and required proactively by the Commission, instead of considering these as "Plan B."
- Based on the Department's experience during the last couple of decades working collaboratively with both federal and state land management agencies, non-governmental organizations, and private landowners on habitat enhancement projects in the Ferris-Seminoe bighorn sheep herd unit, in addition to the Department's annual expenditures for monitoring movement, survival, and conducting disease surveillance, the Commission's estimated levelized annual cost is profoundly underestimated. We recommend the Commission update their levelized annual cost to reflect a realistic amount required to truly attempt to mitigate the adverse effects from the Project on the Ferris-Seminoe bighorn sheep herd.

The Project proponent's Habitat Management Plan, Weed and Vegetation Management Plan, Wildlife Seasonal Restriction Variance Plan, Raptor Protection Plan, Sage-grouse Management Plan, and the Traffic Management Plan revisions were submitted to the Commission quite late in the Commission's analysis period for the DEIS. These all lack sufficient and specific measures for avoidance, minimization, and mitigation for adverse effects to the habitat and the species which rely on these habitats.

Overall, the Department continues to have serious concerns with the proposed Project due to the potential and predicted impact to a fishery of national importance and the direct and indirect loss of bighorn sheep, mule deer, antelope, and sage-grouse habitat functionality.

Thank you for the opportunity to comment. If you have any questions or concerns, please contact Will Schultz, Habitat Protection Program Supervisor, at 307-777-4587.

Sincerely,



Angi Bruce
Director
Wyoming Game and Fish Department

AB/ws/ac

cc: U.S. Fish and Wildlife Service
Chris Wichmann, Wyoming Department of Agriculture

CITATIONS

Raabe, J.K. and M.A. Bozek. 2012. Quantity, structure, and habitat selection of natural spawning reefs by Walleyes in a north temperate lake: a multiscale analysis. Transactions of the American Fisheries Society 141(4):1097-1108.

Spraker, T. R., C. P. Hibler, G. G. Schoonveld , and W. S. Adney. 1984. Pathologic changes and microorganisms found in bighorn sheep during a stress-related die-off. Journal of Wildlife Diseases. 20: 319-327.

APPENDIX A.

Wyoming Game and Fish Department
Conserving Wildlife, Serving People
Governor Mark Gordon • Director Angi Bruce

Commissioners
Ashlee Lundvall, President
Mark Jolovich, Vice President
Rusty Bell
Bill Mai
Carlisle "Fonzy" Haskell
John Masterson
Kenneth D. Roberts

12/9/2025

MEMORANDUM

TO: Angelique Curtis, Habitat Protection Program Biologist

FROM: Jessica Jennings, Wildlife Disease Specialist - Laboratory Manager

COPY TO: Daryl Lutz, Lander Wildlife Management Coordinator

SUBJECT: Ferris-Seminoe bighorn sheep herd health status

The Ferris-Seminoe bighorn sheep herd is currently considered one of the "cleanest" and robust bighorn sheep herds in Wyoming based on pathogen presence, lack of mortality events due to disease, and population size. Since 2011, the Wyoming Game and Fish Department (Department) has been conducting annual pathogen surveillance on bighorn sheep throughout the state; live animal sampling is dependent on current research/management objectives; mortality sampling is opportunistic. The Department has collected 186 samples to detect respiratory pathogens (128 from live animals and 58 from dead animals) from bighorn sheep in the Ferris-Seminoe herd unit. To date, respiratory pathogens detected in this herd are limited to leukotoxin positive *Mannheimia spp.* (no *M. haemolytica* detected) and *Pasteurella multocida*. No disease related mortality events have been observed. *Mycoplasma ovipneumoniae*, has never been detected within this herd. Although, there are a few other Wyoming bighorn sheep herds that have only had *Mannheimia spp.* and *Pasteurella multocida* detected, these herds are not considered as potential transplant source herds due to the small size of those herds, the intensity of disease monitoring in those herds, and mortality events due to other disease. Currently the Ferris-Seminoe herd is considered the "cleanest/healthiest" bighorn sheep herd in Wyoming and is the only one that would be considered as a source herd for future transplants.

Senator BARRASSO. It's critically important that Wyoming's concerns are thoughtfully and carefully considered in this process. So, Madam Chairman, I would ask you and the others if you would commit to taking a renewed look at the state's comments and consider their incorporation into your final decision.

Ms. SWETT. Thank you for the question, Senator.

I know these types of projects have great impact on community. They are very emotional for both sides, and I am fully committed to making a measured decision based on the record and working with your staff to arrive at the right choice for the American people.

Senator BARRASSO. Thank you.

Anyone else want to weigh in on this?

Ms. CHANG. Perhaps I could just add, Senator—thank you for your question—that hydropower is an extremely valuable resource, including the Seminoe project, and I, too, will commit to making sure that the state's comments are considered in the record.

Senator BARRASSO. Great.

Madam Chairman, for you, and then anyone else: western electricity markets are evolving rapidly, as you all know. This comes from the implementation of new day-ahead markets. It comes from the new Regional Organization for Western Energy and Southwest Power Pool's expansion to the West. The goal is unified and coordinated electricity transmission. While participation in this new model can be a good thing, states like Wyoming need a meaningful voice in governance. Wyoming is the number one electricity exporter in the Western Interconnection. We have the highest net exports of energy per capita. That makes Wyoming the backbone of the grid.

So, what steps is FERC planning to take to ensure meaningful state participation as the extended day-ahead market in western energy and balanced markets evolve?

Ms. SWETT. Thank you for the question, Senator. As a core principle in my leadership, I take our country's system of federalism very seriously. And state voices must be heard, and I think I have shown that I really do care about states through our 206 orders in June, where we carved out specific transparency to give our state counterparts the tools that they need to ensure that the markets work correctly. And that commitment that I have made in those orders, I commit to you as well, and in other parts of the country that are not covered by them, and particularly when it comes to the West, we are watching very closely as those markets evolve. We have ordered the SPP and CAISO to come back to us with a report on how the seam is going to work and what issues they see arising so that we can all land this ship together. And the states are certainly a huge part of that. So, I commit to you, taking their concerns very seriously.

Senator BARRASSO. Great. Anyone else want to respond on that?

Mr. LACERTE. Yes, Senator, I just wanted to echo the Chairman's sentiments on this and also recognize that many western states reached out last week after an order to require SPP and CAISO to work together and report back to us on these seams issues. I think that will very favorably involve the states. Some of them specifi-

cally mentioned it to us. But I am in full lockstep with the Chairman and the rest of the Commissioners.

Senator BARRASSO. Great.

Ms. SEE. I will just add to that that we strongly respect state autonomy when it comes to choice about what markets to join or not to join. But once those are formed, we take seriously our responsibility as well to ensure just and reasonable rates and a fully effective market. And an important part of that is who has a voice in the market and in those decisions. So, yes, I take the state voice very seriously.

Senator BARRASSO. Great. Thank you.

Thank you, Mr. Chairman.

The CHAIRMAN. Thank you very much, Senator Barrasso.

We will go next to Senator King.

Senator KING. Thank you, Mr. Chairman.

First, I want to thank you for modeling how government is supposed to work. This Commission has worked together very effectively without reference to partisan interests.

The six orders that you issued in June, I think, were, again, a model of prudent regulation and exercising of the powers that you have under the Federal Power Act. So, thank you. It's not often that you get that kind of—I just wanted to share that. We have had a lot of talk about GETs, and I always show what GETs really is all about. This is a typical high-tension transmission piece of wire, and this is a carbon fiber-based transmission wire. This one carries twice the power that this one does. So, you can replace your conductor without new poles, without a new right-of-way, without a lot of new civil works, and double the capacity.

[Photograph of the two conductors follows:]

Senator KING. So, that's really what we're talking about here. And Chairman Swett, I took a little issue with you. I understand that you can't mandate a technology, but your responsibility is just and reasonable rates. And it seems to me if the transmission folks are taking actions that don't make economic sense and will penalize their ratepayers, that does give you a hook to look more carefully at how they actually do it. Now, having said all that, I think one of the ways that you could be very helpful to us is, how do we incentivize these kinds of decisions, because right now the incentive on the transmission developer is to invest. They make a rate of return on the amount of money, the capital that they put in. That's an incentive to gold plate. That's an incentive to build more than you really need to build, and it's a disincentive to do something like this.

So, I think one of the things we need to look at is, how do we provide shared savings, for example, or some kind of incentive to the companies to make these kinds of investments because the cost of the grid enhancement is going up in a huge way over the next several years. It has gone from about 30 percent of electric bills to 40 or 50 percent today. And this cost is going to be overwhelming in the next five or ten years if we don't do it in a smart way. So, Chair Swett, I commend you for what you are doing, but I hope that you will think about the incentives, and also a little more leeway on just and reasonable rates.

Ms. SWETT. Thank you, Senator. I am absolutely thinking about that. In fact, I have convened a task force and a commission of some of our best thinkers to think about the GETs issue and how we can encourage it further, including potential incentives, which have to be landed squarely to show that they will result in cost savings to American ratepayers. So, we have a lot of utilities across the country who have proactively started employing GETs.

And now we have some of the data from the cost savings that those specific technologies are able to produce for those utilities and their customers. So, FERC staff is actually working with those, trying to understand their real-life results and trying to figure out if there is a way that we can incentivize the increased use of GETs and ATTs outside even of our June orders for filings for utilities who can come in and actually show how much cost savings the technologies that they are looking at can bring to their consumers. So, that is definitely a path forward that we are open to and actively pursuing.

Senator KING. And I think the other thing I hope that you will pursue, and Commissioner Rosner, you mentioned this, is the encouragement of the use of—we are talking, we are saying automation, but it's really AI, in resolving the backlogs in the queue because that's a huge problem. And I think—restate the numbers that you gave from the number of days to down to ten days. It was quite remarkable.

Mr. ROSNER. In MISO, which is in the Midwest, it was, their old way—686 days. The new way—less than ten days.

Senator KING. I mean, that speaks for itself. So, I hope, again, you will figure out ways to incentivize that kind of activity. And one way to do it is to say, look, if you do it the old way, you are not imposing just and reasonable rates on your ratepayers. I mean,

that's one of your basic responsibilities. I just want to say a quick word about permitting reform. I have been involved in all the permitting reform discussions here. I am a former developer. I get it. I understand the problems with permitting. But permitting reform, for me, has to involve an even-handed process throughout. And one of the problems we have right now is, we could have all the reform in the world, but this administration has its thumb on the scale of renewables.

So, there is no point in having—it would be like two racers going along and one has a clear hundred-yard dash and the other has a hurdle at the end. And that's what's happening now. The Secretary of the Interior has, I don't know, a hundred projects, wind and solar, sitting on his desk. The Army clearinghouse—the military clearinghouse on wind projects has, I think, 185 projects that have just been arbitrarily stopped without any rationale, without any explanation.

So, I am all for permitting reform, but not if it ends up as a practical matter only reforming the permitting for fossil fuels, and the opportunity for renewables, which, by the way, are the cheapest and fastest to market of any energy source today—unless the playing field is level, count me out.

Thank you, Mr. Chairman.

The CHAIRMAN. Thank you so much, Senator King.

We will turn next to Senator McCormick.

Senator MCCORMICK. Thank you, Mr. Chairman, Ranking Member. We are at a critical juncture for powering our country, and the investments we make now will determine whether America's manufacturing and technology future is built here or somewhere else. Right now, demand for electricity is growing faster than at any point in decades, and supply, as we have established, is not keeping pace. Two forces are driving this demand. First is the AI revolution. This changes the way we work and operate, creating new jobs and opportunities, and companies are bringing manufacturing back to the United States, instead of overseas. That's really great news for America, but only if we have the power to run these operations that come with each of them.

While states like Maryland and New York are shutting down baseload generation, I am proud to report that Pennsylvania remains a net energy exporter. We are the nation's third largest electricity producer. Pennsylvania is powering and manufacturing the AI revolution and our nation's defense capabilities all at once.

However, we must do more. And a brief look at the scale of this challenge shows us that for nearly 20 years, power demand was flat, at nearly half a percent growth annually. From 2020 to 2026, we saw electricity demand increase, growing by an average of 1.7 percent per year. By 2030, our electricity demand could jump 20 percent. Think about that. In ten years, we have gone from half a percent growth to 20, and our supply is nowhere close to keeping up.

Earlier this month, Bank of America reported that the U.S. could face an electricity generation shortfall of 100 gigawatts between 2026 and 2030.

Closer to home, this all comes to rest in Pennsylvania at the PJM interconnection, which serves my home State of Pennsylvania.

Their most recent auction came up short—below their reserve margin targets. I applaud FERC for the work it is doing to advance President Trump's agenda to power the great American comeback, but we need to do more.

The demand is coming, with advanced manufacturing and AI pulling it forward quickly, and we need to get more electrons on the grid, which leads me to questions focused on PJM, and I will start with the Chairman. Tomorrow, FERC will convene a conference to discuss ways to improve PJM's governance and stakeholder processes, including their ability to address market needs in a timely and efficient manner. Could you elaborate on why this conference is needed and some of the governance and stakeholder challenges that FERC and PJM hope to address?

Ms. SWETT. It's my favorite topic.

Senator MCCORMICK. Good, mine too.

Ms. SWETT. Good question, Senator.

Well, I don't need to tell you that PJM powers the homes of 67 million Americans, and as the largest and oldest market in the country, it is probably performing the worst. And I am very concerned. That is why we are convening this tech conference tomorrow. And it's not necessarily PJM's fault. We don't want to point fingers.

A lot of the reason for the tech conference tomorrow is because I am a litigator. I want a record on (1) what the problems are, and (2) what the solutions are. So, we have instructed the people who we have handpicked and chosen, all of our panelists tomorrow, based on what they will bring to the table for solutions, and that is at every level. It's the federal level, the state level, the utilities, the transmission owners, hyperscalers, all types of market participants. We are optimistic that people will be able to coalesce around identifying what should change in the market by the end of tomorrow and the comments filed after so that we can give clear direction. And success to me looks like a PJM, in the near future, that is able to propose solutions quickly, with some type of member support that is clear, and to make those filings, and excellent filings at FERC, so that we can move expediently to have this market serve the country efficiently.

Senator MCCORMICK. Very good, thank you.

And I will, just as a follow-up to that, I will turn to you, Mr. Rosner. One of the concerns we have as an exporter within PJM—Pennsylvania is an exporter—that decisions made within PJM increasingly have enormous consequences for ratepayers, and we want to ensure that no single state, no individual state, can distort the regional market in a way that disadvantages Pennsylvania's consumers and ratepayers. Can you comment on how FERC might play a role in ensuring that doesn't happen?

Mr. ROSNER. Well, thank you for the question, Senator, and I agree with your focus on PJM, and I am looking forward to the conference tomorrow, and you know, I will just say a few things. First of all, making sure that all customers across PJM are treated fairly and that they pay for the power that they receive in a way that is transparent and that is consistent with our cost-causation rules, that's one of my goals, and that is how we will review future proposals from PJM.

The other thing I would just say is, you know, I think it's very good and it's the appropriate time to have this conversation about governance of PJM. I don't want to lose sight of the fact that it does save consumers billions every year in terms of efficient operating, operation of the whole grid, and efficient planning of the transmission system. But also, none of that works if you don't have buy-in from states. And so, one of my priorities throughout the Commission's work is that we set the market rules, and that results in price signals to invest. But none of that goes anywhere if the states don't believe in the way that that price was derived.

On the transmission side of the coin, we set the rules about how you plan the grid. And one of the things that I pushed for in Order No. 1920 was let's have the states come to the table and agree on the scenarios, the way we plan that transmission, the way the cost of that transmission is paid for. It seems like common sense to me that states and their utilities should agree on this, and that's where I pushed to make FERC regulations involve the states more because ultimately we depend on the states to give the permits to build power plants, transmission lines, to do all those things.

And we have talked a lot about grid efficiency and GETs and advanced transmission technologies. Not only is that going to save people money, but also, when we do need to build something, Americans, consumers, they are smart. They want to know that you really needed that wire before you put a new wire in. And those wires, or pipelines, or whatever it is, power plants, they have big impacts. And so, we need to show people and be transparent that we tried everything we could, we got every last ounce of efficiency out of the grid before we did something new.

Senator MCCORMICK. Very good. Thank you.

The CHAIRMAN. Senator Cortez Masto.

Senator CORTEZ MASTO. Thank you, Mr. Chairman.

Welcome to all the Commissioners. Thank you for being here. I want to talk about the growing hydro demand, and your own data shows increased demand for hydro licensing activities in the next decade, with more than 40 percent of the non-federal hydropower fleet due to be relicensed, I think, by 2035. For that reason, Senator Daines and I, actually working together, introduced S. 3500, which is the Hydropower Licensing Transparency Act, and it requires annual FERC reports to Congress on pending projects and action plans. But I know last year FERC sought public feedback on methods to streamline its review of hydropower facilities and I was wondering, maybe, Commissioner See, can you give us a report on that, and maybe an update on where you are with that particular item?

Ms. SEE. I am happy to, Senator Cortez Masto. I agree with you, those statistics about the amount of work coming in are sobering, and in order to keep this critical resource online in so many parts of the country, so, we take that seriously and really welcome your leadership and others in Congress for accountability from us and ways we can continue to streamline the process.

We are hard at work at that, too. As you are well aware, our review, when it comes to hydro, was very expansive, considering a huge range of factors, and we need to do that job well. But I believe

that the best kind of permitting is transparent and efficient and legally durable.

So, part of what we are in the process of right now is, we asked for comment about ways that we can learn from lessons in permitting streamlining in the natural gas context and how, potentially, can we apply a blanket program into the hydro area. That is still ongoing, so, I can't talk about where we are ultimately going to go, but I can tell you that that's something that is top-of-mind for us, is to figure out, are there types of routine projects or changes or amendments that do not need a full case-specific review and can have a more streamlined process that still complies with our statutory responsibilities. That's a program that has been really effective for decades on the natural gas side. Of course, the statutes are different and the interests are different, but we have decades of experience within the Commission that we are really leveraging to figure out how do we take those lessons and bring it to streamlining in this important——

Senator CORTEZ MASTO. And so, will the public have meaningful input in this process as we are looking at hydroelectric?

Ms. SEE. Absolutely.

Senator CORTEZ MASTO. And the blanket certificates?

Ms. SEE. We have already sought comment on the initial processes there, and as the Commission moves forward, you know, on next steps, there would also be a public comment process to make sure that we are considering all the relevant factors.

Senator CORTEZ MASTO. And can you give us just a broad timeline of when we will have some sort of report or conclusion?

Ms. SEE. I can't speak to the internal time frame within the Commission.

Senator CORTEZ MASTO. Okay.

Ms. SEE. We are still working on that. What I can tell you is, it's something that we are—it is top-of-mind for us. I know I talk about it all the time when we have our regular updates with other offices and across the agency.

Senator CORTEZ MASTO. Thank you. I also want to commend you on the work that you are doing to address and combat market manipulation fraud. I thank you for that collective work. I understand, and I think it was mentioned in the opening, that in April, FERC issued a penalty order in its enforcement action against American Efficient after uncovering what FERC described as one of the largest and most brazen fraud schemes in its history. And I thank you for that. I am curious, and maybe, Chairman Swett, if you could speak to other efforts to combat market manipulation and also know that to assist in your enforcement efforts, Senator Cantwell and I introduced legislation. We both were very concerned in the past, coming from the State of Nevada, about market manipulation that we have seen in the past. And we reintroduced it. It's the Energy Consumer Protection Act, and it gives FERC the authority to ban or limit traders who are found to repeatedly manipulate electricity and natural gas markets. But if you could talk a little bit about your focus in this space.

Ms. SWETT. Thank you for the question, Senator.

I was an enforcement prosecutor at FERC, and as a baby lawyer who grew up in FERC's enforcement office, they have a fond place

in my heart. I know how diligent the staff works, how passionate they are, and I share that passion.

When we are facing increasing energy bills in this country, there is absolutely no room for fraud. There was not before, but now every single penny matters, and I take the enforcement program very seriously. I am very supportive of it. I was extremely proud to issue the biggest penalty in FERC history under my tenure to American Efficient. And that is a signal that that type of market manipulation and activity will not be countenanced by this Commission under my leadership.

We are looking at the enforcement program with fresh eyes to look at what type of training may be helpful for them. As someone who has worked in private practice, I have had a lot of litigation training and I am very aware of how training can improve the quality of work. And my goal for our enforcement program is excellence. I have very high standards for the cases that we bring and the rigor with which the staff defends them. So, I am very personally involved in their activities.

Senator CORTEZ MASTO. I know my time is up. At some point in time, I would like to—and maybe we will submit this for the record—I am concerned about staffing, brain drain, loss of staff, whether it's DOGE or other issues causing it, I would like to hear. So, we are going to submit that for the record as well, where we can help in Congress to address this issue, if it is an issue.

Thank you.

Ms. SWETT. Thank you.

The CHAIRMAN. Senator Hyde-Smith.

Senator HYDE-SMITH. Thank you, Mr. Chairman. Thank you all for being here today and being so committed and dedicated. I certainly appreciate that. We talk a lot about affordability, and in your testimonies and your written statements, you know, it was one of the top priorities. In this administration, in this commission, you continue to take action to be so conscious of that, that ratepayers aren't burdened by the higher cost. And Mississippi, my home state, continues to be at the forefront of safeguarding ratepayers by ensuring companies, like data centers, pay their fair share for large loads. So, I want to talk about the large-load rates. And states are passing legislation that these companies have to pay upfront anticipated additional costs because they are just preparing themselves for that. But what mechanisms is FERC implementing, specifically for large-load customers, to pay upfront payments and commitments to maintain minimum financial contributions to keep the rates from rising? And anybody that wants to take that, or all of you can take that.

Ms. SWETT. Thank you for the question, Senator. I will take the first crack. So, our approach to that issue, which is squarely in front of us for this country and also raised by the President in his Ratepayer Protection Pledge, is a twofold approach. We are casting a wide net across the country, which we have all talked about in our June orders. I am happy to get into that in more detail, if you would like. But before I do that, we are also looking at the minutiae. We have agreements filed with us across the country from various utilities and large-load arrangements on almost a daily basis where they are proposing deals and interconnection arrange-

ments that implicate hundreds of millions of dollars. And we look at those arrangements with a fine-tooth comb to ensure that the upgrades that are required by large load are not shouldered by consumers. So, we look at it on a case-by-case basis and also across the markets.

Senator HYDE-SMITH. Certainly.

Mr. ROSNER. Thank you, Senator Hyde-Smith, for the question.

And yes, I will elaborate a little bit on the orders to show cause, and I will just say what is on the orders because they are pending in front of the Commission. We are attacking this problem with a couple of different prongs.

First of all, we are requiring contracts. And one of the things I like to say is, fundamentally, this problem is a math problem. It's an accounting problem. It's not a glamorous problem to solve. It's kind of like let's figure out how much infrastructure we built for you and then let's make sure that gets on your bill. And we are requiring contracts to make sure that we don't have stranded costs if you leave early. We are requiring contracts that if we have to build a lot of infrastructure up front and the project isn't energized, that we have a way to build the project for that cost, and it doesn't go to other consumers.

We have talked a lot about advanced transmission technologies and GETs. We have a strong requirement in our orders to show cause. It actually goes further than any Commission order on consideration of GETs, and it does that by not just asking the utilities to consider an alternative to spend, but also to use a power-flow study that can actually model the advanced transmission technology and provide a public report on why you couldn't do it, if you can't do it.

And then, we also have some transparency. Because you mentioned Mississippi, I have met with the folks from Entergy, with their team there, and heard about the work that they are doing at the state level. What we have heard from state commissioners is, when your interstate transmission projects show up at our commission, we don't always know what was spent for who. And so, in our rules, we are asking people, if you build a network upgrade to serve a large load, you have to make that public and let the state commission know, so that they can then use their large-load tariff and charge it to the right customer.

And so, none of this is perfect, but it's a big step in the right direction, and we are going to get some public comment and some iteration on it and we are going to keep working with our state colleagues to get this right, because fundamentally, this is basic math. It's addition and subtraction. I really believe we can do this.

Senator HYDE-SMITH. So, is the state legislation necessary with your contracts?

Mr. ROSNER. Ultimately, under the Federal Power Act, the responsibilities for the Commission are separate from those from the state commission. So, the state commissions, they are responsible for giving the bills to the end-use customers, whether it's, you know, a small business, a home, or a data center. We are not responsible for that. We give the bills to the transmission system customer, which tends to be like an Entergy in Mississippi. And so, we need to work with the states, and frankly, I don't think the

country has appreciated that 30 states—more than 30 states, actually—have these rules either under development or in place. And again, they are not perfect. We are learning a lot as we go, but that's all well and good. And so, I am optimistic that we can make progress to protect regular ratepayers.

Senator HYDE-SMITH. Thank you so much, and my time is up.

The CHAIRMAN. Senator Hirono.

Senator HIRONO. Thank you, Mr. Chairman. I thank the Commissioners for coming to testify today. I believe that each of you testified that energy affordability, the cost to consumers, is a major priority for all of you. Now, when this regime puts its thumb on the scale in favor of fossil fuels and not so much for renewables, I think that is not keeping consumer costs uppermost in mind, which, I believe, it should.

For the Chairman: in May, a company called Longboard started the pre-filing process with FERC for an offshore natural gas import terminal pipeline in Hawaii. And this is really the first time that any entity in Hawaii is engaging with FERC, because up to now, you have had little to no jurisdiction over the energy market in Hawaii. So, the terminal would fuel a gas-fired power plant. The parent company, JERA, is also proposing to build. And the parent company, as I mentioned, JERA, has indicated to the Hawaii Public Utilities Commission its interest in being a regulated generation utility in the state. When FERC evaluates the economic need for the offshore facilities, will FERC consider whether Hawaii should have two public utilities providing energy to the people of Hawaii?

Ms. SWETT. Thank you for the question, Senator. And I do love Hawaii. I have spent some time there. Yes, I commit to you that any application that comes before us, including this one, we have to do an analysis in order to authorize an application that involves natural gas to look at the public need for that project, and that includes a very rigorous economic analysis that would also include the factors that you have mentioned.

Senator HIRONO. What other factors would you take into consideration as you deal with Longboard's application to FERC?

Ms. SWETT. So, there are requirements under the Administrative Procedure Act, NEPA, and the Natural Gas Act, that say what type of analysis FERC has to go through in order to grant a certificate of public convenience and necessity. So, comments that are raised on the record, and also, typically, there will be a whole list of environmental factors and economic factors, and I am happy to have FERC staff work with your staff to help you understand that process better since this is the first time.

Senator HIRONO. Just so I understand, FERC would consider environmental factors in its decision on Longboard's application?

Ms. SWETT. We do have to examine the impact on the environment of a project, and those are the direct impacts of a project on the local environment, and there is a very set way in which we go about looking at that.

Senator HIRONO. But didn't the Supreme Court's decision limit FERC's consideration of downstream factors such as, I would assume, their environmental factors?

Ms. SWETT. We no longer look at the downstream impacts of a project. However, we do look at the direct impact of a project. That

is still required under law, and we take that very seriously, and that would involve the direct impact upon a community.

Senator HIRONO. How important is it to you that the applicant engages a community in its project? In other words, to get input from the community, is that something that FERC would require of the applicant?

Ms. SWETT. Well, FERC actually has an Office of Public Participation, which is statutorily required by Congress. We help engage communities and, in my experience, generally, just stepping out of my chairman role, I find that infrastructure projects that do engage communities have greater success if they are able to educate and work with the community and understand their concerns.

Senator HIRONO. So, one of the concerns now is how much these data centers—maybe this is something that Commissioner Chang can respond to, because I believe you talked about it—but the use of energy by these data centers, and what is FERC doing to make sure that the costs of these data centers do not fall unfairly upon ratepayers?

Ms. CHANG. Thank you for the question, Senator. A part of our 206 that we discussed here repeatedly is a component with cost shift—looking at the potential cost shift, and therefore, allocating the proper cost associated with network upgrades. So, with the combination of our 206 and the components about cost shifting, or limiting cost shifting, as well as transparency of the cost that's triggered by data centers or other large loads, as they connect to the grid, I think we are poised to address the issue of cost shifting when it comes to network upgrades.

Senator HIRONO. Yes, I think that the cost shifting is a definite problem. In fact, some jurisdictions are passing legislation to prevent data centers from even being built in their locations.

Thank you, Mr. Chairman.

The CHAIRMAN. Thank you very much.

Senator Daines.

Senator DAINES. Chairman Lee, thank you, as well as Ranking Member Heinrich.

Commissioners, it's good to have you all here today, all five in one place. It's a great sight to see this today.

If there is one source of energy that has bipartisan cooperation and support, it's hydropower. It's a renewable source of energy, it's great baseload power, it's low-cost. This week, I introduced the Hydropower Licensing Affordability Act with Senators Risch and Murkowski. This bill makes a small but very important change to the Federal Power Act, because right now resource agencies can put mandatory conditions on hydropower licenses. While FERC is the agency that grants the permits for non-federal hydropower projects, resource agencies like the Forest Service and Fish and Wildlife Service can set mandatory conditions on a license that FERC—you all—issue. This can also happen during a re-licensing of an existing project. Unfortunately, this process can be abused. Resource agencies can end up on a wish list of projects that have no direct connection to a hydropower dam. This bill is very simple. It requires all conditions to be directly related to a project. This just makes sense. In fact, this week, I sent a letter to FERC, the Department of the Interior, the Department of Agriculture, and the Department

of Commerce asking them to initiate a rulemaking to address hydropower licensing, including mandatory conditions—I am going to sound like Chairman Lee now—under Section 4(e) and Section 18 of the Federal Power Act. That's my best impression of Mike Lee I can do right there.

For each of you, with 40 percent of the nation's hydropower fleet being up for relicensing—40 percent in the next four years—do you agree that we need to streamline and look for ways to simplify the hydropower licensing and relicensing process at a time when we are constrained as we look forward here? I would just like to hear from each of you. Do you think we need to simplify and streamline it?

Mr. ROSNER. Yes.

Senator DAINES. Commissioner.

Ms. SEE. Absolutely.

Senator DAINES. Let us go left to right here.

Ms. SWETT. Yes.

Senator DAINES. Thank you.

Ms. CHANG. Yes.

Mr. LACERTE. You know my answer, Senator, yes.

Senator DAINES. Okay. Nobody said heck yes or more than that, but good. I am glad to hear yes.

Now for the Chairman, Chairman Swett, there are multiple large hydropower projects up for relicensing in Montana, including the Thompson Falls Dam. Will you work closely with resource agencies and push back against indirect or costly mandatory conditions imposed by agencies on existing projects?

Ms. SWETT. Thank you, Senator.

Yes, we are spending an inordinate amount of time on hydro during this Commission right now, more than this Commission ever has focused on it because it is so important, because those licenses are coming up for renewal. And I, myself, am personally, actively, pushing back on those types of conditions when I become aware of them and they hold our processes up.

Senator DAINES. Thank you. I mean, this ought to be easy—kind of "Licensing 101." There are much more difficult and complicated issues in front of us, and thank you for your support in finding ways to move this faster at a time when we need more hydropower energy.

Chairman Swett, in May, President Trump signed my bill. It was Senate bill 1020, to extend certain hydropower licenses for an additional six years. Could you give me the status of FERC's implementation of that particular law?

Ms. SWETT. Yes, thank you, Senator. And I applaud your bill. I think it's a great idea, because of the delays that FERC cannot control, that is very helpful. We have received requests for extensions of construction deadlines under your statute and we are processing them in accordance with the terms of your statute. We have not actually granted any requests under the new law yet, but that is simply a function of timing, and I believe that it is imminent.

Senator DAINES. Chairman Swett, thank you. I appreciate that update, and thanks for the 5–0 vote, by the way, on streamlining. I want to move to natural gas for a moment, if I might. Montana recently built a brand-new natural gas peaking plant in Laurel,

Montana, just outside of Billings, to provide reliable and affordable electricity and maintain the stability of the grid. This is the type of project we need to see installed across the United States. Unfortunately, we are seeing long delays for permitting at the federal and even at the state level. I will keep working on the state level. You can help me on the federal level. Commissioner LaCerte, how do you see changes proposed by FERC, including updates to the blanket certificate program, helping to expand natural gas electricity production and leading to lower prices and a more reliable grid?

Mr. LACERTE. That's a great question, Senator. I think the blanket programs, whether it be natural gas, whether it be hydro, I think that they are going to allow us to focus on the hard issues so that the small issues don't have to be litigated before us. And it matters because time allocation—we have so many things pending before us, and I am aware of how big of a challenge it has been on the permitting side. So, it allows us to contract, to focus on our priorities under the Natural Gas Act, to focus that time and effort on our staffing considerations, and on passing the most impactful projects that we can.

Senator DAINES. It's a big help because, you know, we are grateful we have a lot of intermittent sources of power as well. We've got big wind projects. We've got big solar projects. As we say in Montana, the wind doesn't always blow, the sun doesn't always shine, and to have that ability to ramp up and down here with natural gas is a way to keep grid stability and more affordability. So, thank you for that.

Back to you, Mr. Chairman.

The CHAIRMAN. Thank you very much.

Let's see, Senator Gallego, you're up next.

Senator GALLEGO. Thank you, Chairman Lee and Ranking Member Heinrich, and thank you to all five FERC Commissioners for your participation in this hearing. A lot of FERC's work is closely tied to headline news—data centers, energy prices, reliability, and more. So, I appreciate the chance to talk about those things and more today, and I echo the hopes of my fellow Committee members that FERC remains independent and focused on solving the very real issues facing America's energy system. In conversations at large around permitting reform, one of the most common phrases that we hear is permitting certainty.

Commissioner Chang, you and I recently discussed how permitting certainty is vital, not only in generation, but in delivering energy resources of all types across the country. Can you elaborate on how permitting uncertainty in transmission and delivery of energy translates to higher costs for customers across all of our energy types?

Ms. CHANG. Thank you very much for that question, Senator.

I am glad you raised that because recently we approved a proposal from Southwest Power Pool that uses a consolidated planning process to provide cost certainty for generators that want to interconnect. I think this is very innovative, and sort of breaking the traditional approach to make sure that generators who want to interconnect have more information up front so that they can make their decisions about how much they want to interconnect to the

grid, and how much potential transmission upgrades they might trigger so that they don't find that out later in the process and then have to reassess whether the projects that they are developing would be economically viable.

So, I do believe a consolidated process between the interconnection process so that we understand what generators can interconnect and what cost they might have to pay for upgrades and transmission planning, I think that is an appropriate approach that other regions could probably take an example from.

Senator GALLEGO. Thank you, Commissioner.

Commissioner Rosner, in recent remarks, the Commission has expressed support for the parallel market development in the West. In last Thursday's meeting, you characterized this as a win for consumers. As SPP markets and CAISO's day-ahead market continue to expand and develop, it's clear that SPP and CAISO must work together to ensure that energy remains reliable and affordable for individuals and businesses in their markets. FERC recently issued an order directing a joint report from both the market operators on this issue and others.

So, my question is, how does FERC plan to support and require long-term collaboration between SPP and CAISO after this report is filed?

Mr. ROSNER. Well, thank you, Senator, and I think it's an exciting time for markets, especially in the West. I have been out to visit recently, and you know, it's a wonderful thing to see different states make selections on markets that fit their needs. And you know, the reality is that there are two choices, and that makes the situation more complex. But the complexity has a downside to it, which is we want to make sure that we can get as many benefits from the efficient dispatch, from efficient use of the existing grid, and what we did at our meeting in July, earlier this month, was ask the regions to come and file the report you just mentioned, consider how you are going to work together, what sort of formal mechanism could you have in place to minimize those seams. And so, it's more complex, but there is an opportunity to minimize that. And one of the things contemplated in that report is, you know, and we have seen this in other parts of the country, where the two different grid operators have things like joint operating agreements that sort of lay out, you know, when we get into these situations, here is what we will do, here is how people get paid, here is how we work around the different contractual rights that exist on the transmission system.

All of those things are places where I see the opportunity for progress out West, and you know, I am very bullish on these markets on saving people money, on providing more reliable power, and we already know from looking around the rest of the country where we have markets that these save consumers something like $10 billion a year, if not more.

Senator GALLEGO. Good.

Mr. ROSNER. Thank you for the question.

Senator GALLEGO. Chairman Swett, as is clear from the breadth of issues discussed at this hearing, we are asking FERC to do a lot of things these days. All this work requires very sufficient, qualified staff at the agency.

What steps is FERC taking to ensure employee retention, and will FERC need more staff if Congress passes energy legislation, including permitting reform, which we hope we do?

Ms. SWETT. Thank you for the question.

As my third time as a FERC employee, I take this very seriously. I care very much about the agency and its staff. I have spent a lot of time, personally, meeting with every single office and trying to look as many employees in the face as I can. That said, I am pleased to say that the administration authorized us to start hiring again, and we have posted—I have the numbers here, so I don't get them wrong—we currently have 1,370 full-time employees. And since OPM opened up hiring for us in January, we have hired 74 new employees who are mostly very qualified subject matter experts. And I am very pleased at this result. We still have rolling job listings posted throughout the year, and I am very encouraged that we will continue to staff up.

And of course, if Congress gives us more power or more roles, then we will adjust accordingly.

Senator GALLEGO. Thank you, I yield back.

The CHAIRMAN. Senator Cotton.

Senator COTTON. Thank you.

I also want to address artificial intelligence and data centers. I hear a lot of conversation from Arkansans about that, at various levels. At maybe the highest level, you might say they are very concerned about the threat that China poses. You know, just in the last week or so, China has released another open-weighted model, and they want to make sure that we maintain our advantage over China. They recognize at another level, the great potential that artificial intelligence has for scientific breakthroughs for health care and pharmaceutical breakthroughs, maybe to cure cancer or Alzheimer's and other terrible diseases.

At a personal level, I think a lot of them are very excited about it. Many of them are using it in their business, whether it's a giant business or whether it's a small mom-and-pop business, or maybe just using it for their day-to-day needs, whether getting a rehab regimen for an aching knee, you know, comparing pickup trucks they are going to buy, developing a summer reading plan for a kid to have them ready to go back to school. All very positive, constructive things. On the other hand, they are worried about what it means for the communities to have large data centers in or near them, especially what it might mean for the strain on infrastructure, most notably on electricity, and what they are going to pay for their power bills, whether the power is going to be there during terrible winter storms, summer heat waves.

So, Mr. LaCerte, let me start with you. If a data center brings and pays for its own generation—so you have got a data center that the hyperscalers are bringing in, and they say they are going to build it and they pay for the generation, they pay for the grid upgrades—should ordinary families and businesses also pay for those same facilities? I would assume not.

Mr. LACERTE. No, Senator, there is a longstanding tenet at FERC of beneficiary pays. So, the person who is reaping the benefit of the new line, the new generation, should be borne the cost of the infrastructure upgrades. And we take that seriously.

Senator COTTON. And that means that the people who are building these centers and using them for all these important purposes, they are willing to put down the money to build their generation. Arkansas ratepayers and businesses are not going to be billed for these costs either?

Mr. LACERTE. That is a core tenet of when the President brought the Governors and PJM together to agree on what the rules of the road are and the Ratepayer Protection Pledge, and I applaud the Governors for coming together in a bipartisan manner, sir, with the President, and doing so, and that has been something that has been expanded. It has been something that has been agreed to by all the major hyperscalers, in that these costs in which they are going to incur, they are going to be assigned to. And it's something that we are going to hold them to. It's something that the states need to hold those hyperscalers accountable for on the retail level. And I think it's an all-of-the-above approach as it relates to assigning costs to the data centers themselves.

Senator COTTON. Which those hyperscalers, right now, are perfectly willing to do? They are willing to make those investments?

Mr. LACERTE. Absolutely.

Senator COTTON. Ms. Swett, I see you nodding your head. You have had conversations with them, I presume?

Ms. SWETT. Yes, sir. I have met with many hyperscalers who are, at a minimum, willing to pay all the costs associated with their interconnection, and many of them are going beyond that and offering to subsidize the communities with additional infrastructure programs or even bill subsidies.

Senator COTTON. I think the CEO of one of them said that even if they spent a few hundred billion dollars more than was necessary, in retrospect, it was a worthwhile investment.

Mr. Rosner, I see you nodding your head.

Mr. ROSNER. I completely agree. We have had them come before our Commission and testify there, and what they say is, we would like to go fast, and we want to pay for it. And so, my view is, let's let them. And to your point on investments in communities, I mean, we have got examples of them putting a battery in every home for people affected by, you know, having the data center nearby. Things like that are great. Other things that they have done to lower regular bills, you know, I am completely in favor of that.

Senator COTTON. And is FERC postured right now from a policy and regulatory standpoint to ensure there's not that kind of double recovery? Do you need any other specific safeguards or reforms, or do you think you are postured well?

Mr. ROSNER. Well, Senator, you know, we have discussed the orders to show cause that we gave to each RTO, and I think those orders make very important progress on making sure that regular consumers don't pay for infrastructure associated with data centers. Of course, you know, if Congress wanted to add more specificity, you know, I would defer to you, and I am happy to provide.

Senator COTTON. Well, I just think, based on what I hear from Arkansans, you know, they don't want to pay more for their power bills for these data centers, but they recognize that the data centers are a critical part of artificial intelligence, whether it's going

to help us beat China or cure cancer or develop a summer reading plan for a kid to disregard and not follow, but they know that they want both of those things, and it's just important for us, here in Congress and at FERC, to make sure that we can deliver both of them. So, thank you.

The CHAIRMAN. Okay, that wraps up round one. Any members remaining beyond this point can ask an additional question. I will ask one now, and then we will go to anybody else who wants to ask one additional question before we wrap up.

Commissioner See, I would like to turn to you. Last year, the Supreme Court held in the *Seven County* case what many of us have known and believed for a long time, which is that NEPA is a procedural statute. It's a procedural statute that requires you to review a project under consideration and not the cumulative effects of all other projects. Under your leadership and with your active involvement, the Commission has taken steps to implement that ruling. Can you just sort of explain to the Committee what the Commission has done so far on this point, and let us know whether, to what extent, what way, to what degree, some clarification from Congress on the proper scope of NEPA might help provide additional certainty for projects that are before the jurisdiction of FERC?

Ms. SEE. Absolutely, Senator. I am really happy to talk about that. I welcome the *Seven County* decision, and for the simple reason that ambiguity and NEPA and other environmental statutes and the litigation that comes from it is the biggest source of delay in getting needed infrastructure across the finish line. So, of course, we have important environmental responsibilities. We take that seriously, but we are not doing our job for the American people if those duties balloon beyond what the statute actually requires.

So, one of the things *Seven County* did is, it confirmed that NEPA requires us to look at the effects of the project in front of us and to not look at non-foreseeable effects upstream, downstream, or wherever else they are.

That clarity is vital for us to do our work. So, we have been taking a close look to make sure that we are looking at the things that we are required to under statute, but we are not adding additional categories that aren't required and that we were doing, perhaps, for other reasons, and some of them were in abundance of caution because courts did not have that clarity.

So, what I would come back to, and the question of what else Congress can be doing as we are trying to make the most of that decision in the clarity we have, any additional clarity we have in NEPA and other environmental statutes is critical for us to do our job for the American people and to do it in a really predictable and streamlined fashion at the pace that we need.

The CHAIRMAN. That's a great point. And NEPA has worked. One of the reasons we know it has helped is because a lot of other countries have followed it. But from my ability to observe what other countries have done with it, they have captured the benefits of NEPA without replicating what it has become here, which is the additional delay, something that other countries have wisely avoided replicating. And what we have seen from that is that they are

able to still capture and maintain the benefits of environmental review without having the years-long or many decades-long delays that don't materially advance any environmental interest.

Senator Heinrich, any other questions? Senator King?

Okay, well, I want to thank each of you for being here. This has been very helpful testimony, and we are very grateful to have your participation and your expertise, as this is a Commission with a very interesting and increasingly important array of responsibilities. And so, I appreciate your service.

Any Senator who wants to submit questions for the record may do so. The deadline for submitting those questions will be at 6:00 p.m. tomorrow, that is Thursday, July 23. Senators also will have until 6:00 p.m. this coming Wednesday, July 29, to add statements for the record with regard to today's hearing.

Senator KING. Mr. Chairman.

The CHAIRMAN. Yes, sir.

Senator KING. I wanted to add one comment.

The CHAIRMAN. Yes.

Senator KING. I just wanted to reiterate what I said at the beginning, and that is to thank you for the work that you have been doing. And anybody watching this hearing, I would defy them to say which of you is a nominee of which party, and that's the way it's supposed to work. And this has been a very illuminating hearing. The questions have been answered in a straightforward and honest way. And I just really appreciate it. As I said at the beginning, I think you are modeling how our government is supposed to work. Thank you very much.

The CHAIRMAN. All right, just as we were about to gavel out, the prodigal son from North Dakota has returned, and the Chair recognizes Senator Hoeven. You thought you were off the hook, but not just yet, but don't worry, he is pretty nice, just don't call a bison a buffalo, and don't call it a bison—you have to call it a "bizon." Those are the only two third rails with him.

Senator Hoeven.

Senator HOEVEN. Thanks, Mr. Chair. And you know, I have been on this Committee for 16 years now, and I worked myself all the way up to this spot on the Committee. Can you believe that?

[Laughter.]

Senator HOEVEN. Thanks to each of you. One of the biggest challenges that we have is with making sure that we have the ability to move baseload energy, you know, and dispatchable energy around the country, and we need a grid system, and of course, a gas transportation system that enables us to do that and really to reach all aspects of the country, even places like New England, the State of New York, other places where we find it incredibly difficult to build transmission and gas pipelines. As we work on streamlining regulatory reform and so forth, and I know both our Chairman and Ranking Member are hard at work on that, what are your recommendations to make sure that we have not only a gas/oil transportation system, but also a national grid that enables us to use all forms of energy as efficiently and effectively as possible?

And I would like to hear the best ideas from each one of you, and you can't go more than three minutes and 42 seconds or I will prob-

ably get in trouble with the Chair and the Ranking Member, and I wouldn't want to do that.

Go ahead, sir.

Mr. ROSNER. Okay, thank you, Senator.

Well, I would say, you know, sitting at FERC, where we have a lot of control over the markets and the planning of infrastructure, one thing that has become obvious to me is that it takes too long to build infrastructure in this country. And no matter what fuel source anyone might prefer, electrons don't wear capes, we just need a whole lot of them. We need a lot of molecules. We just need a lot of energy in this country right now. And so, anything Congress can do to speed that up, we need it all, you know.

And we spend a lot of time thinking about our interconnection processes, and I will just give you an example—we accelerated 50 projects in the Mid-Atlantic part of the country. One of them was a natural gas combined-cycle power plant, over a thousand megawatts. It was going to be built in Ohio. They got a grid upgrade cost of over a billion dollars, almost as expensive as the plant itself, and the reason was, we hadn't invested enough in the grid.

You also mentioned New England. They have very high prices there. I think it's something like 38 cents delivered. Whatever Congress can do to get energy infrastructure built more rapidly and make sure that, you know, it's not uncertain once the permit decision has been made, that all sounds directionally consistent with where we need to go.

Senator HOEVEN. Do you think it's just more infrastructure, not somehow getting the regional operators and others to make sure that they figure out we have got to have dispatchable, and quit picking winners and losers in a way that impedes our ability to use the grid effectively?

Mr. ROSNER. I think, you know, I am committed to doing the work with the grid operators to make sure the markets are sending signals to invest in the right kind of technology.

Senator HOEVEN. There you go.

Mr. ROSNER. In the right places.

Senator HOEVEN. Good. Well, if that was our Chairman that got you to commit to that, then he did a great job.

Ms. SEE. I will say a couple of things on this. You know, first is we have a responsibility under the Federal Power Act to be resource-neutral, but not liability-neutral. And we have been really looking at our statutory authorities to make sure that we are recognizing the values that come from diverse sources for a balanced portfolio, but also recognizing different reliability attributes. So, I think further clarity from Congress about how that principle—that resource neutrality—is not necessarily the same thing as reliability neutrality. I think that clarity would be helpful.

Senator HOEVEN. I like that comment. That's right-on.

Ms. SEE. And I guess the second thing I would say is, piggybacking on a conversation that we had with the Chairman earlier, and it goes to this idea that clarity is so important when it comes to whose roles are whose within the Federal Government as we are going about our duties to move infrastructure faster. We are hard at work trying to streamline infrastructure in a legally durable way. We are moving forward proposals for expanding our

blanket programs to make sure we are streamlining. But we need additional clarity from Congress when it comes to our responsibility versus other federal agencies when it comes to what is and isn't required in NEPA and other environmental statutes.

So, we are doing the best that we can to make sure we are moving forward, but I certainly welcome any more clarity that Congress would give.

Senator HOEVEN. Thank you.

Ms. SWETT. Thank you, Senator. I am going to be a bit aggressive here. My two things are, first, ending states' abilities to effectively veto federal projects that cross state lines through Clean Water Act denials cuts both ways. It can hold up gas pipeline infrastructure. It can also hold up interstate transmission lines. So, Congress having more clarity there, that states cannot effectively veto through denials, would get more infrastructure built.

The second one is limiting the ability of judicial review to hold up a project. Some of my colleagues and I worked on big appeals of pipelines that went decades long. And if there were a statutory limit on how long judicial review can go, that would be extremely effective in making efficient and less-expensive infrastructure projects.

Senator HOEVEN. That was aggressive. I like the second one. The first one—I was a Governor for ten years, so a little trepidation there.

Thank you for coming to see me this week. I appreciate it—or last week, I guess. Go ahead.

Ms. CHANG. Thank you, Senator.

I will just throw a whole bunch of acronyms—T, DR, ATT—so I think, you know, I concur with what many of my colleagues have mentioned. I think we need a backbone transmission that is allowing the interconnection of large loads and all generation, generation of all types. I think this is a time when prices are high, we enable more demand-side resources to participate in the markets, in general. That requires states to really step up, and making sure that the levers that they can pull will bring more demand-side responses to the grid.

And then, ATT, we had mentioned here already. The advanced transmission technologies—a no-brainer. We need to use them whenever they are appropriate and economically viable, and the best solutions for all consumers should be on the table. Thank you.

Mr. LACERTE. Senator, I will speak really quickly. You know, you asked for what Congress can do to help on these things. Obviously, we have our homework assignments which keep us very busy at FERC, but Congress can also help us to act as well. And the biggest thing that they can do is reduce these roadblocks and hurdles to getting things built again. So, I will run through it really quickly.

Section 401 of the Clean Water Act, the biggest thing we can do is clarify that the scope is limited to only the pollutants stemming from the discharge, not the activity as a whole. That's the biggest thing we can help with.

Section 106 of the National Historic Preservation Act, we can codify that NHPA is intended to be a process-related statute direct-

ing agencies to consider the effects on historic properties. We need to get back to that, like we have on NEPA.

Sections 4(e) and 18 of the FPA, for hydro matters, we need to clarify that the hydro facility should only have to answer for their direct effects on the federal reservation under 4(e) or fisheries under 18.

And then Section 7 of the Endangered Species Act, we need to reform how critical habitat is designated. We need to incorporate the *Maine Lobstermen's* holding—the statute that clarifies the best scientific information and commercially available data, and not the worst-case scenario, to give the benefit of the doubt to the species when issuing a biological opinion.

Senator HOEVEN. Mr. Chairman and Ranking Member, thank you for your patience. If they were that good all day, you had a good hearing. Thank you very much.

The CHAIRMAN. Well, I mean, Maine lobstermen made an appearance. That made it worth it in and of itself, lobster being something I know is very important to the economy of landlocked North Dakota.

Senator HOEVEN. Yes. We like to eat them.

[Laughter.]

The CHAIRMAN. Indeed.

All right, Angus.

Senator KING. I thought it was a brilliant addition.

The CHAIRMAN. Totally.

Mr. LACERTE. I really appreciate that, Senator.

The CHAIRMAN. You good to go, Angus?

Okay, with that, we stand adjourned. Thanks again.

Keep up the great work.

[Whereupon, at 11:42 a.m., the hearing was adjourned.]

APPENDIX MATERIAL SUBMITTED

U.S. Senate Committee on Energy and Natural Resources
July 22, 2026, Hearing: *Oversight Hearing on the Federal Energy Regulatory Commission*
Questions for the Record Submitted to The Honorable Laura V. Swett

Questions from Ranking Member Martin Heinrich

Question 1: DOE recently issued its draft National Transmission Needs Study, which found that the US desperately needs more high voltage transmission lines to be built.

Over the past nine years, high-voltage transmission lines of 500 kV or more only made up 4% of the transmission building nationally.

How important is the buildout, and improvement, of high voltage, interregional transmission in meeting our nation's energy needs?

Answer: The buildout of high-voltage interregional transmission is essential to maintaining the ongoing safe and reliable operation of the interstate transmission grid. As the National Transmission Needs Study noted, interregional and cross-interconnection links have the highest potential value for congestion relief and resource adequacy. I recognize the importance of a robust transmission system to ensure reliable and affordable service to customers. I am encouraged by recent approval of 500 kV and above projects, such as in MISO, SPP, and CAISO, that can improve interregional transfer capability and will continue to encourage such development where cost effective. Moreover, Order No. 1920 requires transmission providers to evaluate potential projects with a common set of benefits, one of which specifically examines the benefit of increasing import capability from other regions.

Question 2: FERC has made improvements to generator interconnection processes through its Order No. 2023. But even with fixes to study times, generators can face expensive network upgrades, leading to delaying generation deployment on the grid.

What steps can FERC take to address the long generation interconnection delays caused by high network upgrades?

Answer: Since issuance of Order No. 2023, the Commission has taken a number of steps to further address generation interconnection delays. For example, the Commission has acted on numerous proposals from transmission providers seeking to improve their interconnection queue processes and queue times. One example is SPP's consolidated planning process, which is a novel approach that considers transmission planning and generator interconnection in one process. In addition, my colleagues and I are also further considering how the use of advanced transmission technologies could in some instances reduce the time and cost of generator interconnection.

U.S. Senate Committee on Energy and Natural Resources
July 22, 2026, Hearing: *Oversight Hearing on the Federal Energy Regulatory Commission*
Questions for the Record Submitted to The Honorable Laura V. Swett

Questions from Senator Jim Justice

Question 1: What steps is FERC taking to ensure that its consideration of pending and future hydroelectric license surrenders accounts for the Administration's priorities concerning reliable energy production, water security, and preservation of critical infrastructure? Specifically, will you commit to protecting local water supplies and ensuring no dam is removed without full mitigation for agriculture?

Answer: I recognize the importance of the issues you raise. I commit to ensuring that in any hydroelectric license surrender proceeding, the Commission will make its decisions based on a careful review of the record and that all issues raised, including water supply and agricultural issues, are given thorough, thoughtful consideration.

Questions from Senator Catherine Cortez Masto

Question 1: Multiple reports have warned of a "brain drain" at FERC. Can you please build on your answer during the hearing and provide the current staffing totals at your Agency? Are there figures on total staff departures that have occurred since the start of the second Trump Administration? Can you also please summarize FERC efforts to recruit and retain staff?

Answer: As of Friday, July 24, 2026, the Commission has 1,370 staff on board. Since January 20, 2025, 306 employees have departed from the Commission. Earlier this year, the Office of Personnel Management (OPM) approved a hiring plan for the Commission to increase its staffing level to 1,498 full-time equivalents. Since receiving that approval from OPM, the Commission has recruited 76 new staff and has selected 40 existing staff to fill positions vacated in Calendar Years 2025 and 2026.

In executing this hiring plan, the Commission is recruiting from all available sources, prioritizing the greatest mission need in organizations with the most significant workload. The Commission has also developed a robust curriculum comprised of technical training and other professional development opportunities to accelerate new employees' acclimation to the Commission's mission and their respective roles.

Question 2: Are there ways that Congress and FERC can work together to bolster workforce programs and ensure we have the expertise necessary to adhere to all of FERC's responsibilities?

Answer: I appreciate the need to have a workforce that has the expertise to work on the important energy issues we must address for the American people. Although at this time I do not have in mind ways that Congress and the Commission can work together on these staffing issues, I will identify such issues as they arise.

Question 3: Under its five categories of reform for the June 2026 show cause orders, FERC includes "preventing cost sifting and requiring transparency into transmission costs." How

U.S. Senate Committee on Energy and Natural Resources
July 22, 2026, Hearing: *Oversight Hearing on the Federal Energy Regulatory Commission*
Questions for the Record Submitted to The Honorable Laura V. Swett

will FERC ensure that large loads, including data centers, bear their fair share of grid modernization costs and do not shift those costs onto residential ratepayers, particularly given states' central role in regulating cost-shifting?

Answer: My colleagues and I take seriously concerns about protecting residential ratepayers from the costs of integrating large loads, including data centers, and these concerns factored heavily in the Commission's historic show cause orders. The orders the Commission issued in June 2026 establish rigorous consumer safeguards. For example, the orders focus on preventing cost shifting as large loads integrate onto the grid, such that the costs of network upgrades are appropriately credited and not borne by other wholesale customers. In addition, because the states will play a critical role in this process, these orders call for unprecedented transparency so that cost information is available for, and can be used by, state regulators to protect retail ratepayers.

Questions from Senator Cindy Hyde-Smith

Question 1: I want to commend the Commission for continuing to prioritize reliability across the grid. There is a fine balance between interconnectivity and ensuring connectivity does not impede affordability and reliability.

- **Given the jurisdictional balance between federal and state regulators, how does FERC ensure it respects retail electric service agreements with data centers alongside generation and transmission siting authority when issuing show-cause orders to grid operators?**

Answer: The show cause orders the Commission issued in June 2026 to address the integration of large loads respect the authority of states to select, site, and permit generating resources and transmission facilities and to set the rates, terms, and conditions of retail sales of electricity. Moreover, the show cause orders strive to increase transparency so that state public utility commissions and other state regulators have the information they need to protect retail ratepayers. I expect that the Commission's ongoing work on these show cause orders will continue to respect the states' role on these issues.

Questions from Senator Lisa Murkowski

Question 1: The Homer Electric Association is a small rural electric cooperative in Alaska that serves about 25,000 customers on the Kenai Peninsula. Several years ago, I was appalled to learn that during a hydropower relicensing proceeding, the U.S. Forest Service tried to make Homer build and maintain an unconstructed part of the Iditarod Trail near Grant Lake, including accessing parking lots and cleaning bathrooms in perpetuity, as part of the agency's so-called mandatory conditions under section 4(e) of the Federal Power Act (FPA). These requirements had nothing to do with the hydropower project or its impact on Forest Service lands. Instead, Forest Service employees admitted to my staff that they long sought the trail's construction and 'had always wanted parking and bathroom facilities' in the area and that the hydropower licensing process was their chance. They didn't care that

the co-op, and its customers, would be left footing the bill. The Homer Electric licensing proceeding has become a prominent example of how mandatory conditions under Sections 4(e) and 18 of the FPA can dramatically increase project costs. And although it is a FERC license, the Commission has no discretion to reject a resource agency's conditions, no matter how unreasonable, unnecessary, or unrelated to the project. Too often, agencies have wielded mandatory conditions tied to hydropower licenses as a way to secure "wish-list" items by using license applicants as ATMs.

- **Does the Commission believe the current statutory framework under the FPA appropriately balances resource agency authority with FERC's responsibility to license hydropower projects in the public interest?**

Answer: The Federal Power Act requires the Commission to consider multiple factors when issuing a hydroelectric license, including impacts on power generation, commerce, energy conservation, fish and wildlife protection and other environmental considerations, recreation, irrigation, flood control, and water supply. Congress also has given a number of agencies mandatory conditioning authority under FPA sections 4(e) and 18, section 401 of the Clean Water Act, and the Endangered Species Act, such that those agencies can impose conditions pursuant to their statutory mandates. However, those agencies are not required to balance the many interests that the Commission must consider, which may result in licenses with conditions not necessary to satisfy the public interest.

- **Do you agree that the FPA prevents the Commission from rejecting a mandatory condition or prescription that is issued by a relevant resource agency? Can FERC determine if a resource agency's mandatory condition or prescription is in the public interest?**

Answer: I agree, and the same is true for mandatory conditions issued pursuant to section 401 of the Clean Water Act and under the Endangered Species Act. The Commission may express its opinion in the licensing order as to whether mandatory conditions are consistent with the public interest but has no authority to reject or revise them.

- **Do you share my concern that egregious and unrelated mandatory conditions unnecessarily increase costs while discouraging hydropower development and that this was not the intent of Title I of the FPA?**

Answer: Yes.

- **Are there statutory or procedural changes that Congress should consider to tie mandatory conditions/prescription to the actual project and improve coordination among agencies while preserving environmental protections?**

Answer: I believe there are statutory changes that could better tie mandatory conditions to actual project impacts and improve coordination among agencies. Such changes could include giving the Commission the ability, as is the case with fish and wildlife conditions proffered under FPA

section 10(j), to determine whether mandatory conditions are consistent with Part I of the FPA or other law and, after consultation with the agencies that provided the conditions, to determine whether other conditions might best satisfy the public interest.

Question 2: Hydropower is an essential component of our nation's energy portfolio, yet developers continue to cite permitting and regulatory delays as barriers to investment and development. Last November, the Commission released a Notice of Inquiry for a proposed blanket authorization treatment of post-licensing activities like maintenance, repairs, and upgrades. I'm also seeking similar reforms in the FLOWS Act, legislation I'm advancing with Senator King. The goal is to provide meaningful regulatory certainty without compromising environmental or reliability protections.

- **What is the current status of FERC's consideration of a blanket authorization for hydropower projects? Will the Commission move to a rulemaking proceeding soon?**

Answer: The Commission is considering the comments that were filed in response to the Notice of Inquiry and will take further action as appropriate based on the record.

Question 3: FERC's recent order on large loads is focused on making sure we can connect new demand —particularly AI data centers— without compromising reliability or shifting costs onto existing customers. Alaska isn't part of an RTO or ISO, but we're actively looking at opportunities to attract data centers because of our abundant energy resources, cool climate, and strategic location.

- **As the Commission implements this policy, what lessons should states like Alaska take away? How can we welcome these large new loads while ensuring existing residential customers don't end up subsidizing the infrastructure needed to serve them?**

Answer: I take seriously the Commission's critical role in ensuring that our country can integrate large loads onto the transmission system, not only to win the AI race through speed to power for data centers, but also to reshore the heavy industrial and other manufacturing processes that are crucial to ensuring our global competitiveness. Supporting these goals, however, involves balancing the integration of large loads with the need for reliable and affordable power for ratepayers. The Commission's landmark show cause orders on large load integration reflect this drive and careful balance in the RTO regions. In addition, these orders' call for unprecedented transparency as to transmission cost information serve as an example of how agreements between transmission providers and transmission customers in Alaska and other states can assist large loads in receiving transmission service while also enhancing the ability of state public utility commissions to protect retail ratepayers. The Commission continues to review agreements filed by transmission providers operating in the non-RTO regions of the country. The Commission has accepted those agreements that reflect just and reasonable rates for transmission service while rejecting those that do not fairly allocate transmission costs or would intrude on state jurisdiction over retail ratemaking.

U.S. Senate Committee on Energy and Natural Resources
July 22, 2026, Hearing: *Oversight Hearing on the Federal Energy Regulatory Commission*
Questions for the Record Submitted to The Honorable Laura V. Swett

Questions from Senator Alex Padilla

Question 1: High-voltage direct current lines are widely recognized as a way to move bulk power over long distances with lower losses and with more control than traditional AC lines, but we still see relatively few HVDC projects getting built where they could help most. What do you see as the main reasons cost-effective HVDC projects don't emerge more often from the planning and approval process, and which of those reasons do you believe FERC has authority to fix right now, and which would require additional authority?

Answer: I recognize the importance of a robust transmission system to ensure reliable and affordable service to customers, and I agree that HVDC projects can contribute to that goal in appropriate circumstances. It is difficult to assess as a general matter why more HVDC projects do not emerge from transmission planning processes because the characteristics of each individual proposed project are important to its consideration in those processes.

U.S. Senate Committee on Energy and Natural Resources
July 22, 2026 Hearing: *Oversight Hearing on the Federal Energy Regulatory Commission*
Questions for the Record Submitted to The Honorable David Rosner

Questions from Ranking Member Martin Heinrich

Question 1: DOE issued its draft National Transmission Needs Study, which found that the US desperately needs more high voltage transmission lines to be built. Over the past nine years, high-voltage transmission lines of 500 kV or more only made up 4% of the transmission building nationally. How important is the buildout, and improvement, of high voltage, interregional transmission in meeting our nation's energy needs?

Answer: Accelerating smart investments in needed regional and interregional transmission infrastructure is a top priority for me at FERC.

NERC is our country's electric reliability watchdog. Their analysis indicates that our grid may come up short when we depend on it most—during heat waves and winter storms—because we can't transmit enough power from where we produce it to where we use it. NERC determined that "*35 GW of transfer capability is recommended across the United States as a vehicle to strengthen energy adequacy under extreme conditions*," among other important findings.[1]

Further, there is strong evidence that well-planned, high-capacity transmission can save consumers billions of dollars per year on their utility bills.[2] Finally, as you point out, DOE's draft National Transmission Needs Study finds that "[i]nterregional and cross-interconnection linkages have the highest potential value to relieve transmission congestion and provide resource adequacy benefits," and that "significant transmission investment is needed to cost-effectively meet future demand through 2050."[3]

Since 2011, Order No. 1000's interregional consultation requirements have not resulted in any interregional transmission projects. Yet, time and time again over those 15 years, we have observed that interregional transmission has made meaningful contributions to grid reliability during periods of extreme stress.[4]

---

[1] N. Am. Elec. Reliability Corp. (NERC), *Interregional Transfer Capability Study*, at xiii (Nov. 2024), https://www.nerc.com/globalassets/initiatives/itcs/itcs_final_report.pdf.

[2] Grid Strategies, LLC, *Large-scale Transmission Deployment Saves Consumers Money* (June 2025), https://cleanenergygrid.org/wp-content/uploads/2025/06/GS_Transmission-Deployment-Saves-Consumers-Money_vf.pdf.

[3] U.S. Dep't of Energy, *Draft National Transmission Needs Study*, at v, vii (July 2026), https://www.energy.gov/documents/national-transmission-needs-study-draft-july-2026.

[4] *See, e.g.*, FERC, NERC, & Regional Entity Staff, *January 2025 Arctic Events: A System Performance Review*, at 13-14 (Apr. 2025), https://www.ferc.gov/news-events/news/ferc-nerc-issue-report-system-performance-during-january-2025-arctic-weather; FERC, NERC, & Regional Entity Staff, *Winter Storm Elliott Report: Inquiry into Bulk-Power System Operations During December 2022*, at 123-25 (Oct. 2023), https://www.ferc.gov/media/winter-storm-elliott-report-inquiry-bulk-power-system-operations-during-december-2022; FERC, NERC, & Regional Entity Staff, *The February 2021 Cold Weather Outages in Texas and the South*

I stand ready to take swift action on any future filings from industry, which I encourage, and I also look forward to working with my fellow Commissioners to move this critical work forward. Finally, I believe that accelerating smart investments in needed regional and interregional transmission infrastructure should be a key component of all-of-the-above permitting reform legislation, and I stand ready to provide technical assistance to Congress with any proposed legislation in this area.

Question 2: FERC has made improvements to generator interconnection processes through its Order No. 2023. But even with fixes to study times, generators can face expensive network upgrades, leading to delaying generation deployment on the grid. What steps can FERC take to address the long generation interconnection delays caused by high network upgrades?

Answer: While implementing the Commission's landmark Order No. 2023 this past year has been a major step forward in modernizing our nation's generator interconnection queues, there remains significant opportunity and an urgent need for further progress. For example, I see significant potential to accelerate the pace of interconnection studies by adopting advanced automation tools—something which regions can do immediately and without the need for any regulatory changes.[5] MISO has already used these tools to reduce one of its interconnection study's time from over 600 days to fewer than 10 days.[6]

While streamlining interconnection processes is important, ultimately, many of the delays that generators face when connecting to the grid stem from inadequate transmission capacity. There is little debate that the United States needs major investment in transmission infrastructure, as detailed in my response above and confirmed by both NERC and DOE across Presidential Administrations. To that end, I highlight two areas where better planning stands to make progress towards meeting these needs.

First, the Commission recently approved the SPP region's Consolidated Planning Process (CPP).[7] CPP combines planning for demand growth and generator interconnection into a single process to plan for both needs holistically. Studying the grid this way can reduce interconnection costs, avoid duplicative transmission, and accelerate generator interconnection timelines. Finally, CPP also solves one of the most vexing parts of the legacy generator interconnection process: uncertainty as to the cost of connecting a new

---

Central United States, at 96-98 (Nov. 2021), https://www.ferc.gov/media/february-2021-cold-weather-outages-texas-and-south-central-united-states-ferc-nerc-and.

[5] David Rosner, Comm'r, FERC, *Commissioner Rosner's Letters to ISOs/RTOs Regarding Interconnection Automation* (Mar. 2025), https://www.ferc.gov/news-events/news/commissioner-rosners-letters-isosrtos-regarding-interconnection-automation.

[6] Midcontinent Indep. Sys. Operator (MISO), MISO Interconnection Process Working Grp., *SUGAR Implementation*, at 5 (Mar. 2025), https://cdn.misoenergy.org/20250304%20IPWG%20Item%2005%20SUGAR%20Implementation682016.pdf.

[7] *See Sw. Power Pool, Inc.*, 194 FERC ¶ 61,192 (2026), (Rosner, Comm'r, concurring), https://www.ferc.gov/news-events/news/commissioner-rosners-concurrence-southwest-power-pool-inc.

power plant to the grid. CPP instead provides generators with a one-time, per-MW entry fee to connect to the grid that is known upfront.

Second, this year, FERC will begin reviewing electric transmission providers' proposals to implement the Commission's bipartisan Order No. 1920.[8] This critical rule adopts modernized reforms for transmission providers to conduct long-term transmission planning and, for the first time ever, incorporates input from our state partners into the DNA of the program, so that America can plan the backbone grid infrastructure needed to meet our growing energy demand and maximize benefits to consumers. Getting regional transmission planning right across the country will set up America to power the coming decades of economic growth, while also ensuring that consumers are protected from paying for transmission that isn't needed, that is inefficient, or that doesn't provide benefits to them.

Finally, I share my colleagues' interest in Grid Enhancing Technologies (GETs) as a means to get more efficiency out of the grid we have today and enable faster generator interconnection.

Questions from Senator Cindy Hyde-Smith

Question 1: I want to commend the Commission for continuing to prioritize reliability across the grid. There is a fine balance between interconnectivity and ensuring connectivity does not impede affordability and reliability. Given the jurisdictional balance between federal and state regulators, how does FERC ensure it respects retail electric service agreements with data centers alongside generation and transmission siting authority when issuing show-cause orders to grid operators?

Answer: Because these matters are currently pending before the Commission, I cannot speak to specific outcomes. However, as a general matter, the Commission has a long history of relying on and coordinating with states and regions to optimize outcomes and fulfill our statutory duties under the Federal Power Act (FPA). I expect this collaboration to continue for large loads. I am committed to continuing the work with my state and federal colleagues, and as I noted in my testimony, I am encouraged by the fact that more than 30 states have adopted special retail rate structures for large loads—an important complement to Commission action and a reminder of the cooperative federalism needed to protect consumers, especially residential customers.

Questions from Senator Catherine Cortez Masto

[8] *See Building for the Future Through Elec. Reg'l Transmission Planning and Cost Allocation*, Order No. 1920-A, 189 ¶ FERC 61,126 (2024), https://www.ferc.gov/news-events/news/ferc-strengthens-order-no-1920-expanded-state-provisions

Question 1: Are there ways that Congress and FERC can work together to bolster workforce programs and ensure we have the expertise necessary to adhere to all of FERC's responsibilities?

Answer: Yes. Ensuring that FERC has a strong, expert workforce is essential to delivering on our mission to assist consumers in obtaining reliable, safe, secure, and economically efficient energy services at a reasonable cost through appropriate regulatory and market means. While the Chairman, as the administrative head of the agency, oversees staffing for the Commission, I fully support efforts to strengthen the professional expertise across all of FERC's offices as our energy systems grow more complex and demands increase. Congress and the Commission share an interest in maintaining this capacity, and I welcome continued collaboration to bolster workforce development and address emerging expertise needs as they arise.

Question 2: Under its five categories of reform for the June 2026 show cause orders, FERC includes "preventing cost shifting and requiring transparency into transmission costs." How will FERC ensure that large loads, including data centers, bear their fair share of grid modernization costs and do not shift those costs onto residential ratepayers, particularly given states' central role in regulating cost-shifting?

Answer: While I cannot comment on the specifics of these proceedings as they are currently pending, as a general matter, the Commission is laser focused on protecting consumers from bearing the costs imposed by large loads like data centers. As I explained in my concurrence to the show cause orders, one way to prevent cost shifting is through mandatory contracts—referred to as "Cost Recovery Agreements"—which are designed to ensure that large loads pay their fair share of the costs incurred to serve them, regardless of whether the large load comes online as planned. Furthermore, we are working hard to ensure that there is sufficient transparency, so that our state regulator colleagues have the information that they need to assign costs to the right classes of customers.

Questions from Senator Lisa Murkowski

Question 1: The Homer Electric Association is a small rural electric cooperative in Alaska that serves about 25,000 customers on the Kenai Peninsula. Several years ago, I was appalled to learn that during a hydropower relicensing proceeding, the U.S. Forest Service tried to make Homer build and maintain an unconstructed part of the Iditarod Trail near Grant Lake, including accessing parking lots and cleaning bathrooms in perpetuity, as part of the agency's so-called mandatory conditions under section 4(e) of the Federal Power Act (FPA). These requirements had nothing to do with the hydropower project or its impact on Forest Service lands. Instead, Forest Service employees admitted to my staff that they long sought the trail's construction and 'had always wanted parking and bathroom facilities' in the area and that the hydropower licensing process was their chance. They didn't care that the co-op, and its customers, would be left footing the bill. The Homer Electric licensing proceeding has become a prominent example of how mandatory conditions under Sections

4(e) and 18 of the FPA can dramatically increase project costs. And although it is a FERC license, the Commission has no discretion to reject a resource agency's conditions, no matter how unreasonable, unnecessary, or unrelated to the project. Too often, agencies have wielded mandatory conditions tied to hydropower licenses as a way to secure "wish-list" items by using license applicants as ATMs.

- **Does the Commission believe the current statutory framework under the FPA appropriately balances resource agency authority with FERC's responsibility to license hydropower projects in the public interest?**

  Answer: When adjudicating a hydropower licensing proposal, I am required by the FPA to evaluate the full record and make a public-interest determination based on the facts and the law. As you note, the FPA does not provide the Commission with discretion to reject or modify mandatory conditions submitted under sections 4(e) or 18, even when those conditions may contribute materially to overall project cost. I stand ready to provide technical assistance to Congress on any proposed legislation to streamline the hydropower licensing or relicensing process.

- **Do you agree that the FPA prevents the Commission from rejecting a mandatory condition or prescription that is issued by a relevant resource agency? Can FERC determine if a resource agency's mandatory condition or prescription is in the public interest?**

  Answer: Yes. Sections 4(e) and 18 of the FPA make certain agency conditions binding on the Commission, and we do not have the authority to reject, revise, or tailor those conditions. Under current law, the Commission can assess, analyze, and comment on the implications of a mandatory condition, including its effect on cost or operability, but once a state or resource agency issues a mandatory condition or prescription, the Commission must include it in the license regardless of our assessment.

- **Do you share my concern that egregious and unrelated mandatory conditions unnecessarily increase costs while discouraging hydropower development and that this was not the intent of Title I of the FPA?**

  Answer: I share your commitment to ensuring that Americans have access to reliable and affordable hydropower. Affordability is top of mind across the country, as both households and businesses navigate energy costs. To that end, ensuring that needed generation and transmission infrastructure are properly incentivized—and that customers are not exposed to undue or disproportionate cost burdens—is a core priority for me.

  While I cannot speak to Congress's original intent, should Congress choose to revisit or clarify Title I of the FPA, I am confident that the Commission would continue to uphold its responsibilities consistent with any revisions.

- **Are there statutory or procedural changes that Congress should consider to tie mandatory conditions/prescription to the actual project and improve coordination among agencies while preserving environmental protections?**

  Answer: While I defer to Congress on the specifics, I strongly support all-of-the-above permitting reform legislation that enhances regulatory certainty and enables needed infrastructure of all types—including hydropower—to be efficiently permitted and constructed. Ensuring well-coordinated federal processes would help applicants plan effectively while preserving the protections afforded by the FPA.

Question 2: Hydropower is an essential component of our nation's energy portfolio, yet developers continue to cite permitting and regulatory delays as barriers to investment and development. Last November, the Commission released a Notice of Inquiry for a proposed blanket authorization treatment of post-licensing activities like maintenance, repairs, and upgrades. I'm also seeking similar reforms in the FLOWS Act, legislation I'm advancing with Senator King. The goal is to provide meaningful regulatory certainty without compromising environmental or reliability protections.

- **What is the current status of FERC's consideration of a blanket authorization for hydropower projects? Will the Commission move to a rulemaking proceeding soon?**

  Answer: On November 25, 2025, FERC issued a Notice of Inquiry (NOI) to consider authorizations for certain post-licensing activities at hydropower projects.[9] The hydropower industry has evolved significantly over time, providing FERC with a substantial record upon which we can streamline permitting for work that has already been well-studied and is well-understood, while maintaining rigorous safety and environmental standards across the board. Accordingly, I am reviewing the record from the NOI and working with my colleagues to consider further action to develop updated blanket permitting procedures for lower-impact hydropower projects at existing facilities. As to the specific timing of a next step in this proceeding, I refer you to Chairman Swett's response to this question.

Question 3: FERC's recent order on large loads is focused on making sure we can connect new demand —particularly AI data centers— without compromising reliability or shifting costs onto existing customers. Alaska isn't part of an RTO or ISO, but we're actively looking at opportunities to attract data centers because of our abundant energy resources, cool climate, and strategic location. As the Commission implements this policy, what lessons should states like Alaska take away? How can we welcome these large new loads while ensuring existing residential customers don't end up subsidizing the infrastructure needed to serve them?

Answer: Although I cannot comment on the specifics of the proceedings as they are currently pending, as a general matter, the four pillars that underscore the Commission's recent work on large loads are: (1) protecting consumers, (2) enhancing transparency, (3)

[9] *See Authorizations for Certain Post-Licensing Activities at Hydroelectric Projects*, 193 FERC ¶ 61,140 (2025) (Notice of Inquiry), https://www.ferc.gov/media/h-1-rm26-3-000.

safeguarding reliability, and (4) fostering innovation.[10] With respect to the first, one way to protect consumers and to prevent cost shifting is through mandatory contracts designed to ensure that large loads pay their fair share of the costs incurred to serve them, regardless of whether the large load comes online as planned or at all. In addition, it is essential that federal and state regulators work together on this urgent challenge, and, to that end, I again highlight that over 30 states have adopted special retail rate structures for large loads—an important complement to Commission action and a reminder of the cooperative federalism needed to protect regular consumers. I stand ready to provide technical assistance to you as well as to the State of Alaska on these issues and the lessons learned from FERC's work in this area.

Questions from Senator Alex Padilla

Question 1: Electricity prices are top of mind for California ratepayers. Any upward pressure on rates from the irresponsible and inefficient incorporation of large loads onto the grid would be devastating. In your recent large-load orders, the Commission found that some tariffs appear unjust and unreasonable because they do not require the evaluation of grid-enhancing technologies as potential solutions to bring in large loads.

- **What should consumers realistically expect to change because of these orders?**

  Answer: Although I cannot comment on the specifics of the proceedings as they are currently pending, as a general matter, GETs are technologies that enable more efficient use of the existing grid and reduce the need for new infrastructure. Put simply: GETs can reduce costs and increase reliability.[11] In previous FERC rulemakings, such as Order No. 2023, which streamlined interconnection queues, and Order No. 1920, which requires comprehensive, 20-year, forward-looking regional transmission planning, the Commission required public utilities to *consider* GETS. The Orders to Show Cause go further, requiring public utilities to not only *consider* GETs, but to (1) use of models that are capable of evaluating the transmission system to accurately account for GETs, as well as to (2) provide a transparent report demonstrating why GETs are not feasible if the utility does not implement them.[12] To this end, I recently called on industry to share innovations in software capable of accomplishing these goals.[13]

---

[10] *See* David Rosner, Comm'r, FERC, *Commissioner Rosner's Remarks on the Large Load Show Cause Orders* (June 2026), https://www.ferc.gov/news-events/news/commissioner-rosners-remarks-large-load-show-cause-orders-e-7-e-12-june-18-2026.

[11] *See Midcontinent Indep. Sys. Operator, Inc.*, 191 FERC ¶ 61,192 (2025), (Rosner, Comm'r, concurring), https://www.ferc.gov/news-events/news/commissioner-rosners-concurrence-order-granting-extension-time-re-miso-inc-under.

[12] *See, e.g.*, *Cal. Indep. Sys. Operator, Corp.*, 195 FERC ¶ 61,214 (2026) (Rosner, Comm'r, concurring, at P 4).

[13] David Rosner, Comm'r, FERC, *Open Letter to Technical Conference Participants: GETs and Increasing Market Planning Efficiency through Improved Software* (Jul. 2025), https://www.ferc.gov/news-events/news/open-letter-technical-conference-participants-gets-and-increasing-market-planning.

- **How will requiring RTOs and utilities to study GETs translate into measurable outcomes like lower customer bills and more efficient connections to the grid?**

  Answer: The cheapest transmission line is the one that is already built. GETs improve the efficiency of our existing transmission system, allowing us to get more out of the infrastructure that we already have, and to defer or avoid construction of new infrastructure that might otherwise be necessary. We have some early evidence of the potential savings from one type of GETs, where the Independent Market Monitor for the MISO region estimated that temperature-adjusted transmission line ratings could save Midwestern consumers half a billion dollars between 2023 and 2024.[14]

[14] *See Midcontinent Indep. Sys. Operator, Inc.*, 191 FERC ¶ 61,192 (2025), (Rosner, Comm'r, concurring), https://www.ferc.gov/news-events/news/commissioner-rosners-concurrence-order-granting-extension-time-re-miso-inc-under.

U.S. Senate Committee on Energy and Natural Resources
July 22, 2026 Hearing: *Oversight Hearing on the Federal Energy Regulatory Commission*
Questions for the Record Submitted to The Honorable Lindsay See

Questions from Ranking Member Martin Heinrich

Question 1: DOE issued its draft National Transmission Needs Study, which found that the US desperately needs more high voltage transmission lines to be built.

Over the past nine years, high-voltage transmission lines of 500 kV or more only made up 4% of the transmission building nationally.

How important is the buildout, and improvement, of high voltage, interregional transmission in meeting our nation's energy needs?

Answer: America's growing electricity demand presents a tremendous opportunity for our country, and part of meeting that demand requires investing in transmission where it improves reliability, strengthens resilience, reduces congestion, or otherwise delivers measurable benefits to customers. Encouraging responsible transmission buildout is bound up with the Commission's mandate under the FPA to ensure that jurisdictional transmission rates remain just and reasonable while supporting reliable electric service.

At the same time, more transmission is not an end in itself. The Commission has a responsibility to help ensure that the right infrastructure is built at the right time and at a reasonable cost, with planning that reflects regional needs and cost allocation that remains consistent with cost-causation principles. For example, the Commission has recently approved innovative approaches to increase interregional transfer capability while remaining consistent with those principles, such as MISO and SPP's Joint Targeted Interconnection Queue portfolio of interregional transmission facilities to support interconnecting 28.6 GW of generation along their shared seam.

Question 2: FERC has made improvements to generator interconnection processes through its Order No. 2023. But even with fixes to study times, generators can face expensive network upgrades, leading to delaying generation deployment on the grid.

What steps can FERC take to address the long generation interconnection delays caused by high network upgrades?

Answer: Reliable electricity requires speed to power. Order No. 2023 made important improvements to generator interconnection by reducing study delays and increasing transparency. We are already seeing results from Order No. 2023's reforms, but with implementation still in its early phases, the rule needs more time to continue to deliver on its full benefits.

That said, improving study timelines alone will not solve every challenge. High network upgrade costs can delay new generation, increase costs for consumers, and slow the infrastructure needed to support growing electricity demand. The Commission is encouraging innovative solutions to help address these concerns. For instance, the Commission recently approved a measure in SPP that brings transmission and generation planning together, with a

goal of helping developers make better informed decisions about where it is faster and cheaper to build. Creating stronger incentives to deploy alternative transmission technologies where they make engineering and economic sense can also increase system capability, accelerate interconnections, and avoid unnecessary upgrade costs. I remain committed with my colleagues to approaching this issue from all angles, and welcome any additional authorities Congress may provide in these areas.

Questions from Senator Jim Justice

Question 1: States have direct responsibility for consumer protection, resource adequacy, and affordability. Should states have a more formal role in initiating or directing PJM filings on matters within their jurisdiction, and how could that improve outcomes for customers – including those in West Virginia?

Answer: States play an indispensable role in maintaining reliable and affordable electric service—they are governmental partners with unique statutory responsibilities and insight into their residents' needs, not simply another stakeholder interest. The Commission's recent technical conference on PJM governance and stakeholder processes put a spotlight on practical reforms that can strengthen state engagement, improve transparency, and support more timely decision-making. I support the States having a greater voice and accountability within PJM so that they can better shape outcomes that affect ratepayers across the PJM region, including in my home State of West Virginia.

Questions from Senator Catherine Cortez Masto

Question 1: Are there ways that Congress and FERC can work together to bolster workforce programs and ensure we have the expertise necessary to adhere to all of FERC's responsibilities?

Answer: Our staff bring extraordinary professionalism, technical expertise, and dedication to work every day, and their efforts are what make it possible for FERC to carry out its statutory mission. As our nation's energy system becomes more complex, maintaining that expertise becomes increasingly important. I am pleased that the Commission is actively hiring talented engineers, economists, attorneys, accountants, environmental specialists, cybersecurity experts, and other professionals. I appreciate Congress's continued support for ensuring the Commission can recruit and retain the highly qualified workforce we need to continue issuing timely, technically sound, and legally durable decisions.

Question 2: Under its five categories of reform for the June 2026 show cause orders, FERC includes "preventing cost sifting and requiring transparency into transmission costs." How will FERC ensure that large loads, including data centers, bear their fair share of grid modernization costs and do not shift those costs onto residential ratepayers, particularly given states' central role in regulating cost-shifting?

U.S. Senate Committee on Energy and Natural Resources
July 22, 2026 Hearing: *Oversight Hearing on the Federal Energy Regulatory Commission*
Questions for the Record Submitted to The Honorable Lindsay See

Answer: Protecting consumers is a core component of the Commission's responsibility to ensure just and reasonable rates. A growing load and a growing grid are good for America, but that growth needs to come with clear cost responsibility so that new large loads pay their own way, consistent with the Commission's longstanding cost-causation principles. States are also indispensable in this effort because of their central role in retail ratemaking. Given that context, my priorities in this area are: (1) applying cost-causation principles rigorously when it comes to allocating costs within our jurisdiction; (2) increasing transparency so States have better information when they do the same for costs within their jurisdiction; and (3) highlighting (and, where appropriate, requiring) best practices to reduce speculative and stranded costs across all industry sectors.

Questions from Senator Cindy Hyde-Smith

Question 1: I want to commend the Commission for continuing to prioritize reliability across the grid. There is a fine balance between interconnectivity and ensuring connectivity does not impede affordability and reliability.

Given the jurisdictional balance between federal and state regulators, how does FERC ensure it respects retail electric service agreements with data centers alongside generation and transmission siting authority when issuing show-cause orders to grid operators?

Answer: As a general matter, I respect the FPA's careful balance between federal and state authority and strive to work as partners with the States in the critical area of large load interconnection and the costs that flow from it.

Connecting data centers to the grid involves both federal and state jurisdiction under the FPA—the Commission regulates interstate transmission service and wholesale electricity markets, while States are responsible for retail electric service, resource planning, and generation and transmission siting. Respecting that jurisdictional balance is important to delivering reliable and affordable electricity while accommodating growing demand in a legally durable manner. In the recent show-cause orders addressing the challenges associated with large-load growth, for example, the Commission aimed to act in a manner that complements (rather than displaces) the States by focusing direct regulatory authority on wholesale rate issues and pushing for greater transparency to assist the States in their retail cost-allocation roles.

Questions from Senator Lisa Murkowski

Question 1: The Homer Electric Association is a small rural electric cooperative in Alaska that serves about 25,000 customers on the Kenai Peninsula. Several years ago, I was appalled to learn that during a hydropower relicensing proceeding, the U.S. Forest Service tried to make Homer build and maintain an unconstructed part of the Iditarod Trail near Grant Lake, including accessing parking lots and cleaning bathrooms in perpetuity, as part of the agency's so-called mandatory conditions under section 4(e) of the Federal Power Act (FPA). These requirements had nothing to do with the hydropower project or its impact on Forest Service lands. Instead, Forest Service employees admitted to my staff that they long

U.S. Senate Committee on Energy and Natural Resources
July 22, 2026 Hearing: *Oversight Hearing on the Federal Energy Regulatory Commission*
Questions for the Record Submitted to The Honorable Lindsay See

sought the trail's construction and 'had always wanted parking and bathroom facilities' in the area and that the hydropower licensing process was their chance. They didn't care that the co-op, and its customers, would be left footing the bill. The Homer Electric licensing proceeding has become a prominent example of how mandatory conditions under Sections 4(e) and 18 of the FPA can dramatically increase project costs. And although it is a FERC license, the Commission has no discretion to reject a resource agency's conditions, no matter how unreasonable, unnecessary, or unrelated to the project. Too often, agencies have wielded mandatory conditions tied to hydropower licenses as a way to secure "wish-list" items by using license applicants as ATMs.

- **Does the Commission believe the current statutory framework under the FPA appropriately balances resource agency authority with FERC's responsibility to license hydropower projects in the public interest?**

  Answer: I share your concerns about how mandatory conditions can be used in practice in specific instances. The FPA requires the Commission to balance a broad range of considerations when licensing hydropower projects, including electric generation, environmental resources, recreation, irrigation, flood control, and water supply. The Act also assigns certain federal resource agencies mandatory conditioning authorities under sections 4(e) and 18 as part of that licensing process. I believe the Commission should pursue improved coordination with federal resource agencies, within our statutory bounds, to reduce unnecessary delay and otherwise support timely hydropower consistent with the public interest.

- **Do you agree that the FPA prevents the Commission from rejecting a mandatory condition or prescription that is issued by a relevant resource agency? Can FERC determine if a resource agency's mandatory condition or prescription is in the public interest?**

  Answer: Sections 4(e) and 18 of the Federal Power Act generally require the Commission to include mandatory conditions and prescriptions from the relevant resource agencies in hydropower licenses. While the Commission has ultimate responsibility whether to issue the license, the Act gives the respective resource agencies responsibility for those mandatory conditions and prescriptions.

- **Do you share my concern that egregious and unrelated mandatory conditions unnecessarily increase costs while discouraging hydropower development and that this was not the intent of Title I of the FPA?**

  Answer: Hydropower is an important source of reliable, flexible electricity, and unnecessary costs and delays can discourage investing in both existing facilities and new projects. I agree that regulatory requirements should be appropriately related to the project and its effects.

U.S. Senate Committee on Energy and Natural Resources
July 22, 2026 Hearing: *Oversight Hearing on the Federal Energy Regulatory Commission*
Questions for the Record Submitted to The Honorable Lindsay See

- **Are there statutory or procedural changes that Congress should consider to tie mandatory conditions/prescription to the actual project and improve coordination among agencies while preserving environmental protections?**

  Answer: As a commissioner, I generally avoid recommending specific legislative proposals—but stand ready to implement any Congress enacts to bring greater parity between license conditions and the relevant interests at stake. From an administrative perspective, however, I believe that continuing to improve interagency coordination, identifying issues earlier, and pursuing more efficient licensing procedures can better support timely hydropower development while preserving the balance of interests the FPA requires.

Question 2: Hydropower is an essential component of our nation's energy portfolio, yet developers continue to cite permitting and regulatory delays as barriers to investment and development. Last November, the Commission released a Notice of Inquiry for a proposed blanket authorization treatment of post-licensing activities like maintenance, repairs, and upgrades. I'm also seeking similar reforms in the FLOWS Act, legislation I'm advancing with Senator King. The goal is to provide meaningful regulatory certainty without compromising environmental or reliability protections.

What is the current status of FERC's consideration of a blanket authorization for hydropower projects? Will the Commission move to a rulemaking proceeding soon?

Answer: Hydropower brings critical reliability features to the grid; in some regions it's consumers' primary source of electricity. Efficient and legally durable licensing is critical to build needed hydro projects and to keep existing projects online. Last year, the Commission issued a Notice of Inquiry seeking public comment on whether certain routine post-licensing activities, including maintenance, repairs, and upgrades, could be handled through a more efficient regulatory framework while remaining fully consistent with the FPA, NEPA, and other applicable laws. The Commission received substantial public input, and that record is now under active consideration. Because this matter remains pending before the Commission, I cannot comment on the timing or substance of any future Commission action. That said, I am monitoring progress on this important issue and support responsible streamlining to accelerate post-licensing activities at licensed hydropower facilities, where practicable.

Question 3: FERC's recent order on large loads is focused on making sure we can connect new demand —particularly AI data centers— without compromising reliability or shifting costs onto existing customers. Alaska isn't part of an RTO or ISO, but we're actively looking at opportunities to attract data centers because of our abundant energy resources, cool climate, and strategic location.

As the Commission implements this policy, what lessons should states like Alaska take away? How can we welcome these large new loads while ensuring existing residential customers don't end up subsidizing the infrastructure needed to serve them?

U.S. Senate Committee on Energy and Natural Resources
July 22, 2026 Hearing: *Oversight Hearing on the Federal Energy Regulatory Commission*
Questions for the Record Submitted to The Honorable Lindsay See

Answer: Growing electricity demand presents an important opportunity for States like Alaska. Careful planning (especially pairing generation with transmission planning), better load forecasting, upfront cost commitments, and using best practices to distinguish genuine demand from speculative load requests can help ensure infrastructure gets built where and when it is needed while avoiding both overbuilding and underbuilding. Although Alaska is not part of an RTO or ISO, the same overarching principle applies—new large loads should pay their way, and States play an indispensable role in protecting consumers while supporting reliable and affordable electric service.

Questions from Senator Alex Padilla

Question 1: The Commission's June 18th show-cause orders were a positive step toward addressing how large loads connect to the grid, a chief concern for many in my state. Cost-shifting and the risk that transmission and generation costs may become stranded if a data center downsizes, relocates, or never gets built in the first place are of particular concern.

- **When you review the responses to the June order, what will you be looking for to conclude that a tariff is just and reasonable in how it assigns the risk of these stranded assets?**

  Answer: Because the Commission's June 2026 show-cause proceedings are pending, I cannot comment on the merits of any specific proposal or prejudge how the Commission may act. As a general matter, though, America's growing electricity demand presents an extraordinary opportunity, but meeting that opportunity requires clear, predictable rules that support timely infrastructure development while protecting consumers. Because the Federal Power Act requires the Commission to ensure that jurisdictional rates remain just and reasonable, any framework addressing large loads must reflect cost-causation principles for wholesale costs within the Commission's jurisdiction. Other important factors include promoting transparency, improving planning, encouraging alternative transmission technologies in appropriate circumstances, and helping transmission providers distinguish genuine demand from speculative load requests.

- **What specific kinds of cost shifts from large loads to existing residential and small business customers are you most concerned about, and how will these proceedings prevent them?**

  Answer: With the same caveat as above about not prejudging the Commission's pending show-cause proceedings, I keep front-of-mind the Commission's core responsibility to ensure just and reasonable rates. A growing load and a growing grid are good for America, but growth should not come at the expense of existing customers. New large loads should pay their own way when it comes to the costs needed to connect to the grid. With that in mind, the Commission should apply cost-causation principles rigorously when it comes to allocating costs within our jurisdiction, as well as promote transparency and otherwise work with the States to help protect residential customers and small businesses from inappropriate cost shifts.

U.S. Senate Committee on Energy and Natural Resources
July 22, 2026 Hearing: *Oversight Hearing on the Federal Energy Regulatory Commission*
Questions for the Record Submitted to The Honorable Judy Chang

Questions from Ranking Member Martin Heinrich

Question 1: DOE issued its draft National Transmission Needs Study, which found that the US desperately needs more high voltage transmission lines to be built. Over the past nine years, high-voltage transmission lines of 500 kV or more only made up 4% of the transmission building nationally.

How important is the buildout, and improvement, of high voltage, interregional transmission in meeting our nation's energy needs?

A lack of transmission can be the bottleneck that prevents the flow of affordable, reliable electricity from reaching customers. It is critically important that there be investment to upgrade the current transmission system and ensure the nation has a robust grid. Interregional transmission in particular can improve reliability and increase affordability by enabling the exchange of lower-cost electricity across regions. Reports from recent winter storms showed that transfers enabled by interregional transmission were key to keeping the lights on, a fact that will become increasingly important as extreme weather becomes more frequent. Interregional transmission can provide particular value during peak periods, which are the hours that drive resource adequacy needs. Enabling regions to rely on transfers from their neighbors during periods of high demand could reduce the reliance on new generation and prevent costly overbuild.

Question 2: FERC has made improvements to generator interconnection processes through its Order No. 2023. But even with fixes to study times, generators can face expensive network upgrades, leading to delaying generation deployment on the grid.

What steps can FERC take to address the long generation interconnection delays caused by high network upgrades?

While Order No. 2023 went into effect in 2023, the Commission continues to review compliance filings as transmission providers adjust their tariffs. Even in regions that may have completed the compliance process, most transmission providers are still transitioning to the new procedures. Most reforms that seek to shorten study times have not yet been implemented, including where there are penalties for late studies. As a result, the full impact of the revisions required under Order No. 2023 remains to be seen. The root problem that leads to delays in the study process is cost uncertainty. In many locations, generation developers are routinely assigned costs that represent extremely expensive backbone transmission upgrades, which leads to withdrawals and delays. Some regions have made reforms to address this upgrade cost uncertainty—for example, SPP with its Consolidated Planning Process—and others have endeavored to build backbone transmission to enable new generation to come online more quickly and with more certainty, such as MISO's Multi-Value Projects and its Long Range Transmission Plan. I remain supportive of these types of actions that aim to address the root issues of interconnection delays through improvements to transmission planning over temporary fixes.

U.S. Senate Committee on Energy and Natural Resources
July 22, 2026 Hearing: *Oversight Hearing on the Federal Energy Regulatory Commission*
Questions for the Record Submitted to The Honorable Judy Chang

Questions from Senator Cindy Hyde-Smith

Optional:
Question 1: I want to commend the Commission for continuing to prioritize reliability across the grid. There is a fine balance between interconnectivity and ensuring connectivity does not impede affordability and reliability.

- **Given the jurisdictional balance between federal and state regulators, how does FERC ensure it respects retail electric service agreements with data centers alongside generation and transmission siting authority when issuing show-cause orders to grid operators?**

I acknowledge that the show cause orders are pending contested proceedings and thus I cannot speak to the merits or pre-judge the outcome. As a former state energy official, I know the essential role that states play in meeting America's energy needs. Since joining the Commission, I have prioritized building a productive and collegial relationship with my state counterparts. Reliability and affordability will be best protected when the Commission and its state counterparts are working collaboratively.

Questions from Senator Catherine Cortez Masto

Question 1: Are there ways that Congress and FERC can work together to bolster workforce programs and ensure we have the expertise necessary to adhere to all of FERC's responsibilities?

The Commission's workforce is specialized to fulfill our statutory responsibilities as designated by Congress. I appreciate the Chairman's efforts to resume hiring and thus ensure that we have adequate staffing levels to provide timely and sufficient analysis. Should Congress choose to grant additional authorities to the Commission, it may be necessary to expand the Commission's workforce to include additional skills and competencies

Question 2: Under its five categories of reform for the June 2026 show cause orders, FERC includes "preventing cost sifting and requiring transparency into transmission costs." How will FERC ensure that large loads, including data centers, bear their fair share of grid modernization costs and do not shift those costs onto residential ratepayers, particularly given states' central role in regulating cost-shifting?

I acknowledge that the show cause orders are pending contested proceedings and thus I cannot speak to the merits or pre-judge the outcome. Generally, the Commission has operated under the principle of beneficiary pays. As the Commission moves forward with these and other proceedings, I am committed to keeping the impact on customer costs front of mind. As a former state energy official, I recognize the importance of states in ensuring affordability and will continue to work collaboratively with the states on this issue.

U.S. Senate Committee on Energy and Natural Resources
July 22, 2026 Hearing: *Oversight Hearing on the Federal Energy Regulatory Commission*
Questions for the Record Submitted to The Honorable Judy Chang

Questions from Senator Lisa Murkowski

Question 1: The Homer Electric Association is a small rural electric cooperative in Alaska that serves about 25,000 customers on the Kenai Peninsula. Several years ago, I was appalled to learn that during a hydropower relicensing proceeding, the U.S. Forest Service tried to make Homer build and maintain an unconstructed part of the Iditarod Trail near Grant Lake, including accessing parking lots and cleaning bathrooms in perpetuity, as part of the agency's so-called mandatory conditions under section 4(e) of the Federal Power Act (FPA). These requirements had nothing to do with the hydropower project or its impact on Forest Service lands. Instead, Forest Service employees admitted to my staff that they long sought the trail's construction and 'had always wanted parking and bathroom facilities' in the area and that the hydropower licensing process was their chance. They didn't care that the co-op, and its customers, would be left footing the bill. The Homer Electric licensing proceeding has become a prominent example of how mandatory conditions under Sections 4(e) and 18 of the FPA can dramatically increase project costs. And although it is a FERC license, the Commission has no discretion to reject a resource agency's conditions, no matter how unreasonable, unnecessary, or unrelated to the project. Too often, agencies have wielded mandatory conditions tied to hydropower licenses as a way to secure "wish-list" items by using license applicants as ATMs.

- **Does the Commission believe the current statutory framework under the FPA appropriately balances resource agency authority with FERC's responsibility to license hydropower projects in the public interest?**

  The Commission relies on the expertise of partner agencies to understand how to best manage specific resources. This partnership remains critically important to the Commission's ability to thoughtfully review and respond to permitting applications. However, while I recognize the mandate for shared responsibility between federal agencies as dictated by statute, I agree that in practice, this shared responsibility can be exercised in a way that places an inappropriate burden on licensees.

- **Do you agree that the FPA prevents the Commission from rejecting a mandatory condition or prescription that is issued by a relevant resource agency? Can FERC determine if a resource agency's mandatory condition or prescription is in the public interest?**

  Decisions from the federal courts have restricted the Commission's ability to reject another agency's mandatory condition or prescription.

- **Do you share my concern that egregious and unrelated mandatory conditions unnecessarily increase costs while discouraging hydropower development and that this was not the intent of Title I of the FPA?**

U.S. Senate Committee on Energy and Natural Resources
July 22, 2026 Hearing: *Oversight Hearing on the Federal Energy Regulatory Commission*
Questions for the Record Submitted to The Honorable Judy Chang

When considering hydropower applications, it is important to find a balance between development needs and public interest concerns.

- **Are there statutory or procedural changes that Congress should consider to tie mandatory conditions/prescription to the actual project and improve coordination among agencies while preserving environmental protections?**

  It is critically important that the Commission be able to continue collaborating with other agencies in evaluating project applications and resource conditions. If Congress would like to make changes to the Commission's statutory responsibilities, we will work to implement them.

Question 2: Hydropower is an essential component of our nation's energy portfolio, yet developers continue to cite permitting and regulatory delays as barriers to investment and development. Last November, the Commission released a Notice of Inquiry for a proposed blanket authorization treatment of post-licensing activities like maintenance, repairs, and upgrades. I'm also seeking similar reforms in the FLOWS Act, legislation I'm advancing with Senator King. The goal is to provide meaningful regulatory certainty without compromising environmental or reliability protections.

What is the current status of FERC's consideration of a blanket authorization for hydropower projects? Will the Commission move to a rulemaking proceeding soon?

I am a big supporter of hydropower projects and am enthusiastic about any opportunities for increased efficiency in our hydroelectric authorization processes. The Commission has initiated a Notice of Inquiry on the blanket authorization and has received public comments, which will be the basis of the record on which we proceed with the next step of the rulemaking process. I am committed to engaging on this topic as the rulemaking moves through its next steps.

Question 3: FERC's recent order on large loads is focused on making sure we can connect new demand —particularly AI data centers— without compromising reliability or shifting costs onto existing customers. Alaska isn't part of an RTO or ISO, but we're actively looking at opportunities to attract data centers because of our abundant energy resources, cool climate, and strategic location.

As the Commission implements this policy, what lessons should states like Alaska take away? How can we welcome these large new loads while ensuring existing residential customers don't end up subsidizing the infrastructure needed to serve them?

I acknowledge that the show cause orders are pending contested proceedings and thus I cannot speak to the merits or pre-judge the outcome. The orders identify key areas for potential reform, including ensuring equitable cost allocation and creating opportunities for flexibility that new large loads could provide to the system. If the Regulatory Commission of Alaska—or any state energy regulatory body—is considering a new large load tariff, I encourage them to build upon

U.S. Senate Committee on Energy and Natural Resources
July 22, 2026 Hearing: *Oversight Hearing on the Federal Energy Regulatory Commission*
Questions for the Record Submitted to The Honorable Judy Chang

the expertise developed in other states and regions that have already attracted significant new large loads.

Questions from Senator Alex Padilla

Question 1: FERC recently directed the California ISO and Southwest Power Pool to report on how they will handle seams between their two day-ahead electricity markets. This is critically important to understand. As these markets develop, seams must be managed so that they don't undermine the cost and benefits of regionalized markets that Western states have worked so hard to secure. What does the Commission hope to see in CAISO and SPP's reports? What commitments would give you confidence that these markets are supporting lower costs and increasing reliability?

Fundamentally, markets can produce benefits for ratepayers in the form of lower prices and increased reliability. Given the complexities of the grid in the western United States and the anticipated seams between the various markets, I want to make sure that relevant entities are engaged early on this issue to avoid any problems. The potential risks are summarized well in the Commission's Seams Report.[1] As CAISO and SPP respond to the order, I hope to see a joint prioritization of issues that should be addressed to minimize the impact of various market seams and any inconsistent operational approaches across markets in the West, as well as reasonable timelines to address these issues. I also hope to see that market operators productively engage stakeholders across the West in finding solutions, since the market structures will impact non-market participants as well.

Question 2: It was encouraging to see the DOE's National Transmission Needs Study highlight the pivotal role interregional transmission can play for our grid. Creative models like the California ISO's Subscriber Model to bring in power from the SunZia HVDC line are starting to emerge to make interregional transmission a reality and keep costs from falling onto ratepayers. That kind of innovation shows that regions are willing to take on complex interregional projects when the rules give them a workable path. How can FERC make sure that successful models like CAISO's subscriber approach are the rule rather than the rare exception?

Regional and interregional transmission can improve reliability and increase affordability by enabling the exchange of lower-cost electricity within and across regions. While Order No. 1920 imposed a requirement for long-term planning, it continues to allow states and transmission developers to propose different projects to the regional planners and to bring innovative cost allocation approaches to the Commission. It is important that the Commission allow regions to implement rules that meet their specific needs, and I respect states' rights to seek solutions that meet those identified needs.

---

[1] Federal Energy Regulatory Commission Staff, *Seams Coordination in the Western Interconnection* (Nov. 21, 2025), https://www.ferc.gov/sites/default/files/2025-11/Seams%20Coordination%20in%20the%20Western%20Interconnection.pdf.

U.S. Senate Committee on Energy and Natural Resources
July 22, 2026 Hearing: *Oversight Hearing on the Federal Energy Regulatory Commission*
Questions for the Record Submitted to The Honorable Judy Chang

Question 3: Affordability is a chief concern to me and to my state, but I have heard concerns that FERC's recent Opinion No. 594 action could result in uncertainty for investors in transmission projects. What was FERC's reasoning behind the Opinion, in particular with regard to what customers will see on their bills now and in the future? How did the Commission weigh the return on equity adjustment against concerns about regulatory uncertainty?

The Commission's core legal obligation is to ensure just and reasonable rates, which requires finding a balance between incenting new investment and protecting ratepayers. In ratemaking matters, we apply a consistent return on equity (ROE) policy as articulated in Order No. 569-A and revised following an appellate remand. Each ROE proceeding presents unique facts and circumstances to which the Commission applies its ROE methodology fairly. In the case of Opinion No. 594, the Commission established a just and reasonable ROE for the New England transmission owners. The decision followed a reasoned analytical framework in applying FERC's ROE methodology to that record. Opinion No. 594 made FERC's methodology clear and transparent to minimize regulatory uncertainty.

U.S. Senate Committee on Energy and Natural Resources
July 22, 2026, Hearing: *Oversight Hearing on the Federal Energy Regulatory Commission*
Questions for the Record Submitted to The Honorable David LaCerte

Questions from Ranking Member Martin Heinrich

Question 1: DOE issued its draft National Transmission Needs Study, which found that the US desperately needs more high voltage transmission lines to be built.

Over the past nine years, high-voltage transmission lines of 500 kV or more only made up 4% of the transmission building nationally.

How important is the buildout, and improvement, of high voltage, interregional transmission in meeting our nation's energy needs?

Answer: The buildout of high-voltage interregional transmission is essential to maintaining the ongoing safe and reliable operation of the interstate transmission grid. As the National Transmission Needs Study noted, interregional and cross-interconnection links have the highest potential value for congestion relief and resource adequacy. I recognize the importance of a robust transmission system to ensure reliable and affordable service to customers. I am encouraged by recent approvals of 500 kV and above projects, such as in MISO, SPP, and CAISO, that can improve interregional transfer capability and will continue to encourage such development where cost effective. Moreover, Order No. 1920 requires transmission providers to evaluate potential projects with a common set of benefits, one of which specifically examines the benefit of increasing import capability from other regions.

Question 2: FERC has made improvements to generator interconnection processes through its Order No. 2023. But even with fixes to study times, generators can face expensive network upgrades, leading to delaying generation deployment on the grid.

What steps can FERC take to address the long generation interconnection delays caused by high network upgrades?

Answer: Since issuance of Order No. 2023, the Commission has taken a number of steps to further address generation interconnection delays. For example, the Commission has acted on numerous proposals from transmission providers seeking to improve their interconnection queue processes and queue times. One example is SPP's consolidated planning process, which is a novel approach that considers transmission planning and generator interconnection in one process. In addition, my colleagues and I are also further considering how the use of advanced transmission technologies could in some instances reduce the time and cost of generator interconnection.

U.S. Senate Committee on Energy and Natural Resources
July 22, 2026, Hearing: *Oversight Hearing on the Federal Energy Regulatory Commission*
Questions for the Record Submitted to The Honorable David LaCerte

Questions from Senator Cindy Hyde-Smith

Optional:
Question 1: I want to commend the Commission for continuing to prioritize reliability across the grid. There is a fine balance between interconnectivity and ensuring connectivity does not impede affordability and reliability.

- Given the jurisdictional balance between federal and state regulators, how does FERC ensure it respects retail electric service agreements with data centers alongside generation and transmission siting authority when issuing show-cause orders to grid operators?

Answer: The show cause orders the Commission issued in June 2026 to address the integration of large loads respect the authority of states to select, site, and permit generating resources and transmission facilities and to set the rates, terms, and conditions of retail sales of electricity. Moreover, the show cause orders strive to increase transparency so that state public utility commissions and other state regulators have the information they need to protect retail ratepayers. I expect that the Commission's ongoing work on these show cause orders will continue to respect the states' role on these issues.

Questions from Senator Catherine Cortez Masto

Question 1: Are there ways that Congress and FERC can work together to bolster workforce programs and ensure we have the expertise necessary to adhere to all of FERC's responsibilities?

Answer: I appreciate the need to have a workforce that has the expertise to work on the important energy issues we must address for the American people. Although at this time I do not have in mind ways that Congress and the Commission can work together on these staffing issues, I will identify such issues as they arise.

Question 2: Under its five categories of reform for the June 2026 show cause orders, FERC includes "preventing cost shifting and requiring transparency into transmission costs." How will FERC ensure that large loads, including data centers, bear their fair share of grid modernization costs and do not shift those costs onto residential ratepayers, particularly given states' central role in regulating cost-shifting?

Answer: My colleagues and I take seriously concerns about protecting residential ratepayers from the costs of integrating large loads, including data centers, and these concerns factored heavily in the Commission's historic show cause orders. The orders the Commission issued in June 2026 establish rigorous consumer safeguards. For example, the orders focus on preventing cost shifting as large loads integrate onto the grid, such that the costs of network upgrades are appropriately credited and not borne by other wholesale customers. In addition, because the states will play a critical role in this process, these orders call for unprecedented transparency so that cost information is available for, and can be used by, state regulators to protect retail ratepayers.

U.S. Senate Committee on Energy and Natural Resources
July 22, 2026, Hearing: *Oversight Hearing on the Federal Energy Regulatory Commission*
Questions for the Record Submitted to The Honorable David LaCerte

Questions from Senator Lisa Murkowski

Question 1: The Homer Electric Association is a small rural electric cooperative in Alaska that serves about 25,000 customers on the Kenai Peninsula. Several years ago, I was appalled to learn that during a hydropower relicensing proceeding, the U.S. Forest Service tried to make Homer build and maintain an unconstructed part of the Iditarod Trail near Grant Lake, including accessing parking lots and cleaning bathrooms in perpetuity, as part of the agency's so-called mandatory conditions under section 4(e) of the Federal Power Act (FPA). These requirements had nothing to do with the hydropower project or its impact on Forest Service lands. Instead, Forest Service employees admitted to my staff that they long sought the trail's construction and 'had always wanted parking and bathroom facilities' in the area and that the hydropower licensing process was their chance. They didn't care that the co-op, and its customers, would be left footing the bill. The Homer Electric licensing proceeding has become a prominent example of how mandatory conditions under Sections 4(e) and 18 of the FPA can dramatically increase project costs. And although it is a FERC license, the Commission has no discretion to reject a resource agency's conditions, no matter how unreasonable, unnecessary, or unrelated to the project. Too often, agencies have wielded mandatory conditions tied to hydropower licenses as a way to secure "wish-list" items by using license applicants as ATMs.

- Does the Commission believe the current statutory framework under the FPA appropriately balances resource agency authority with FERC's responsibility to license hydropower projects in the public interest?

Answer: The Federal Power Act requires the Commission to consider multiple factors when issuing a hydroelectric license, including impacts on power generation, commerce, energy conservation, fish and wildlife protection and other environmental considerations, recreation, irrigation, flood control, and water supply. Congress also has given a number of agencies mandatory conditioning authority under FPA sections 4(e) and 18, section 401 of the Clean Water Act, and the Endangered Species Act, such that those agencies can impose conditions pursuant to their statutory mandates. However, those agencies are not required to balance the many interests that the Commission must consider, which may result in licenses with conditions not necessary to satisfy the public interest.

- Do you agree that the FPA prevents the Commission from rejecting a mandatory condition or prescription that is issued by a relevant resource agency? Can FERC determine if a resource agency's mandatory condition or prescription is in the public interest?

Answer: I agree, and the same is true for mandatory conditions issued pursuant to section 401 of the Clean Water Act and under the Endangered Species Act. The Commission may express its opinion in the licensing order as to whether mandatory conditions or fishway prescriptions are consistent with the public interest but has no authority to reject or revise them.

U.S. Senate Committee on Energy and Natural Resources
July 22, 2026, Hearing: *Oversight Hearing on the Federal Energy Regulatory Commission*
Questions for the Record Submitted to The Honorable David LaCerte

- Do you share my concern that egregious and unrelated mandatory conditions unnecessarily increase costs while discouraging hydropower development and that this was not the intent of Title I of the FPA?

Answer: Yes.

- Are there statutory or procedural changes that Congress should consider to tie mandatory conditions/prescription to the actual project and improve coordination among agencies while preserving environmental protections?

Answer: I believe there are statutory changes that could better tie mandatory conditions to actual project impacts and improve coordination among agencies. Such changes could include giving the Commission the ability, as is the case with fish and wildlife conditions proffered under FPA section 10(j), to determine whether mandatory conditions are consistent with Part I of the FPA or other law and, after consultation with the agencies that provided the conditions, to determine whether alternative conditions might best satisfy the public interest.

Question 2: Hydropower is an essential component of our nation's energy portfolio, yet developers continue to cite permitting and regulatory delays as barriers to investment and development. Last November, the Commission released a Notice of Inquiry for a proposed blanket authorization treatment of post-licensing activities like maintenance, repairs, and upgrades. I'm also seeking similar reforms in the FLOWS Act, legislation I'm advancing with Senator King. The goal is to provide meaningful regulatory certainty without compromising environmental or reliability protections.

- What is the current status of FERC's consideration of a blanket authorization for hydropower projects? Will the Commission move to a rulemaking proceeding soon?

Answer: The Commission is considering the comments that filed in response to the Notice of Inquiry and will take further action as appropriate based on the record.

Question 3: FERC's recent order on large loads is focused on making sure we can connect new demand—particularly AI data centers—without compromising reliability or shifting costs onto existing customers. Alaska isn't part of an RTO or ISO, but we're actively looking at opportunities to attract data centers because of our abundant energy resources, cool climate, and strategic location.

- As the Commission implements this policy, what lessons should states like Alaska take away? How can we welcome these large new loads while ensuring existing residential customers don't end up subsidizing the infrastructure needed to serve them?

Answer: I take seriously the Commission's critical role in ensuring that our country can integrate large loads onto the transmission system, not only to win the AI race through speed to

power for data centers, but also to reshore the heavy industrial and other manufacturing processes that are crucial to ensuring our global competitiveness. Supporting these goals, however, involves balancing the integration of large loads with the need for reliable and affordable power for ratepayers. The Commission's landmark show cause orders on large load integration reflect this drive and careful balance in the RTO regions. In addition, these orders' call for unprecedented transparency as to transmission cost information serve as an example of how agreements between transmission providers and transmission customers in Alaska and other states can assist large loads in receiving transmission service while also enhancing the ability of state public utility commissions to protect retail ratepayers. The Commission continues to review agreements filed by transmission providers operating in the non-RTO regions of the country. The Commission has accepted those agreements that reflect just and reasonable rates for transmission service while rejecting those that do not fairly allocate transmission costs or would intrude on state jurisdiction over retail ratemaking.